

Hindustan Petroleum Corporation Ltd. (HINDPETRO)

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"Hindustan Petroleum Corporation Limited
Q2 FY2024 Earnings Conference Call"

November 07, 2023

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BROKING

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CORPORATION LIMITED

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Page 2 of 22 Moderator : Ladies and gentlemen, good day and welcome to Hindustan Petroleum Corporation Limited Q2 FY2024 Result Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking. Thank you and over to you, Sir!

Varatharajan : Thank you Akshay. Good morning everyone. I would like to extend a very warm welcome to all the participants and the top management of HPCL. We have with us Mr. Pushp Kumar Joshi - Chairman & Managing Director, Mr. Rajneesh Narang – Director Finance, Mr. K Vinod – Executive Director Corporate Finance, Mr. Lokesh Chhabra - General Manager Corporate Finance. Without much ado I would like to hand over the floor to the HPCL management for the initial comments followed by the Q&A. Over to you, Sir!

Rajneesh Narang : Thank you Varatharajan. Good morning everyone. I am Rajneesh Narang Director Finance, HPCL. On behalf of HPCL team we welcome you all to post Q2 results con call. Some of the statements that we will be making during the con call are based on management assessments and we believe that these management assessments and statements based there upon are reasonable. However considering that the future is uncertain and oil being a geopolitically sensitive commodity, the management assessment might not pan out in an exactly similar manner. Further this is a quarterly result con call so we request that you may kindly restrict your questions to quarterly results. Now I request Mr. Pushp Kumar Joshi our Chairman and Managing Director who is chairing this call to make his opening remarks and set the context for today's meet.

Pushp Kumar Joshi : A very good day to all the friends present here. First of all let me begin by expressing our gratitude to all of you for participating in this con call. I am grateful to all of you. During this con call our attempt would be to share as much details as possible and as director finance mentioned, this would be our assessment of the situation and we would also like to share with you the details of where we are, what exactly our plans going forward. So let me begin by saying that we have had a very good H1 and as all of you may be aware by now that this was the record profit HPCL has made in its history and this is even higher than our annual profit in the past few years or in the past years, so therefore this is a good thing and we thank everybody for the support which we have got for this.

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Page 3 of 22 Now looking at the international situation going forward all of us understand the geopolitical situation which is playing out and which is impacting our operations in terms of our fuel procurement, in terms of product cracks. Nevertheless our attempt has been threefold in the past few years. Numb

er one is strengthening the quality and both the capacity of our assets and I am very happy to share with you that whatever capex which we have done in past five years has started yielding results and at the outset I also want to share with you that in past few days we have very successfully commissioned our new hydrocracker unit at Visakhapatnam which would help us in enhancing our diesel production. It will help us in improving our distillate yields and this is one of the largest facility, most energy efficient facility in the country and possibly in top five in the world so that is one in terms of enhancing the capacity of our assets and the quality of our refining assets so in that one is our Visakha refinery expansion where we are going from 8.33 million tonnes to 15 million tonnes. We have already expanded our Mumbai refinery from 7.5 metric million tonnes to 9.5 metric million tonnes and I am happy to share again that unit has stabilized and we are refining our throughput is higher than 9.5 if you calculate on annual basis. Third is in terms of our pipeline infrastructure, last year we have commissioned two major pipeline projects one is our pipeline connectivity from Hassan in Bangalore to Cherlapally that is Hyderabad so now we have seamless connectivity from our import terminal at Mangalore to Hyderabad. This pipeline is going to help us in optimizing our logistic cost. Similarly post our Vizag refinery expansion for the product evacuation we have expanded our pipeline network from Vijayawada to Dharmapuri in Tamil Nadu. Both these pipelines are successfully commissioned and are operating at optimal level that is as regards to the core assets as I said. The second facet is that in order to provide stability to our balance sheet we have also forayed and ventured into new areas or the areas which we were not having significant presence. One area of that is petrochemical. We have started marketing of petrochemical in our own brand name and after our Rajasthan refinery commissioning we will have substantial presence in petrochemical arena also and Rajasthan refinery project is on track. We have already completed 72% of physical facilities there. Some of the major refinery units are in advanced stage of mechanical completion and we expect that we would start commissioning of the refinery in phases in the next calendar year so that would give us significant presence in petrochemical. Second area is natural gas, we have already commissioned our 5 metric million tonnes regasification and storage terminal at Chhara which would give us a significant presence in natural gas value chain so we will have presence in storage and regasification. We already have share in pipeline in terms of transportation of natural gas and at the customer end we have presence in 23 geographies across the country in city gas distribution and also we are marketing gas to industrial customers directly so that is the second facet after petrochemical.

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Page 4 of 22 Third is in terms of biofuels. We are the largest blenders of ethanol in the country in MS and we have touched 12% blending targets and blending we are doing across the country with a robust infrastructure for transportation of ethanol through rail wagons, through pipeline, through road so that is the third area. As you are aware we already have two sugar mills operating in Bihar and from there we are getting ethanol and from various other places we are getting ethanol. We have also got into CBG - compressed biogas. We have commissioned one of our first plant in Uttar Pradesh in Budaun where we have started working. We are in the advanced stage of commissioning of CBG facilities there also, so this will be third area so we will have petrochemicals, we will have natural gas, and we will have biofuels and for this as you are aware we have al

ready made plans to have a wholly

owned subsidiary looking after the green business of the company and the formation of that wholly owned subsidiary is in a very advanced stage of its formation so that would give us that kind of stability to our balance sheet. Now third area is in terms of renewable, in terms of EVs, and in terms of hydrogen and fourth facet there is from crude to chemicals so all these areas we are working on.

Our next five years investment is going to be around enhanced facilities in renewable, in gas, in biofuels and also in terms of certain value added products in our refineries for asphalt and bitumen and things like that so these are the facets. Now we are over the last year's upset or challenges which we were having and you would notice that our financials have improved substantially. Our debt equity ratio is in excellent range now, so these are the plans and as I said in the beginning the focus was on capex and that capex has started

yielding results. Our major capex now is in our Rajasthan refinery and I am very happy to share as I mentioned the progress of that we have already completed 72% of physical progress. All the orders have been placed. The work is going on on war footing and as I said earlier that during the next calendar year we will be progressively commissioning those facilities also. As regards the results of the H1, only few points I want to mention that our physical performance has been of record level both in terms of our refining throughput, Our refining throughput not only we have increased the throughput, we have been able to optimize and our fuel loss has come down drastically. In terms of marketing, we have gained market share amongst the industry including the challenges which we face in terms of private players coming in but there also company has been successful in ensuring that we gain market share and also a concentration is there on non-fuel retails in exploiting our retail network where we have today close to 22,000 retail outlets across the country. Similarly in the facet of LPG, we have close to 9.3 crores LPG customers and we have been growing in the facet of LPG. What I would be more interested in is answering your queries after I have given this very brief detail. As we go forward, as we address your questions, as
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Page 5 of 22 we address your feedback, we would be trying to exemplify and give more details on whatever I had mentioned. So, thank you very much, this is the initial brief I wanted to give. Thank you very much. The floor is open to questions now.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Amit Rustagi from UBS. Please go ahead.

Amit Rustagi : Sir, congratulations for posting super results in the first and second quarter. I have two questions, one is relating to the demerger or relating to the news of lubes business so could you give us more details that what is the update on that, what is the format we are going to follow in terms of lubes business going forward and where are we in terms of approval then I will come back to my second question.

Rajneesh Narang : The progress as regards to the new carve out which we had announced along with the board meeting in the annual results. See the formation of a new company for a PSU requires a certain regulatory approval from the Government of India so those we have already started and we are waiting the final approval from the respective regulatory authorities for the new company, but nevertheless the objective of carving out the company was to ensure that this lube business which is an independent unit, free from all controls and having very free and fair pricing this is one which will enable HPCL to utilize its assets of lubricants and the market reach which we have. We are the m

arket leader as regards to lubricant is concerned

and we sell almost 650 TMT of lubricant products in the country every year, so we intend to carve out this company into a separate unit. We have various options which we can follow either we can list this company, come out with an IPO or we can get in a strategic partner. So currently the discussions are on about the various options and at the most appropriate time, the decision would be taken.

Amit Rustagi : Sir when you are going to get the clarity on the carve out process like are you going for the IPO or listing or any joint venture when we will get that clarity because it is almost now 7-8 months we discussed last time.

Rajneesh Narang : This financial year we will be getting and in the meantime you see that we have made various progress as regards to increasing the market reach for lubricants, we are tied up with Caltex. We are manufacturing and marketing their products also here and we have also set up a fully owned subsidiary in Dubai DAFZA FZCO. We are marketing their products into MENA region Middle East and Africa region and the company is performing well and new volumes and geographies are being added.

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Page 6 of 22 Amit Rustagi : Okay and Sir my second question relates to Rajasthan refinery so how much capex has been incurred, what has been our equity contribution to that and how much equity contribution is yet to be contributed and when are we expecting the project mechanical completion and commissioning both timelines if you can provide us.

Rajneesh Narang : See the total project cost for this refinery is 73,000 Crores. As regard to capital expenditure as on date we have done almost 37,000 Crores of capital expense and as regards to commissioning or the progress on the project, chairman has already covered as regard to physical progress 72% of project is over. Several units are in advanced stage of commissioning maybe in near future with a progressive manner the units will start getting commissioned. We are hopeful that the refinery would get mechanically completed in March and the petrochemical may follow thereafter, so the next calendar year would be the year where we will start getting some product out of this refinery. As regard to the total

equity contributions, the total project of 73,000 Crores would be funded 48,600 Crore from loans and balances from the equity and the total equity contribution from HPCL would be around 18,000 Crores out of that we have already contributed 9,500 Crores and in addition to this around 26% has been contributed by the Government of Rajasthan.

Amit Rustagi : Okay great Sir. Sir thanks for answering my question. Wish you all the best and wish the entire team a happy and prosperous Diwali.

Moderator : Thank you. The next question is from the line of Somaiah from Avendus Spark. Please go ahead.

Somaiah: Thanks for having this call Sir. Sir on Vizag currently on a run rate basis we are 11 million tonne so how would the progress be of reaching 15 million tonne, how much of ramp up this year and how much of ramp up next couple of years.

Rajneesh Narang : See in the month of March 2023 we have commissioned the CDU IV that is the new 9 million tonne unit so since then we have been operating the facility at 11 million metric tonne. Now in the opening remarks our chairman had stated that we have commissioned the FCHCU that is fully convertible hydrocracking unit. Now with the commissioning of this unit our secondary processing capacity will increase further now we will be ramping up this refinery and the refinery would be running at around 13.5 to 13.7 million metric tonnes and once the RUF unit that is the bottom upgradation unit is commissioned then it will go beyond 15 million metric tonnes.

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Page 7 of 22 Somaiah: The 13.7 will we be able to achieve next year Sir.

Rajneesh Narang : No this quarter itself we will be operating at that level. So I can only say that as I speak today even now also we have started accruing the increased capacity of this new unit and we will get additional 2 million tonne on an annual basis, pro rata we can calculate.

Somaiah: Got it Sir. Sir also in terms of our marketing volumes so of the diesel petrol that we sell in terms of what we take from our own Vizag and Mumbai apart from the rest of the sourcing can you just give a breakup so where do we take it from and those are adjusted for export duty also we will be getting it relatively at lower price.

Rajneesh Narang : See if I have to give you a current mix of the sourcing of the product. Like in case of MS currently almost 43% is from my own two refineries. I get around 24% from HMEL which is again our JV wherein we have a 50% share and 34% is what we source it from outside and similarly as regard HSD is concerned it is 47%, 31%, and 21% is what we take it from outside. Now subsequent to the enhanced capacity of Vishakh refinery, once the Vishakh and RUF facilities are also completed 61% would be in house that is our two refineries for HSD and 16% from HMEL so balance 23% is what we are going to source from outside, but once the Rajasthan refinery comes in, the entire HSD would be internal only between HPC or HPC JV companies. As regard MS is concerned after Rajasthan refinery is there 49% would be from both our refineries and 10% would be from HMEL and 12% from HRRL so what is left out is around 29% would be sourcing it from other refiners that is standalone refiners it includes both the Reliance, Nayara, MRPL, NRL and all those.

Somaiah: Got it Sir very useful. Just one last question from my side so on the Barmer refinery by utilization when we probably be around say 80% or so when is your expectation.

Rajneesh Narang : You are talking about the progress of the capital.

Somaiah: Ramping up of the facility and reaching close to 80% of utilization.

Rajneesh Narang : 80% by another three to four months, Barmer is right now around 72%. Utilization in one year we will be reaching that after commissioning.

Somaiah: So we expect mechanical completion by March of next year and maybe say in FY2025 end or FY2026 is something that we can get to 80% is that right understanding.

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Page 8 of 22 Rajneesh Narang : Yes you are right.

Somaiah: Thanks for the opportunity. Thanks.

Moderator : Thank you. The next question is from the line of Sumeet Rohra from Helios. Please go ahead.

Sumeet Rohra: Hi Sir, very good morning to you. Firstly wish you a very, very happy Diwali to you Chairman Sir to Director finance and entire team at HPCL and all your families as well Sir.

Sir firstly I would like to congratulate you. You have done an incredible job at HPCL and clearly the physical performance of HPCL has actually doubled virtually in the last maybe four to five years where we have grown from basically 15-16 million tonne to today 36 and maybe after Rajasthan we will go to 45 so excellent work on the company point of view, excellent work you did for the nation as well last year by whatever we did cumulatively as the oil marketing companies so very good stuff on that. So Sir I would like to now just

touch upon, I would take about two minutes of your time, so Sir I would just like to touch upon now we on the investors right because ultimately the objective of all investors is to make healthy returns and one thing Sir we clearly see is that the performance of the return of the shares is clearly disproportionate to the infrastructure created, the financials delivered, I mean let us come to think of it. We are a 25% ROE company okay and we are trading at two times PE multiple. I m

ean I do not find any company in the world you can check this on Bloomberg or Reuters or any financial medium a company of having a 25% ROE would trade at two times multiple. I mean it is absolutely absurd right so there is clearly something which is not connecting between the investor confidence but the reality of life is that you guys are doing a splendid job and not many companies in the world can deliver what you people are doing so it is extremely commendable and it is clearly showing in the throughput and in the capacity enhancement etc. Sir I just had a few suggestions if you could take on board and a few questions as well so. Sir firstly because of the fact that last year we had abnormal period of losses or whatever so Sir historically HPCL always pays out about 30-35% dividend so can we expect that because last year we have not paid dividend so this year we can actually expect a significantly higher payout than the 30-35 which means that can we do like 40-50% payout ratio. Secondly Sir today as you said that our capex phase I mean is now virtually finished and we are now basically entering a payback period so my humble thought process and can you correct me if I am right on this that our incremental EBITDA is now going to be sharply higher than our capex because all companies always talk about capex, but nobody ever talks about how much are we going to generate as EBITDA so I would humbly request that can you please also talk about what Hindustan Petroleum Corporation Limited
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Page 9 of 22 EBITDA are we going to generate because capex is obviously taken very negatively by analysts and investors so if you can just talk about how much EBITDA as well are we looking to generate. Sir thirdly you spoke about Barmer refinery. Sir I have a very interesting thought process here. I mean Barmer refinery is a project which was conceived maybe seven, eight years ago and at that point of time diesel cracks in the world were never about 10, it was always sub 10 right so now the matter of fact is that that diesel cracks are hovering around I would not say 30 and all that but say 20 as an average so can Barmer refinery actually be a very profitable project for HPCL which today is being construed negatively so can you please clarify a bit on Barmer and how do you see numbers shaping up on that front and Sir just one last thing I would want to ask you before I end is that Sir the lubricant part of the business I mean today you are number one player in India you also said that you are manufacturing for Caltex as well today and Sir so we are about nearly 40% and you Castrol today is about you know 15 - 18,000 Crores market cap so our lubricant business itself is worth about 20 to 25,000 Crores so just one suggestion Sir is that why not shares are given to shareholders and shareholders of HPCL get shares of the lubricant which actually will start the processing of unlocking of this great giant which you have built because ultimately market cap also should translate into reality right because I mean 35,000 Crores market cap is absolutely not fair to the good work which you are doing Sir because if you said that 70,000 Crores is to set up Barmer refinery today 45 million tonne of HPCL cannot be trading at 35,000 Crores market cap so I just want that your good work should also translate into investors rewarding Sir thank you.
Rajneesh Narang : Yes thank you Sumit. Yes I fully endorse what you are saying is the market is not giving us the right value which HPCL is deserving, but nevertheless I can only say that yes last year was a blip and those situations were different. They were testing times and fortunately our company could come out of it and right now we are again putting up robust performances and I am sure with consistent robust performance market will start valuing the shares and we will get the right valuation which we

legitimately deserve and from the management side I can only say that we are making the right moves. We are taking the right steps, right investments are being made and strategically we are getting into various value enrichment areas which definitely would show off in our results and accordingly the shareholders would also immensely benefit both in terms of dividend as well as the share price improvement. As regards your question on the Barmer refinery, yes what cracks were envisaged when the project was conceived and the current cracks yes the diesel cracks currently are higher than what has been considered in the project appraisals but these things will keep on changing but yes this Rajasthan refinery is going to be of immense value to HPCL, it would give us the product security plus it will give us an entry into petrochemical Hindustan Petroleum Corporation Limited
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Page 10 of 22 business this is first integrated refinery which is being set up in India with highest petchem intensity almost 26% is the petchem intensity plus the product which will come out of this refinery they are building block products which we can use it for further enhancement and give us a further leeway into O2C and other specialty chemicals which would also contribute to the overall growth of the company as well as growth in the bottom line of the company. Now as regard the lube and the dividend is concerned, yes we have noted what you have stated but these being price sensitive information I cannot be making any comment on that, thank you.

Moderator : Thank you. The next question is from the line Manikantha Garre from Franklin Templeton India. Please go ahead.

Manikantha Garre : Thank you for providing me the opportunity Sir. Sir wanted to understand how much of debt has been used up in the Barmer refinery so far.

Rajneesh Narang : It is almost 26,000 Crores.

Manikantha Garre : Okay and can you give me some understanding on why that is not getting reflected in the consolidated balance sheet of ours.

Rajneesh Narang : That is because of the Ind-AS requirements although 74% of the shareholding is with us but various provisions of the JV agreement and all and the provisions regarding control there are one or two clauses which as per the statutory auditors and the accounting provision for the purpose of financial consolidation this will not be considered as a subsidiary that is the case with several other companies also like CPCL and IOC and so that primarily is the reason.

Manikantha Garre : Does it also mean that HPCL will not have recourse to the debt which is being taken at Barmer refinery level.

Rajneesh Narang : Recourse means the debt has been taken books of balance sheet of HRRL and HPCL and the government of Rajasthan are the sponsors for that so we have given sponsor support undertaking for those.

Manikantha Garre : I just wanted to understand to that an extent is that project ring fenced is what I was trying to understand.

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Page 11 of 22 Rajneesh Narang : Yes it is ring fenced because what all product will be manufactured by that, the marketing would be done by HPCL that is what the lenders had seen that although we have lended it to this new company and whatever is the output from the refinery would be taken by HPCL, so that off take guarantees are there, so accordingly the loan has been given.

Manikantha Garre : Okay thank you.

Moderator : Thank you. The next question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen : Thank you for the opportunity Sir. Sir I have two or three questions, one if I can get a sense of what will be the product yield of gasoline, diesel, and ATF and I am mentioning these three because these three are fairly significant products in the overall slate by

the end of

FY2025 when Vizag and Mumbai expansion are completely commissioned can we get a sense of what the product yield would be for diesel, MS and ATF.

Rajneesh Narang : See if I have to give the product yield for both our refineries from our refineries almost 18% would be the yield of MS, as regards HSD is concerned the yield would be between 50 to 55% both refineries put together if I take only Vishakh maybe the yields would be higher and balance would be the LPG. For furnace, Vishakh there will be no furnace oil.

Probal Sen : Understood Sir. The second question was with respect to the gas business you mentioned about the Chhara terminal having been commissioned can we get a sense of what kind of off-take arrangements are already in place for Chhara, are we going to internally consume the whole of 5 MMT but I think that is unlikely so can we get a sense of what the marketing arrangements are for placing these 5 million tonne and whether we also have sourcing arrangements for those volumes as of now.

Rajneesh Narang : See Chhara terminal this is a separate wholly owned subsidiary of HPCL. We have called it HP LNG Limited. Now this company would be running on a tolling model whereby the capacity would be hired out so anyone who is interested in booking the capacity they can book the capacity. We are already in the market for booking the capacity. We have got encouraging response from prospective people who want to book capacity and once it is done we will let you know and as regard HPCL is concerned, since HPCL is also already there in this line of business, yes HPCL will also be booking capacity in this terminal and as regard the sourcing is concerned the sourcing of gas would be done by HPCL because
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Page 12 of 22 HPCL would be marketing it and as regard to storing that product is concerned that would be stored in Chhara terminal or any other terminal if economics work out.

Probal Sen : Alright and the third question Sir if I may was with respect to the capex you mentioned about the plan over the next five years where the focus will be on enhancing the renewable portfolio, the gas business as well as focusing on value added products in your downstream can we get a broad breakup in terms of what is the five year capex being envisaged and broken down into downstream petroleum renewable as well as the gas space.

Rajneesh Narang : If I were to give you for next five years the capex would be around 75,000 Crores around 25 to 30% of the capex would be for the renewables and the gas segment then the refinery would take another 20% and the balance would be the other marketing project.

Probal Sen : Sorry refinery would be how much Sir I did not get the percentage.

Rajneesh Narang : 20%.

Probal Sen : Refining would be 20%, renewable energy plus gas would be around 30% odd and the balance would be on the downstream marketing segment 50% is that what you are saying.

Rajneesh Narang : Yes.

Probal Sen : Understood Sir. Thank you so much for your time have a happy Diwali. I will come back if I have more questions.

Moderator : Thank you. The next question is from the line of Sabri Hazrika from MK Global. Please go ahead.

Sabri Hazrika : Yes good morning Sir and congratulations on good set of numbers. So I have two questions, the first one is with respect to the capex only so you mentioned 75,000 Crores for the next five years so does it mean that the annual capex would be something like more than 13,000 Crores.

Rajneesh Narang : Yes average what we have said average will be around 14 to 15,000 Crores.

Sabri Hazrika : For the next five years right.

Rajneesh Narang : Yes.

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Page 13 of 22 Sabri Hazrika : And how do you see the debt outlook right now we have got like almo

st like 51,000 Crores

standalone debt so do you have any debt target in your mind or it will be like a resultant of whatever the scenario is down the line.

Rajneesh Narang : I can only say that looking at the current levels the peak debt is behind us. We will not be adding debt to it most of it looking into our future financial performance would be funded out of internal accrual so we will not be adding more debt on the books.

Sabri Hazrika : Do you think net debt of 46,000 Crores could be the peak levels in terms of the standalone business.

Rajneesh Narang : I think 50,000 would be the peak level yes.

Sabri Hazrika : Okay and Sir second part of the question is relating to your EV value chain so we have done some deal with Gogoro regarding what you call battery swapping and you also have got EV charging station so what are the initial findings. I mean what kind of profits are you making or do you have any number in mind. We are just trying to reassess maybe 10 years down the line as a separate segment how much this will like contribute, any idea on that.

Rajneesh Narang : See right now we are engaging with different service providers and that primarily is to see that a proper reach is reached, a proper ecosystem for EVs are there and currently we have more than 2500 such charging stations which is there on HPCL accounts we want to be in that space. We do not want to lose out when an opportunity comes so we have been tying up with several of them Gogoro is one of them. We have also tied up with Honda for battery swapping and there are other agencies also where we have tied up for charging so we will see as to what opportunities are coming into this and accordingly then we will regulate our investment in this segment and reach out and get a fair market share in this product.

Sabri Hazrika : So this existing business can you give us some unit economics any returns what you are generating or anything of that sort or is it too premature right now.

Rajneesh Narang : It is too premature to put numbers to that.

Sabri Hazrika : Okay thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

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Page 14 of 22 Yogesh Patil : Thanks for taking my question Sir. Sir if possible can you throw some light on the bottom upgrade unit commissioning which will improve your Vishakh overall gross refinery margin and how much GRM improvement can we expect post completion of this unit.

Rajneesh Narang : See once the bottom upgradation unit would be commissioned, this would be upgrading the bottoms of the product and that will not only happen on the enhanced capacity but it will

happen on the full capacity that is full 15 million tonne of product which would be there at Vishakh refinery the bottom upgradation would happen and secondly as regard what would the incremental GRM on this ground, the incremental GRM will be between \$3 to \$4 per barrel on account of this and we are hopeful currently the activities, the progress as regard the work is going on in full swing and we expect that by January February the mechanical completion will be complete.

Yogesh Patil : So can we expect Sir in FY2025 onwards these kind of GRM per barrel can be expected.

Rajneesh Narang : Correct.

Yogesh Patil : So second question can you update us on the capital infusion in terms of the right issues, when can we expect the right issues for the HPCL or the preferential allotment.

Rajneesh Narang : See the government of India had in their budget document stated that 30,000 Crores would be although there were initial discussions on the thing a finality has not yet been reached as and when there is a development on that track we will definitely let you know.

Yogesh Patil : From your guess will it happen in FY2024 or will it be postponed for F

Y2025.

Rajneesh Narang : Just going by the intention of the government that was for the current financial year so it should be consummated in this financial year only.

Yogesh Patil : Okay and the last one if possible can you please share the operating expenses in per barrel terms for all refineries.

Rajneesh Narang : It could be around \$3 a barrel.

Yogesh Patil : Okay thanks a lot.

Moderator : Thank you. The next question is from the line of Sanjeev Kumar Damani from SKD

Consultancy. Please go ahead.

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Page 15 of 22 Sanjeev Kumar Damani : Good morning Sir. Sir my first question is regarding the mixing of bio agro based ethanol

etc with our products so how we are economizing in the sense I mean most of the producers are located at one place and our distribution is in the entire country so the mixing plants are being set up close to the source of ethanol or how we are doing it Sir, can you kindly explain.

Rajneesh Narang : See the ethanol is being procured and it is being transported to various locations and at the location when the product is being sent to the petrol pumps that is a premixed product which is sent.

Sanjeev Kumar Damani : So mixing is not necessarily done at the refinery point only it maybe sales depot also that facilities are created for mixing it along with petrol.

Rajneesh Narang : Yes.

Sanjeev Kumar Damani : Sir we are not mixing anything with diesel so far or are we.

Rajneesh Narang : Biodiesel is there but right now there is no mixing which is happening.

Sanjeev Kumar Damani : Okay another question is regarding Barmer refinery are we putting up some solar facilities also there that being a very area where lot of solar plants are being designed in Rajasthan so are we also putting up as part of our capital expenditure and have we started producing solar power there so far.

Rajneesh Narang : As of now we have not set up but they are under active consideration but yes we will be sourcing green power for purpose of operating the refinery.

Sanjeev Kumar Damani : Okay one more thing sir that how you are viewing the use of petrol and diesel in coming days and are you seeing any reduction in the consumption because of alternative electric is available, gases are available so are you seeing any less demand right now for these products.

Rajneesh Narang : See if you see the consumption pattern of the various products be it MS or HSD you can see that there is been a consistent growth MS has been growing around 5 to 6% per annum and in case of HSD it has been around 2% growth which is there. While yes in terms of new sales the proportion there has been marginal increase in the EV cars and scooters and all but

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Page 16 of 22 yes as of now we have not seen any significant impact on MS and HSD the growth continues to be seen in these products also.

Sanjeev Kumar Damani : Okay Sir thank you very much.

Moderator : Thank you. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta : Thanks for this opportunity. Would you be able to share the financial highlights for HMEL refinery in terms of the Q2 and H1 performance as well as another related question is how is the petrochemical expansion project is doing has it achieved the full utilization and what is the contribution to the margin that it is accruing to and one more related question is whether

the HMEL refinery is now able to access the natural gas as it was being planned.

Rajneesh Narang : Yes first coming to the performance of HMEL. HMEL during this H1 made net profit of almost 1,700 Crores, during this period the crude thruput was around 6.5 million metric tonnes and the GRM was \$18 a barrel and what was the other question.

Kirtan Mehta : Performance

of the petrochemical expansion project there.

Rajneesh Narang : The petchem facility has got commissioned and the same is currently operating at almost 70% capacity.

Kirtan Mehta : And another question related was we were planning to use natural gas upon completion of the Mehsana Bhatinda pipeline so has that natural gas access has started for HMEL.

Rajneesh Narang : Yes they started have sourcing and even HPCL has signed a contract for supply of gas.

Kirtan Mehta : What would be the volume that they will be receiving natural gas.

Rajneesh Narang : I do not have the updated numbers. We will let you know.

Kirtan Mehta : Sure Sir.

Moderator : Thank you. The next question is from the line of Vidyadhar Ginde from Sohum Asset Managers Pvt Ltd. Please go ahead.

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Page 17 of 22 Vidyadhar Ginde : Thank you so my question was that after the bottom upgradation unit is commissioned and starts operating efficiently in which are the products like diesel, petrol, LPG where the production will go up by how much percentage points in the product stage and which product the production will come down. I presume fuel oil is one of them so if you could give us some numbers there so how much is diesel proportion now how much it will go after the diesel, petrol, LPG up and down fuel etc whatever.

Rajneesh Narang : If I were take this Vishakh refinery current slate the distillate yield is almost 75% over there.

Vidyadhar Ginde : No I wanted specific products.

Rajneesh Narang : Yes I am coming to that yes when the RUF unit is commissioned the distillate yield will improve from 75 to 85-86%, now primarily whatever is the increase is going to happen in HSD where the distillate yield will go from 48-50 to 60%. MS would remain at around 18% then LPG would be around 5%, Naphtha would be 5% and furnace oil would be nil.

Vidyadhar Ginde : So basically diesel will go up and furnace oil will become zero. Yes that is effective.

Rajneesh Narang : Furnace oil is a product which does not add much value that product totally gets wiped off from the slate.

Vidyadhar Ginde : And you do not produce even pet coke.

Rajneesh Narang : There is not pet coke. There will be a pitch but pitch would be used for valorization.

Vidyadhar Ginde : So pitch will be what proportion.

Rajneesh Narang : I am not having the exact number but like 2-3% not more than that.

Vidyadhar Ginde : Okay so basically you will have probably one of the best refineries in India in terms of the product slate anybody who produces does not produce fuel oil produce a substantial quantity of pet coke which instead of that you are producing just 2-3% pitch you are suggesting.

Rajneesh Narang : Yes correct.

Vidyadhar Ginde : And you said pitch you want to use for what.

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Page 18 of 22 Rajneesh Narang : It can be used for valorization it can use for making bitumen or we can use it for other industrial applications be it cement we are working out with various industries as to where we can add more value and have a better realization.

Vidyadhar Ginde : Thank you thanks a lot.

Moderator : Thank you. The next question is from the line S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh : Good morning and thank you very much so based on the information you shared on HMEL is it possible to indicate how much of the \$18 is attributed to the petrochemical business and how do you see the integrated margins from the HMEL refinery once their petro chemical business ramps up to say 90-100% and similarly the Rajasthan refinery what is the kind of margin you would expect from just the refinery and what is the additional delta you can get from the commissioning of the petrochemical unit.

Rajneesh Narang : See are regard to HMEL is concerned the GRM

numbers is for the petroleum products.

S Ramesh : So on once you start making profits in petrochemicals how would the profit be reported will it be included on the GRM or will you show it separately as petrochemical.

Company Speaker : It will be separately. We are different segments so accordingly it will be there.

S Ramesh : Okay and similarly in Rajasthan refinery what is the kind of EBITDA per tonne one can expect for the petrochemical business the current spreads and what is the GRM you are working on as things stand today once the refinery is commissioned.

Rajneesh Narang : See the Rajasthan refinery the GRM would be in the range of \$20 a barrel.

S Ramesh : Okay and in terms of the petrochemical business what is the kind of EBITDA or gross margin per tonne.

Rajneesh Narang : That would depend upon the ruling prices of pet chem it keeps on varying.

S Ramesh : In terms of the evaluation of the project because there is a certain amount of capex you are incurring right.

Rajneesh Narang : So for purpose of evaluation of the project the EBITDA levels were around 8,000 Crores.

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Page 19 of 22 S Ramesh : 8,000 Crores per year from petro chemicals.

Rajneesh Narang : From the entire project.

S Ramesh : Entire project okay so just one last thought if I can squeeze in when do you expect the visibility on the cash flows from the standalone CGD units and that is about 14 right and what is the kind of volume you can expect from these units say two three years and what is the kind of EBITDA per CM or overall contribution to EBITDA you can expect from the CGD business.

Rajneesh Narang : See currently we are selling almost 0.4 million metric tonnes of CNG okay so we expect that another four, five years we will be touching around 1 million metric tonnes as regards CNG is concerned.

S Ramesh : Okay Sir thank you very much and wish you all the best. Wishing you happy Diwali.

Moderator : Thank you. The next question is from the line of Rajesh Aynor from ITO Limited. Please go ahead.

Rajesh Aynor : Thanks for the opportunity. You briefly touched upon this. My question is around the deficit between our marketing and refining production currently let us say it is around 50% where we actually buy out almost 50% of the products from other sources including our HMEL and other things after Rajasthan completion and the current ongoing expansion project you gave the exact thing. I just wanted to reconfirm that how much would be our captive diesel, petrol and LPG.

Rajneesh Narang : After Rajasthan comes in the entire diesel it would be either from HPCL refineries or JV refineries of HPCL and as regards MS is concerned almost 70% would be HPCL and HPCL JV refineries that is HMEL and HRL, around 30% of MS we will have to outsource.

Rajesh Aynor : LPG will continue as it is.

Rajneesh Narang : LPG there is not going to be any significant change.

Rajesh Aynor : The operating cost of the two refineries in dollar per barrel let us say we get the gross margin.

Rajneesh Narang : It is \$3-4 per barrel.

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Page 20 of 22 Rajesh Aynor : \$3-4 per barrel. Thanks a lot Sir. That is it from my side.

Moderator : Thank you. The next question is from the line of Nitin Tiwari from Phillip Capital. Please go ahead.

Nitin Tiwari: Hi Sir, good morning. Thanks for the opportunity. My questions is a clarificatory one so if we just break down the opex that you mentioned \$3 per barrel in terms of refineries wise opex so would it be for Mumbai, Vizag and HMEL and what is the kind of opex we are expecting in Barmer dollar per barrel terms.

Rajneesh Narang : We will separately let you know on this.

Nitin Tiwari: Alright Sir so then in that case can we have the inventory levels in terms of either number of days or

quantify for crude and products at the moment that we are holding.

Rajneesh Narang : See for crude we are holding almost 23 days of inventory and marketing inventory is almost 30 days.

Nitin Tiwari: 30 days across right and lastly Sir please update on the pipeline common carrier regulations like are they implemented or like process of implementation your thoughts on that piece Sir and how would it impact our.

Rajneesh Narang : They did what has come in the media otherwise as such there is no official communication on any such thing.

Nitin Tiwari: So there is no I mean like implementation timeline etc which has been given as such right now right Sir.

Rajneesh Narang : Neither there is a directive nor an order on that.

Nitin Tiwari: Okay but do you foresee like something like that impacting our pipeline business in any way going ahead.

Rajneesh Narang : See these things keep on coming for discussion but as such there is no regulation regulatory directive or change as of now.

Nitin Tiwari: Understood Sir for the refinery opex I will reach out to you separately in that case. Thanks for taking my questions.

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Page 21 of 22 Moderator : Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka : Hi good morning Sir, in any way you can provide any indicative number of the marketing inventory gains in the quarter.

Rajneesh Narang : Marketing inventory gain was almost 1200 Crores for the quarter.

Amit Murarka : And on the refining side.

Rajneesh Narang : 900 Crores.

Amit Murarka : Sure also the refinery opex that you mentioned like will that go up post Vizag bottom upgradation or will it remain the same.

Rajneesh Narang : It will be around that one because the deviser would be there because of increased throughput and units are also very energy efficient.

Amit Murarka : Okay and lastly the capex 75,000 Crores that you mentioned that excludes the Rajasthan refinery right and includes everything else including CGD and everything else.

Rajneesh Narang : It would include the balance equity contribution almost 10,000 the balance.

Amit Murarka : Got it thanks that is all from my side.

Moderator : Thank you. The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari : Hi Sir two questions from my end one was more related to crude sourcing after the entire expansion projects are done how do you see your crude sourcing change and what are the advantages on the crude side that you can show up on the refining margins.

Rajneesh Narang : See primarily the crude sourcing would not go on material change but yes the Vishakh refinery would be capable of processing more heavy crude so that we will continue to be looking at opportunistic routes wherever they are available and crudes which will definitely add more value to us considering our pims model and those would be considered for processing.

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Page 22 of 22 Mayank Maheshwari : Sir just an extension to that question like because now there is marketing freedom on oil for

ONGC has that impacted you in any form or fashion in terms of sourcing domestic crude.

Rajneesh Narang : So we have already have signed a contract with them for next three years.

Mayank Maheshwari : Okay and so the final question was more related to the five year capex plan can you just talk us through out of this 14 - 15,000 Crores that you kind of spending about almost 20% is going on the new energy side like is there a thinking process of how you kind of deploy is it front loaded, back loaded like how are you thinking about all of that.

Rajneesh Narang : See the most of the projects would be on the solar and hybrid model capacities so there the capex cycle

is not a long one, so these would happen more around on consistent basis as regard to renewable energy is concerned. Every year we will be taking up new projects to increase the capacity of the renewable front and the expenditure would be more or less consistent.

Rajneesh Narang : Okay thank you.

Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand a conference over to Mr. Varatharajan Sivasanka for closing comments.

Varatharajan Sivasanka : Thank you Akshay. I see a few more questions in the queue. I would request them to get in direct touch with the management or send your questions to me and I will see how we can address that. I wish to thank all the participants for taking out time to participate in this call and thanks the management for giving us this opportunity to host the call. Have a nice day.

Moderator : Thank you. On behalf of Antique Stock Broking that conclude this conference. Thank you for joining us and you may not disconnect your lines.

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"Hindustan Petroleum Corporation Limited Results
Conference Call"

October 25, 2024

MANAGEMENT : MR. RAJNEESH NARANG - CHAIRMAN & MANAGING
DIRECTOR (ADDITIONAL CHARGE) & DIRECTOR
(FINANCE)

MR. S. BHARATHAN - DIRECTOR OF REFINERIES

MR. K. VINOD – CFO & EXECUTIVE DIRECTOR
(CORPORATE FINANCE)

MODERATOR : MR. VARATHARAJAN SIVASANKARAN - ANTIQUE
STOCK BROKING LIMITED

Hindustan Petroleum Corporation Limited
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Moderator: Ladies and gentlemen, good day and welcome to Hindustan Petroleum Corporation Limited Results Conference Call hosted by Antique Stock Broking.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I now hand this conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking Limited. Thank you and over to you, sir.

V. Sivasankaran: Thank you, Nikita. Good afternoon, everyone. It's my pleasure to extend a very warm welcome to all the participants and the Management of HPCL led by Mr. Rajneesh Narang – Director (Finance) and holding additional charge of CMD as of now. Mr. S. Bharathan – Director (Refineries). Mr. K. Vinod – Executive Director (Corporate Finance) & CFO and his entire team. I would like to hand over the call to Mr. Rajneesh Narang for his "Opening Remarks" and then we can move to the Q&A.

Rajneesh Narang : Good afternoon, Varatha, and all the participants who are attending this concall. A very good afternoon to all of you. We had our board meeting in the first half of today. And it is a matter of pride for me to say that in this quarter the HPCL had a good physical performance, both in refineries as well as marketing.

As regards the standalone revenue from operation is concerned, it is Rs. 1,08,216 crores vis-à-vis Rs. 1,02,618 crores in the corresponding previous period. In terms of the physical growth, we achieved 8.2% over the previous corresponding period. The standalone profit after tax during this quarter is Rs. 631 crores. The primary reasons for lower PAT are:

The suppressed marketing margins on Select Petroleum products, reduced refining margins due to lower cracks and falling international crude and product prices.

I will just give a brief of what are the impact of these three, like in terms of the suppressed marketing margin:

In terms of LPG, we had an under recovery of Rs. 4,400 crores during this entire half year. And if we have to take only the quarter, that is Q2, it's almost Rs. 2,057 crores of under recovery, which is sitting as a negative buffer in our book.

And in terms of the reduced refining margin, the cracks have significantly come down. And if I

have to give you a benchmark, the Singapore GRMs during the corresponding period of the previous year, it was \$10 a barrel, whereas in this quarter, it is \$4 a barrel. So, primarily, since the GRMs were significantly lower in this period for MS and HSD. There was an impact as regards the refining GRMs are concerned.

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And third, during this quarter, the crude prices with respect to the previous quarter have come down by almost \$5 a barrel. Now, this reduction of \$5 a barrel, both in terms of crude as well as the various finished products which we hold have an impact of almost Rs. 1,400 crores in terms of inventory loss.

Now if I talk about the GRMs, the GRMs during this quarter were \$3.12 per barrel vis-à-vis \$13.33 per barrel during the corresponding period. This reduction, as I've already stated, is in line with the trend of international benchmarks and product crack.

Now coming to the physical performance:

The refineries recorded a crude throughput of 12.06 million metric tons. These refineries had operated 103.7% of the installed capacity, registering an increase of almost 8.2% over the throughput of 11.15 million metric tons during the corresponding period last year, April to September 23. Now if you take specifically the Q2, the throughput was 6.3 million metric tons, and the refineries had operated at capacity utilization of 107.7

%. We have also added new crudes

to our basket. Two new crudes we have started processing at Visakh and taking the total crude basket to almost 30 odd crudes which we are having.

In terms of the marketing sales:

We recorded 24.25 million metric tons listing a growth of 7.3% as against 22.59 million metric tons during the corresponding period previous year. The Company recorded sales volume of 11.62 million metric tons during 2nd Quarter listing a growth of 8.2% as against 10.74 million metric tons during the 2nd Quarter of the previous year.

On the domestic front, HPCL achieved sales volume of 5.6% during the quarter as against PSU industry growth of 1.8% registering a market share gain of 0.78%. In terms of the product wise, the motor fuels were growing at 4.5%.

The aviation business has been growing at 19.6%. And in case of lubricants, we are growing at almost 5%. And even in as regards to the petrochemical where we are, we have already entered the market a year back, we are doing almost 30.4 TMT. As regards the pipelines are concerned, we had a throughput of 6.53 million metric tons vis-à-vis a growth of 6.5% over the previous financial year. In terms of our growth projects, during this period we invested Rs. 3,771 crores to strengthen our refining and marketing infrastructure, including investment in joint venture and subsidiary companies. And the total CAPEX during this half year is almost Rs. 6,590 crores. As regards our Rajasthan refinery, the construction of all process-units are progressing in full swing. The current physical progress is concerned, is almost 83%. And if I take the refining units, it is more than 92%. The key process unit which is DHT, the hydrogen generation unit, they are under pre-commissioning.

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And as regards the crude oil pipeline for both imported as well as domestic, the job is almost nearing completion. As on 30th September, the total commitment on the project is almost Rs. 70,872 crores.

As regards the CAPEX outflow is concerned, it's Rs. 50,570 crores. As regard our Visakh Refinery modernization unit of residue upgradation facility, that is the bottom upgradation facility, we have started the pre-commissioning of this unit. And we expect that in the last quarter, that is Q4 of this financial year, the unit would be commissioned. The moment this unit gets commissioned, it will be able to have a higher distillate yield whereby would enable us to process or upgrade the bottoms to higher distillate products. This unit is one of the largest and most energy efficient units, and technology is one of the scale which is being implemented by us.

During this 2nd Quarter, we commissioned 353 retail outlets, taking the total number of outlets to 22,501. We also commissioned six new LPG distributors, taking the total count to almost 6,364. In terms of new business initiatives, we have started manufacturing Group-III 500-neutral base oil in our Mumbai Refinery. Our aviation business achieved a significant milestone by securing order for developing and operating the fuel farm and the in-to plane services in the new airport, Greenfield International Airport, which is likely to come up in Bhogapuram, Visakhapatnam. This airport is being set up by GMR, by the name of GMR Vishakhapatnam International Airport Limited. There was a new feather in cap for the lubricant business, whereby

we made the first ever export sales to USA, thus increasing our footprint to more than 30 countries. As regards our plan of value unlocking in the lubricant business, we have already in line with the recommendations of the consultant, we have already started taking initiatives around supply chain, cost optimization, product mix spread, and also rolled out customer engagement programs for improving our reach as well as improving the efficiency in this business line. As regards our plan for the carve out is concern

ned, we are actively pursuing the

same with the appropriate authorities for seeking approval for going ahead on this.

As regards our HP R&D center, the total patents as on 30th September is 606 which we have filed, out of which 232 patents have already been granted to us. There have been various niche technologies which we have developed there. One of them is the technology which has reached the commercial scale is the vapor recovery plant based on HP VRU technology, which we have already implemented in our Hassan terminal.

Further we have developed the HP DRA which is a drag reducing additive for reducing pressure drop in product pipelines and it has been successfully tested at a commercial scale in our VVS pipeline. The state-of-the-art catalyst additive and absorbent scale-up facility have been commissioned and made operational, thus empowering the scaling up of our R&D center's innovative catalysts and products for field level demonstration.

At the Visakh Refinery, we have commissioned the first ever green hydrogen plant in any refinery. The plant capacity is 370 TPA of green hydrogen using green power. And we have already started taking 3 megawatts green power to this pump for the same. We have also floated Hindustan Petroleum Corporation Limited

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another tender for 5 TMTA per annum for green hydrogen. That is under the SITE-2 Scheme of the government.

Similarly, our newly formed wholly owned subsidiary, HP Renewable & Green Energy Limited is already working on plans on renewables on almost around 250-to-300-megawatt capacity at various places. They also signed an MOU with MAHAGENCO for cooperation and collaboration in the field of green hydrogen and its derivatives.

So, these are primarily the main highlights of HPCL during this quarter. I'm open to taking up any questions on this. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: I had a couple of questions. The first was with respect to this LPG under recovery. Just to understand this Rs. 2000 odd crores is loss that is actually sitting in our P&L. When you say that you are building it in a negative buffer, can you just make us understand a little bit on the accounting of this? Is the loss actually there in the marketing segment, reported numbers or is it not part of it? I was not very clear on that.

Rajneesh Narang: It is part of the reported number. The loss has been considered in our book. If it is a positive buffer, we create a payable and we don't take it in our revenue, take it as a part of the income but however if it is a negative buffer it goes as a part of our P&L charge.

Probal Sen: So, sir, is it reasonable to assume that this kind of a run rate will continue given that not much has happened in terms of being compensated for this. Should we be building in this Rs. 2000 crores every quarter now as of this point?

Rajneesh Narang: I don't think that would be the right way of looking at it. Right now, yes, during this period, the LPG prices were higher. So, that's the reason why the under recovery was there. And going forward, we will have to see how the LPG prices behave. But anyway, if the under recoveries are going to be there, will definitely we have taken up with the government for necessary support on this aspect.

Probal Sen : The second question was, thankfully appreciate that you mentioned the inventory loss number of Rs. 1,400 crores. Just wanted to understand is it possible to split it between what was there in refining and what was there in marketing segment out of this?

Rajneesh Narang : Approximately 750 was in marketing and 650 in refining.

Probal Sen : Rs. 650 crores was the refining and around Rs. 750 crore was in marketing, right. Just on lastly, and I will come back, but one more question with

respect to refining, against the last year number

where Singapore was at \$10, but we reported about \$13 because of various factors, diesel prices has been higher, perhaps Russian crude was a factor, versus that in this quarter, we have actually now gone down to a discount versus the benchmark GRMs. Is it possible to sort of get a sense Hindustan Petroleum Corporation Limited

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of why this has happened is it mostly because Viskah performance is impacted by the pre-commissioning activities and inventory or is there any other reason for it? Just if you can give us a sense of it.

Rajneesh Narang: Primarily if you see in the same period in the corresponding previous year instead of the loss of Rs. 645 crores-Rs. 650 crores, we had an inventory gain last year of Rs. 900 plus crores. So, virtually that Rs. 1500 crores is the difference on account of inventory itself.

Probal Sen: And we are still getting around 35%-40% from Russia, sir, in terms of our crude source?

Rajneesh Narang: Yes.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: I also see that net debt has gone up quite sharply in this quarter. So, could you just help understand what are the factors behind that?

Rajneesh Narang: The debt has primarily gone up. One is the subsidy, which we have to receive almost Rs. 1,700 crores from the government. There is an increase there. Secondly, the inventory, now with the Vishakh refinery coming into almost full level production, if you see during this quarter, we have almost processed around 3.8 million metric tons of product. We had to hold higher inventory for crude as well as the higher inventory for the product. One more reason is that during this period we had an additional inventory of almost Rs. 2,000 crores because during the month of August and September, there were rains and on account of which, the demand was also muted. This is resulted in some increase in inventory in our books of account. So, primarily, around Rs. 2,000 crores to Rs. 3,000 crores has gone up because of the inventory. And around Rs. 1,500 crores to Rs. 2,000 crores is an account of amount receivable from that.

Amit Murarka: What is the CAPEX plan for this year now?

Rajneesh Narang: CAPEX will be doing around Rs. 12,000 crores – Rs. 13,000 crores. Out of that, we have already done Rs. 6,588 crores.

Amit Murarka: So, we're almost at the half way mark. Also, for the Rajasthan refinery, has there not been much progress in this quarter? Because even last quarter, I think you had mentioned similar numbers on completion. 92% for refining and 80% for overall.

Rajneesh Narang: No, the refining now, 92% plus.

S. Bharathan: Towards the end, since we are going to our pre-commissioning and commissioning, the percentage will not be the same. But in actual progress towards commissioning, it will be very close.

Amit Murarka: And commissioning you see in Q4 and Petchem will be what, one year after that?

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S. Bharathan: It may be after six months after that.

Amit Murarka: And could you also share HMEL performance for the quarter?

Rajneesh Narang: You want the quarter number or the half year number?

Amit Murarka: Whichever is fine.

Rajneesh Narang: During the half year, they had processed around 6.54 million metric tons of crude. Their GRM was around \$9 a barrel. During the six-month period, they had a loss of around Rs. 300 crores.

Amit Murarka: And EBITDA?

Rajneesh Narang: EBITDA is around Rs. 2000 crores.

Moderator: Thank you. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: First question is on this Vizag. I think, so you are basically in the process of commissioning the residue upgradation at the moment. And by Q4, you are saying the entire VRMP will be ready,

right?

Rajneesh Narang: Right, yes.

Sabri Hazarika: In terms of volume, we have already seen the upside the GRM, \$2-\$3 of incremental GRM which we have been suggesting, so that we can assume from FY26 onwards, is that right?

S. Bharathan: Yes, that is right.

Sabri Hazarika: And is it like fully, I mean in the books of account is there any more capitalization left or we have like mostly capitalized this Rs. 27,000 crores-Rs. 28,000 crores of CAPEX?

Rajneesh Narang: No, for Vishakh, around 11,000 is yet to be capitalized. That will get capitalized in the last quarter.

Sabri Hazarika: Rs. 11,000 crores of additional CWIP will basically get expensed in Q4.

Sabri Hazarika: So, right now, just to get a sense of your overall marketing numbers. So, I think petrol and diesel we can see the change in pricing. So, I think the margins are quite high. At the same time, LPG losses have further increased because of winters, I think the prices of Arab Gulf LPG has also gone up. So, if I look from a working capital point of view, not assuming that some subsidy may come later down the line. But in terms of debt and working capital, are you in a comfortable position right now or can you see short-term debt going up further in the incoming quarter?

Rajneesh Narang: No, the debt is not going to go up.

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Sabri Hazarika: So, right now because of high auto fuels margins, you are able to meet up whatever losses are there in LPG, is that right?

Rajneesh Narang: Yes.

Sabri Hazarika: Just a small follow up, you said last year the inventory gain was around Rs. 950 crores in refining, last year Q2, right?

Rajneesh Narang: Yes. Around Rs. 900 crores

Sabri Hazarika: Around Rs. 900 crores and this time it is around Rs. 650 crores negative.

Moderator: Thank you. The next question is from the line of Sumeet Rohra from Smartsun. Please go ahead.

Sumeet Rohra: Firstly, I would like to understand because numbers are crowded, so many inventory movement along with LPG, etc. So, sir, your reported number is 650 and we have absorbed Rs. 2200 crores of LPG losses and inventory loss of Rs. 1400 crores. Am I right?

Rajneesh Narang: Yes.

Sumeet Rohra: So, effectively, I mean, if I understand correctly, sir, if you add this back, we would technically be at somewhere around the Rs. 3500 crores mark?

Rajneesh Narang: Yes, that would be the normalized profit, you are right.

Sumeet Rohra: Okay, if I see that, first quarter again, you are way down because of these concerns of LPG. So, effectively, then I'm trying to understand, sir, because the matter of fact is that anyway investors are quite shaken up because of the results which is reported on the headline numbers. So, if you can read through the numbers on the core performance of the Company, is my understanding correct that we have done about Rs. 5500 crores of PAT in the first half. So, effectively what I'm trying to get at is that our core profitability has actually now substantially gone up from the past because of the projects and because of volume throughput coming. Is that correct sir?

Rajneesh Narang: You are right. If that way if you see, the core profitability will almost get doubled than what we used to do earlier. That was before the expansion. It will more than double.

Sumeet Rohra: Effectively, I mean if I can put it in simple terms, is that our core profit should be about Rs. 5000 crores-Rs. 5500 crores for the first half, which means that without the residue upgradation project, we have actually come to this level, which means that with the residue upgradation of Visakh kicking in F26, our profitability can be substantially in the five-figure mark?

Rajneesh Narang: You are right. With the current trend of crude if you see, primarily now it is ranging between 72 to 78. Now, if the current level and the crude remains range bound, then the profitability which we are re

ferring to is likely to mature in the next quarter.

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Sumeet Rohra: Coming to my next question, is on the value unlocking part of the lubricant. So, if you can please help understand effectively because the thing is that, today our market cap of around sub-80,000 crores because of the market crash today, I don't know exactly what it is, but somewhere around there. But it is not reflecting it from a investor angle, right, because I mean on one side you got Barmer refinery, on the other side you got Visakh. On the third side you got lubricant which is the 40% market share. So, sir, if you can help understand in the lubricant part where exactly are we today in terms of the demerger and value unlocking?

Rajneesh Narang: We would need , since I will be carving out this lubricant business, it would. There sis going to be a change as regards, because I will be forming another Company out of the existing Company. So, we need the approval from the Government of India for the same. We have already taken up with the Government of India as regards the demerger is concerned. So, that approval we are waiting because that would need approval from the Ministry of Finance, from DIPAM and Niti Aayog. So, we are waiting for those approvals to come.

Sumeet Rohra: And sir, just one last thing before I end. Sir, we have presentation, which we have given to the exchanges. I think, some time back, in which we are talking about a Rs. 40,000 crores EBITDA, which is basically once the projects are commissioned. So, we actually think that that could be beaten because of the quality of the projects that we have now.

Rajneesh Narang: Yes, we stand by what presentation we had given. There's no doubt on it.

Moderator: Thank you, sir. The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: So, couple of clarification on the Vizag expansion. In terms of the expansion in the current environment in a like-to-like case, how much profitability or EBITDA is added because of the expansion? Will you be able to give us some color? And the second part was for the RUF unit, if this environment continues, what could be the margin upgradation instead of \$2 to \$3 per barrel? Could you also provide some color under the current environment?

Rajneesh Narang: If I take the mid-cycle GRMs and calculate, the expansion of refinery from 8.33 million tons to

15 million tons and bottom upgradation to RUF, that was to add almost Rs. 4,500 crores to the profitability of Visakh. Out of that around Rs. 2,000 crores to Rs. 2,500 crores is because of the capacity expansion, the balance is on account of the bottom upgradation.

Kiran Mehta: And the second question was about the Bathinda. Could you also share the current petrochemical utilization and its contribution at the gross margin level?

Rajneesh Narang: They are operating today at more than 90%. That's what I can say. And as regards the operation of the plant is concerned, what exactly you wanted of what is that?

Kirtan Mehta: Contribution at the gross margin level, Petrochemical contribution at the gross margin or EBITDA level?

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Rajneesh Narang: I don't have it right now; we will share it separately.

Kirtan Mehta: And the last question was about the Chhara LNG terminal. When do we expect it to start operating?

Rajneesh Narang: Before this financial year.

Kirtan Mehta: And what is the current bottleneck, which we need to resolve to operate it?

Rajneesh Narang: Right now, we will shortly be coming in the market to book the commissioning cargo. Last time in April we had brought a cargo, but we could not commission because the sea conditions became rough and all. After that the monsoon season had started. So, effective October only in the fair-weather season we could bring the ca

rgo. So, that cargo will be bringing it in December

or January and then commission. Otherwise, we have got all the port approvals, the jetty and all, everything is in place, there is no issue. Only thing is we will have to bring the cargo and commission.

Kirtan Mehta: And what could be the utilization over first couple of years in terms of the million-ton throughput? We had said previously that our own demand could be of the order of 2 million ton or so.

Rajneesh Narang: Correct. HPCL, our Mumbai Refinery, going forward even HMEL and our Rajasthan refinery, the gas would be moving from there only. Because from Chhara, we are connected to the national grid. It will go from there itself to all the places. The moment Visakh is connected through pipeline, right now that Srikakulam Vishakhapatnam pipeline is half late and yet to be completed. The moment that also gets completed even Vishakh can be given some. product can go from here. So, if I see my in-house consumption itself is more than 1.5 to 1.7 million metric tons among these three units. Plus, I have my own GAs where I can sell. Plus Now LNG trucking is picking up gradually. So, we are already set-up 4 LNG outlets. We have plans to scale up that facility also. A lot of new demand is coming up on LNG trucking also. So, and we see there's a lot of potential as regard LNG is concerned. And definitely the capacity utilization will also keep on improving as we go ahead.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bank Equities. Please go ahead. Thank you and good evening.

S. Ramesh: In refining, what do you expect to change that will get the industry going back to normalized margin? Do you see capacity closures or are you waiting for demand for petrol and diesel to improve over time? What are the variables you would expect to change that will see some visible improvement in GRMs going forward?

Rajneesh Narang: Compared to the August and September, we are already seeing an uptick as regards the GRMs are concerned. The Singapore GRMs, if you take the benchmark Singapore GRMs, they had gone down to \$3.2 a barrel. Today's morning number if you see it has already reached \$4.7 a
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barrel. I'm sure with winter season picking up and all, China demand and all, those are the factors which will scale it up. The GRMs are likely to improve only.

S. Ramesh: Yes so I understand the short-term movement what I am trying to get it in terms of the structural outlook for refining as a business because there's a lot of excess capacity, there is a weak demand so in terms of demand and supply do you see supply reduction or capacity closures happening in the next 1-2 years, which will give some structural improvement in the outlook for GRMs?

Rajneesh Narang: That would continue to happen. Even now it is happening, whereby few of the inefficient refineries, they closed down. And like, fortunately for us, we have recently revamped our refineries. The Rajasthan refinery which is coming up is going to be new refineries most energy efficient refineries and all. So, all those people who have old refineries or the inefficient refineries, definitely there is a case for them to shut down. And for us, it becomes an opportunity.

S. Ramesh: Okay, now on the City Gas distribution business in LNG, can you share some numbers in terms of when you see the commercial contribution from your standalone GAs in your P&L and what

are the kind of volume and say top line and EBITDA again look at per cubic meter or whatever you can share say over the next two years in CGD?

Rajneesh Narang: Even today we are doing around 0.4-0.5 million metric ton of natural gas and LNG. We are even today doing that. And the same, once our terminal is commissioned, we will start bringing our own LNG cargo. And we have planned to scale it up to 2.5 million in the next two years.

S. Ramesh: This on LNG. On the City Gas distribution volumes, can you give some color in terms of the progress on the network expansion, the CAPEX and the volumes and some indicator in terms of how much you can add to your profitability on a standalone basis?

Rajneesh Narang: Every year we are doing a CAPEX of almost Rs. 1,800 crores to Rs. 2,000 crores in the CGD space. And we have already, the network which we have put, almost more than 130 odd CNG stations where we have our own, in our own GA's, we have already started getting the revenue from them, while they are not huge numbers but they have already started contributing to our bottom line.

S. Ramesh: Just one last thought on that. So, if you take a 3–5-year view once, you have a significant number of CGD GAs. What is the internal business plan throwing up in terms of volume and revenue and EBITDA?

Rajneesh Narang: EBITDA we aim around Rs. 1,000 crores from this in the next five years.

Moderator: Thank you. The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: The first question was more on the operational side. In terms of the Vizag, I think it got pushed about by a quarter or so in terms of the startup. Do you see any other challenges in terms of Hindustan Petroleum Corporation Limited

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further ramp up on the Vizag side or you think you will be able to kind of deliver full volumes on the upgrade by the June quarter fully?

S. Bharathan: So, Vizag, if you see in the latest quarter we have already done 3.8 million metric tons which is equivalent to the additional capacity what we have installed. So, the full volume is already realized and with the completion of bottoms upgradation even the value realization will be done.

Mayank Maheshwari: So, bottoms up gradation we should be able to kind of see the full impact by March quarter or it's more looks like a June quarter thing?

S. Bharathan: It should happen in the March quarter only.

Mayank Maheshwari: The second thing was in terms of the Rajasthan refinery, what would be the net debt sitting on the books at Rajasthan right now?

Rajneesh Narang: Roughly around Rs. 35,000 crores – Rs. 37,000 crores.

Mayank Maheshwari: The last thing was more related to the marketing side of the business. You have obviously done very well. I think you have kind of got some market share on the diesel side. Like, can you just kind of think, tell us about how you are doing some of these market share gains and is there more scope for you to kind of grow market share in some of these places?

Rajneesh Narang: Yes, that's always our resolve to gain more market share. And if you see consistently past 4 quarters we have been gaining in terms of market share. Not only in the MS and HSD space, but also in our direct sales and the lubricant space also. Even LPG and ATFs if you see. We are having good volume and good market share growth in this business line.

Mayank Maheshwari: Just on this marketing point, sir, industrial side, how are you seeing competition? And can you give us a bit of a sense subjectively as well, how is competition doing, how are margins doing on the industrial side?

Rajneesh Narang: The industrial has always been quite competitive, both for diesel, bitumen and all. As regards the competition is concerned, yes, in the industrial side, we have a market share of around 13% in that space. IOC is the major one, almost 70%. So, that gives us an opportunity to increase our market share there. So, that is one area where we are focusing as to how we can increase our penetration into bitumen, then HSD as well as specialty products of Hexane, MTO and others.

Moderator: Thank you. The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: And my first question is on, what is the LPG price that you need to reach zero under recovery?

Rajneesh Narang: It i

ncreased by almost Rs. 200 per cylinder.

Puneet Gulati: And in terms of Russian crude, what is the discount you are enjoying currently?

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Rajneesh Narang: It varies every month.

Puneet Gulati: An average, for example, last quarter or a range if you can give?

Rajneesh Narang: Around Rs. 170 to Rs. 180 per cylinder.

Puneet Gulati: On the Russian crude I am asking, the discount on Russian?

Rajneesh Narang: The discount has come down significantly but is still cheaper than the other source.

Puneet Gulati: Any range that you can share in terms of discount, dollar per barrel?

Rajneesh Narang: No, I cannot.

Puneet Gulati: And you talked about Rs. 4500 crores incremental profit from Vizag . What is the underlying GRM you assume for that?

Rajneesh Narang: Around \$6 to \$8 a barrel. And post RUF it will increase by another \$2-\$3.

Puneet Gulati: And that's your GRM, not the Singapore GRM?

Rajneesh Narang: Yes. We have worked on our GRM.

Puneet Gulati: \$6 to \$8 and then \$2 incremental for the refinery upgradation part?

Rajneesh Narang: Yes.

Puneet Gulati: And lastly if you can talk about any cost escalations you are seeing on the Rajasthan refinery side and the Vizag project side?. Revised cost numbers?

Rajneesh Narang: The revised number for Rajasthan is Rs. 73,000 crores. Since it's a EPC contract, I gave you the number, the total commitment is Rs. 70,872 as of date.

Puneet Gulati: And Vizag?

S. Bharathan: Rs. 30,000 crores is the total project cost.

Puneet Gulati: And no change? Now you should have a concrete view of this cost, right?

S. Bharathan: This is the final, right.

Moderator: Thank you. The next question is from the line of Vishnu Kumar from Avendus Park. Please go ahead.

Vishnu Kumar: On the incremental GRM mentioned, sir, the \$6 to \$8, this is an absolute or like we should consider 3 plus 4, which means the range is about 10 to 12?

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Rajneesh Narang: No, the question there was asked is, what is the mid cycle GRMs your are considering? So, there I said we consider around \$6-\$8 a barrel. And post-RUF we consider an incremental of \$2 to \$3 a barrel.

Vishnu Kumar: Once we have the bottom upgradation completely done, can we increase the Russian intake of crude in Vizag and is it possible? If possible, how much can we get to?

S. Bharathan: Already at around 40% we are there. Depending on the opportunity, it can go by more than 10-15%.

Vishnu Kumar: So, we already reached 40%, maybe we can go to 50% is what you think, on Vizag?

S. Bharathan: Yes, right.

Vishnu Kumar: Sir, in marketing business, if you could just help us understand what would be the per litre diesel and petrol margin this quarter and also if possible for the last two quarters?

Rajneesh Narang: I can only give you the entire marketing margins, not product wise.

Moderator: Thank you. The next question is from the line of Rituparna Ghosh from Argus Media. Please go ahead.

Rituparna Ghosh: My question is regarding What sort of long-term LNG contracts are you seeing from Chhara LNG terminal?

Rajneesh Narang: You are talking about sourcing or what?

Rituparna Ghosh: Sourcing, yes sir.

Rajneesh Narang: We will be tying up for our requirements because this terminal is a 5 million metric ton terminal.

Like if I told you that we have a plan to reach 2.5 million metric ton in the next 2 years and I need to show a contract that much quantity only then I can be there. So, we will be gradually phasing our procurement plans in line with our business plan to increase the LNG volume.

Rituparna Ghosh: In line by which you will be closing the deal or what sort of response are you getting from the global market in terms of the sourcing?

Rajneesh Narang: They're already in market as regards long-term sourcing is concerned. And the response has been quite good.

od.

Rituparna Ghosh: And sir, second question is regarding the building of breakwater facility at the terminal. How far has the work been reached?

Rajneesh Narang: For the LNG terminal, the breakwater which is required is around 1,900 meters. Now out of that 1,900 meters 1050 meters have already been done. And the balance also, it has reached 4 meters

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below the water level. Up to that place, it has been done. Now with the fair-weather season starting effective October, the work will shortly start over there for completing the balance part.

We are hopeful that in this fair-weather season, the same should be completed.

Rituparna Ghosh: You are hopeful to complete the work by this fiscal year?

Rajneesh Narang: In this fair-weather season.

Rituparna Ghosh: And so lastly, to confirm what you already mentioned, you'll be getting the commissioning cargo in December and January. Correct, sir?

Rajneesh Ghosh: Yes, December or January, we will be getting the cargo.

Moderator: Thank you. The next question is from the line of Shivansh Sood from Desvelado Advisory. Please go ahead.

Shivansh Sood: The question was like, with the changing geopolitical dynamics in Russia, so do you think the discount factor you are getting from Russia is going to increase or decrease in the coming near future?

Rajneesh Narang: One thing is there, I don't buy Russian crude just because it is a Russian crude. I buy because it makes value in my system. So, long the Russian crude will make value in our system and it is better than processing other crude, we will be processing the Russian crude. So, depending upon how the environment is, what is the level of discount and all the same would be analyzed on a case-to-case basis and accordingly the sourcing would be done.

Moderator: Thank you. The next question is from the line of Gagan Dixit from Elara Securities. Please go ahead.

Gagan Dixit: So, there's the one month back news that your parent Company, ONGC, is planning the 12 million ton refinery that's in UP Prayagraj. So, is there any possibility that HPCL will also be involved in the later stages for that, because the parent Company you...?

Rajneesh Narang: You should ask this question to the parent Company because I am not aware of it.

Moderator: Thank you. The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So, you have the renewable subsidiary. So, just like NTPC is planning to do a float, when do you think you can reach a commercial scale to think of a listing like NTPC? Any thoughts on that?

Rajneesh Narang: Maybe maximum two years we should be reaching that space.

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S. Ramesh: Any numbers you can share in terms of what is the scale in terms of megawatts of power, some sense in terms of investment, can you share some numbers for the next two years?

Rajneesh Narang: Right now we are doing around 200 plus megawatt of renewable there. We have plans to set up more CBG plants also under that business. And maybe by end of the year we may tie up another 200 odd megawatts and the next two years we want to be touching around 2 and 2.5 gigawatts .

S. Ramesh: And what will be the size of the balance sheet or investment over the next two years?

Rajneesh Narang: It would be around Rs. 15,000 crores-Rs. 20,000 crores is what we had anticipated, both the renewables as well as the biofuel.

S. Ramesh: So, on MRPL there have been a lot of backing and sorting on the merger proposal given the kind of challenges your refiners are facing. Do you think you will again take that issue? Is there any progress likely on the MRPL merger?

Rajneesh Narang: Currently there is no such discussion. As and when it comes we will definitely review and do the needful.

Moderator: Thank you. The next question is from the line of V

imal Sampath, an individual investor. Please go ahead.

Vimal Sampath: My question is pertaining to lubricant business. By when do you think we will be able to de-merge?

Rajneesh Narang: The moment we get the approval, it may take another six to eight months after that for the entire process to complete.

Vimal Sampath: We are planning to manufacture some products for Chevron. Can you please give some more clarity on that?

Rajneesh Narang: We are already manufacturing the same in our plant.

Vimal Sampath: Okay, so is it a kind of technical tie up or only job work we are doing? What is it?

Rajneesh Narang: It is both.

Vimal Sampath: And then we will marketing jointly or they will do it in their name only or through our network we will do it?

Rajneesh Narang: They are directly marketing, but they can use our network also.

Vimal Sampath: And second thing now, in next 2-3 years, with our lubricant business and green this thing, all will be demerged. And our refineries also, we have joint ventures. So, we will be a very large conglomerate.

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Rajneesh Narang: Yes.

Vimal Sampath: How are you looking at it?

Rajneesh Narang: HPRG is already a separate Company. It is not demerged. Then we have the gas HP LNG that is a separate Company. Right now we are talking about lubricants.

Vimal Sampath: Only lubricants, and gas also will be very significant contributor to us.

Rajneesh Narang: Yes.

Vimal Sampath: So, in future you may demerge gas also?

Rajneesh Narang: Gas is a separate Company also. LNG terminal is a separate Company.

Vimal Sampath: No, I am talking about this CGD and this biogas, CBG what you are going to do, no?

Rajneesh Narang: We will evaluate that once GST and all is implemented, we will see at that point.

Moderator: Thank you. The next question is from the line of Umar Farooq from CRISIL. Please go ahead.

Umar Farooq: The question regarding, with the crude oil prices declining and if you expect crude price to remain as we have said to around \$72 to \$78 per barrel, so what are we expecting for quarter 3 of this fiscal regarding the marketing margins?

Rajneesh Narang: That we gave you a number, in case we get our normative margins and all, the numbers there will be. In the initial questions we had covered that. And in case the prices of the crude are going to be around the level at which they are, then in the case there will be no incident of any inventory loss or gain.

Umar Farooq: So, my second question will be as the center has been pushing so much on ethanol blending to reach 20% by ESY 25-26. The ethanol production capacity has also increased to 1,623 liters as ChiniMandi has recently reported. So, by when can we expect ethanol blending to reach 20% of targeted blending? Is it possible that we achieve it by next fiscal or do we have to wait further?

Rajneesh Narang: Even today ethanol blending is almost 15.9% which is being done. What has been said is by 25-26 the ethanol supply year, ESY, the 20% target is to be achieved and it will be done by that time. And today there is no problem as regard availability of ethanol is concerned. So, gradually this percentage you will see that it will keep on increasing and the target of 20% in ESY 25-26 will be achieved.

Umar Farooq: So, I had this question because very recently, ethanol producers have complained, have raised issues as producers are not procuring enough ethanol. So, that was leading to excess supply in the market. So, was there any problem or are we once again facing any issues in regards to Hindustan Petroleum Corporation Limited

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procuring ethanol? Maybe if we procure more from producers, that 15% what we are at now could be 16% or 17%?

Rajneesh Narang: If the availability is higher, we will go for higher percentage.

Moderator: Thank you. The next question is from the line of Meet Par

ikh, an individual investor. Please go ahead.

Meet Parikh: My question was the \$6 to \$8 GRM that you mentioned, mid-cycle GRM. So, is this for the Company or is this in reference to the Singapore GRM?

Rajneesh Narang: Company.

Meet Parikh: And this leads to, you are saying at this level, it leads to a PAT addition of Rs. 4,500 crores in Vishak for 15 million metric tons of capacity, right?

Rajneesh Narang: I referred with respect to the pre expansion and the pre investment period.

Meet Parikh: So, this is an addition of the total?

Rajneesh Narang: This is not addition. This is before when the refinery was at 8.33 by doing all these investments, it would have resulted in an increase of Rs. 4,500 crores.

Meet Parikh: And my second question is regarding HRRL. So, in the presentation we had mentioned a \$20 mid-cycle blended GRM. So, is that still valid or what do you expect the blended GRM to be for HRRL?

Rajneesh Narang: Those are the numbers at which the financial appraisals have been done. If you calculate it today, maybe the number would be different. But these numbers will keep on changing. This project which is coming up is going to come up for next 20-25 years. So, things will keep on changing over a period of time. At a particular moment of time you will see that sometimes it will be better or sometimes it will be less but over a period of time this is the number which the refinery will be realized. If you take a case, last year there was a period when the GRMs used to be in double digits, it used to be 13-14 on MS HSD processing only but today the GRMs are lower. So, these things, these cycles will keep on coming and going. But when you evaluate a project, you evaluate considering a particular level or particular period what the GRMs are likely to be. So, the numbers which we have considered for HRRL is the numbers which you are referring to.

Meet Parikh: So, for a Rs. 8000 crores EBITDA, we would require something like what 12 dollars GRM from HRRL?

Rajneesh Narang: I don't have the numbers right now but we will share it separately.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Varatharajan, Sivasankaran for closing comments.

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V. Sivasankaran: Thank you, Nikita. If you have any closing comments to make, please.

Rajneesh Narang: We already said what we thought is relevant. As far as this quarter is concerned, we will only take this opportunity on my personal behalf and on behalf of our Director (Refineries), Mr.

Vinod and all our HPCL staff and employees, we wish each and every participant a very happy Diwali to them as well as to you, Varatha, and all the best to you all. Thank you.

V. Sivasankaran: Thanks a lot. I wish to thank all the participants and the management for taking time out and discussing in great detail. Wish you all a Happy Diwali. Have a nice day.

Moderator: On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2025

"Hindustan Petroleum Corporation Limited Q3 FY'25 Results
Conference Call"

January 24, 2025

MANAGEMENT : MR. RAJNEESH NARANG - DIRECTOR OF FINANCE &
CMD, HPCL LTD.
MR. S. BHARATHAN - DIRECTOR OF REFINERIES , HPCL
LTD.
MR. K. VINOD - EXECUTIVE DIRECTOR (CORPORATE
FINANCE) & CFO, HPCL LTD.
MODERATOR : MR. VARATHARAJAN SIVASANKARAN - ANTIQUE STOCK
BROKING LIMITED

Hindustan Petroleum Corporation Limited
January 24, 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Hindustan Petroleum Corporation Limited Q3 FY'25 Results Conference Call hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr.

Varatharajan from Antique Stock Broking Limited. Thank you and over to you, sir.

V. Sivasankaran: Thank you, Sejal. A very good morning to all the participants and the management of HPCL. We have with us, Mr. Rajneesh Narang – Director (Finance) and holding additional charge as the CMD, Mr. S Bharathan – Director, Refineries and Mr. K Vinod – Executive Director, Corporate Finance and CFO.

Once again, extending a very warm welcome to all the participants and the management. I would like to hand over the floor to the HPCL Management for their "Opening Remarks".

Rajneesh Narang: Good morning, everyone. I am Rajneesh Narang – Director (Finance), with Additional Charge of CMD, HPCL.

Yesterday, we had our board meeting for Q3. It's a matter of right for us to say that we had an exceptional Q3. Now, during this quarter, we had a profit after tax of Rs.3,023 crores vis-à-vis Rs.529 crores in Q3 of Financial Year '24. The improved performance is attributable to the robust physical performance and operational efficiencies in both our refinery and the marketing division, coupled with the improved margins which we had. The standalone revenue from operations is Rs.1,18,936 crores vis-à-vis Rs.1,18,443 crores during the 3rd Quarter of Financial Year '24.

Average GRM during the 3rd Quarter was \$6.01 per barrel vis-à-vis \$8.49 per barrel during 3rd Quarter of the previous financial year. During this period, the Singapore GRMs were around \$5 a barrel and since Singapore GRM do not factor in the fuel and loss and the inventory losses and gains, if I consider that aspect, the core GRM for the HPCL is \$6.89 per barrel vis-à-vis the \$5 of Singapore. During this period, HPCL refineries recorded its highest ever crude throughput of 18.53 million metric tons, operating at 106% of the installed capacity. So, virtually, if you see there is an increase of 12.4% over the throughput of 16.49 million metric tons in the corresponding previous year.

If we see the Q3 performance of the refineries, the crude throughput was 6.47 million metric tons, operating at an 111% of the installed capacity, registering an increase of 21.2 million metric tons or the throughput of 5.34 million metric tons during 3rd Quarter of Financial Year '24.

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Now, if we see today, effective January also, we have started operating the Vizag refinery at the full capacity of 15 million metric tons.

Now, during this period, April-December, HPCL recorded highest ever sales volume of 37.12 million

metric tons, registering a growth of 7.6% as against 34.49 million metric tons during the corresponding previous year.

In terms of our quarterly sales volume, it is 12.87 million metric tons, registering a growth of 8.2% as against 11.9 million metric tons in the corresponding quarter of last year.

If you see the performance of HPCL on the domestic front, the sales volume growth was 8.2% during the quarter as against the industry growth of 6.3%. So, we have been consistently growing above the industry. And the growth is 6.5% during April-December '24 as against industry growth of 4.8%.

In fact, HPCL has recorded market share gain of 0.36% during the 3rd Quarter Financial Year '24.

Now, if you see the growth in terms of the motor fuels, that is MS and HSD in the 3rd Quarter, we sold 7.85 mill

ion metric tons, a growth of 6.3% over the corresponding quarter. And in case of LPG, the company achieved the sales volume of 2.31 million metric tons, against a growth of 4.9%. The industrial product, so that is the direct sales where we sell the product to our industrial customers and all, the sales volume was 1.25 million metric tons during the quarter, a growth of almost 25% over the corresponding period last year.

Aviation continues to show robust performance with the growth of 26% over the 3rd Quarter of financial '24. With the sales volume of 285 million TMT during this quarter, we expect that the ATF in this current financial year, we will be crossing the 1 million metric tons mark for the first.

The HPCL Lubricant segment, again, sales volume was 178 TMT, a growth of 11.5% over the corresponding quarter.

To ensure that the product is made available at all our selling points and the locations, the pipelines throughput has also been maximized to 6.93 million metric tons, a growth of 3.3% over the last year.

In terms of the CAPEX expenditures during this 3rd Quarter, we have spent almost Rs.2,900 crores, and cumulatively for the period April to December, around Rs.9,500 crores have been spent.

And in the month of January, we have commissioned our 5 million metric tons Chhara LNG regasification plant when the cargo was downloaded, it was downloaded at the tanks over there and the commercial operations will shortly be started. Now, this unit is being operated under our wholly-owned subsidiary, HPCL LNG Limited.

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In the previous quarter, that is Q3, taken the board approval for a new project for Mumbai Refinery, that is the Lube modernization and the bottom upgradation project. The estimated cost is almost around Rs.4,700 crores and the project is scheduled to be completed by March '28. The project would enhance the base oil production of the refinery from 475 KTPA to 765 KTPA, with production of superior grade base oils of Group-II and Group-III.

In addition, it will also increase the capacity of bitumen by approximately 487 KTPA per annum.

With upgradation of fuel oil to bitumen, currently, the fuel oil is getting exported, and as such, we do not get a better realization, but with this conversion to bitumen, we will be able to realize better, and as such this will result in not only the improvement of distillate yield for the Mumbai Refinery, but would also add good margins to the refinery.

During this 3rd Quarter, Mumbai Refinery commissioned the VGO Hydrotreating in DHT. This will increase the MS production by almost 100 TMT per annum.

As regards our 9 million metric tons grass-root refinery in Barmer, the same is progressing in full swing. And as on 31st December '24, the total commitments on the projects are 71,814 crores and the actual capital expenditures, which has been done is approximately 53,000 crores.

The refinery and petrochemical complex is expected to be progressively commissioned during the current calendar year. We would first be commissioning the refining unit and we are targeting that by March '25, we will be doing the mechanical completion and after next quarter the unit would be commissioned, and followed with that, the pet chem unit would be commissioned.

As regards our 3.55 million metric tons per annum residue upgradation unit at Vizag Refinery, the unit has been mechanically completed and currently pre-commissioning activities are underway.

The OISD and PESO approvals will be coming and thereafter the hydrocarbon would be taken. In fact, OISD will be visiting the facility in the next week. So, this is the first unit in the world using LC-Max technology which will enable highest conversion of bottoms, thereby significantly improving the GRMs for the refinery on the full capacity. Although this capacity of this unit is 3.55 MMTA per annum, but we will be able to get a better distillate yield on t

he entire 15 million metric

tons capacity of the refinery. As such, there would be a significant margin accretion to HPCL on account of the commissioning of this facility.

During this quarter, we commissioned around 450 retail outlets, taking the total number of outlets to 22,953. The company also commissioned six LPG distributorship, taking the total number to 6,370.

We also commenced the CNG sales in our CGDs in Darjeeling, Jalpaiguri and. Uttar Dinajpur (GAs) and commercial PNG sales in Shahjahanpur Badaun GA, thus strengthening our presence in the eastern part of the country.

During the quarter, the HP Green R&D Center entered into an MOU with EIL as an exclusive technology and engineering partner for engineering, marketing and commercialization of the HPPSA technology, which was indigenously developed at our R&D center. This quarter, the R&D Center has filed 14 patents, taking the total patents file to 620, out of which 236 patents have been granted till 31st December.

As part of our value unlocking initiative being undertaken for the lubricant business, benefit for the rollout of supply chain, cost optimization, product mix spread and customer engagement initiatives have started accruing. Simultaneously, approval for the carve out of the business continues to be actively pursued with the appropriate authority. We are already seeking approval from the government for carve out, and as on date, we are yet to get the approvals. But the moment we get it, it will take another nine months for us to do the carve out.

As regard the non-fuel business of the company and providing value added services to the customers, we have added three HaPpy Shops taking the total number of HaPpy Shops nationwide to around 482 numbers. This segment that has been a non-fuel business is under extreme focus for the company and we intend to make more investments in this and try to capitalize on the retail space in terms of higher revenue from this segment.

During this quarter, while the refinery commissioned the Wet Air Oxidation Unit, which is an advanced low-pressure technology for treatment of Spent Caustic Streams, in addition environmental benefits would also accrue on account of this.

Our wholly-owned Green subsidiary, HPRGE has signed MoUs with the government of Rajasthan for setting up solar and wind hybrid projects. We have sought around 2,000 to 3,000 acres of land from the government for setting up new green solar and hybrid projects over there. Similar MoUs have been signed with the Government of Bihar also.

Further, as regards the Green part is concerned, we have issued 12 Lols for CBG plants, taking the total number of active Lols to 141, with total CBG production capacity to 878 TMT per annum.

In terms of the ethanol blending activities, we have done 16.2% during the quarter and blended of approximately 57 crore liters in MS. And we have commissioned an additional 50 CNG facilities in this quarter, taking the total number of retail outlets with CNG facilities to 1,850.

And in terms of EV charging, we have crossed the 5,000 mark of EV facilities at our outlet.

So, this is what I wanted to share before I can take up the questions. Now, the forum is open for questions on our performance.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

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Probal Sen: I had three questions. Number one, you mentioned about the refinery part of the Barmer refinery getting completed by March and may be commissioning by June. And in how many months can we expect the mechanical portion to be commissioned?

Rajneesh Narang: Pet chem would take maybe by September we'll be able to do the mechanical completion followed by that the commissioning would happen.

Probal Sen: So, sir, is it

safe to say FY'27 we should be able to see year one of complete operations of the Barmer refinery?

Rajneesh Narang: Yes, '26-27 definitely, but we are hoping that December '25 we'll be able to commission, the first quarter maybe some stabilization issues would be there, but yes, '26-27 would give the full benefit out.

Probal Sen: So, the second question was in this quarter, how much of our Russian crude came from discount and what is our contract situation with respect to Q4? Have we tied up some volumes for Jan and Feb or it's completely open as of now? So, how are we looking to mitigate the disruption to whatever extent that happens on Russian crude?

Rajneesh Narang: See, we are on a monthly basis consuming almost 35% to 40% of Russian crude. We have already tied up for the same... rather our entire crude requirement up to March has already been tied up. That includes some cargos of Russian cargo also. I don't consider this as a disruption because it's not that perennially we have been only using Russian crude, prior to that also we were operating the refineries. Only thing is that the Russian crude after the discount had come, it was adding more value to process the same. So, we were using it. So, enough of crude is available, there is no dearth as regard the crude availability is concerned. With the commissioning of the Vizag refinery with rough and all coming in, the capability to produce the heavier crude will further increase rather we can expand the basket of crude. Today also, we are getting the crude from almost 40-odd countries. So, there's no issue as regards the availability of crude is concerned. And crude is sufficiently available, both heavy crude as well as the other crude and we don't foresee any disruption as regard the crude part is concerned.

Probal Sen: I understand. My point was more about disruption what I meant was that obviously on the cost side,

it would have an implication, whether small and big, something remains to be seen, but that discount will obviously not be there. So, that was my question, sir. I understood your point.

Rajneesh Narang: Here also I think it is too premature to say that the Russian crude will not come at all. Yes, with these decisions, the US sanctions and all the immediate reaction is that the crude may not come and all, but we will have to wait and see as to how the market unfolds, how the supply chain on this front happens and accordingly then maybe it would be better to conclude rather than straightaway jump to a conclusion that Russian crude will not come at all. Let us wait and see as to how things unfold.

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Probal Sen: With respect to the LNG terminal at Chhara, of course, our internal requirements might be there, which we will use this terminal, but other than that, have we signed any long-term offtake contract from this terminal?

Rajneesh Narang: We are progressing as regards signing of the long-term contract is concerned. It may be concluded in a very near future. Yes, till the time we don't tie it up, we will be getting the cargo on a spot basis and meet the requirement, and we may pool it with our domestic gas and try to sell it in the market. Already there are some potential parties who have already approached us for the capacity booking. So, this terminal is going to be a tolling model. So, whether we bring our own cargo or anyone else can bring and also store it over there. So, this is going to operate on a tolling basis. In terms of our requirement, we will be sourcing for HPCL own captive use plus for Rajasthan refinery and also for HMEL. So, if I look at it, may be in the near future, we may have our own captive requirement of 1.5 to 1.75 million metric tons plus the opportunities in the market.

Moderator: The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Sir, your debt has declined by 12,000 crores approx-

imately compared to the Q2 FY'25. What was the major cash flow which helped you to repay the debt -- is there any adjustment?

Rajneesh Narang: There's no adjustment. It is better operational performance which is getting reflected in the results also. And one area is, yes, around 2,000 crores, it had come down because the oil bond had matured, so that was used for liquidating the loan.

Yogesh Patil: Sir, pertaining to the same, in the last quarter guidance for the Vizag refinery unit, you said that 11,000 crores is yet to be capitalized, and which is expected in Q4 FY'25. Post commissioning of these Vizag at your facility, will you consider it and will it increase the debt again, is that a correct understanding?

Rajneesh Narang: No. When I say we will be capitalizing means that amount has already been incurred. Now, as regard the total capital expenditure is concerned, more than 97%, 98% of the expenditure in Vizag refinery has already been done. When we say capitalize means we will be transferring it from work-in-progress to the asset.

Yogesh Patil: Sir, is there any oil product inventory losses during the quarter, could you please share the number with us? And how many days of oil product inventory generally you maintain?

Rajneesh Narang: If you see during the period in Q2 the Brent crude averaged around \$80 a barrel, and whereas in the Q3 the average crude was around \$75 a barrel. Now, if you look at it, the prices had softened on account of which we had inventory losses. And during this quarter in refinery we had inventory loss of 355 crores and in marketing around 460 crores was the inventory loss. Cumulatively, for the period April-December in refinery, it is 1,100 crores and in case of marketing it is 1450 crores.

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Yogesh Patil: What was the amount for the Q3 in case of a marketing segment inventory loss?

Rajneesh Narang: Rs.460 crores.

Rajneesh Narang: And in terms of number of days. At the crude level, we have around 15 to 20 days of inventory and in case of finished goods it is around 25 to 30 days.

Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Services. Please go ahead.

Sabri Hazarika: So, few questions. Firstly, so now what kind of GRMs are you targeting for next year on the standalone business, Mumbai and Vizag combined?

Rajneesh Narang: If you look at the forwards of Singapore up to July and all, the GRMs are likely to be in the range of \$5 to \$6 a barrel. So, normally we make higher than the Singapore GRM. So, that trend would continue. And with commissioning of the rough unit at Vizag refinery, we'll be adding \$2 to \$3 per barrel more at the Vizag refinery. So, that will be an incremental revenue.

Sabri Hazarika: And second question is on HMEL. So, can you share with us the profitability figures and the GRM for Q3 in particular? I saw the nine month GRM in the presentation.

Rajneesh Narang: GRM Q3 was around \$9 a barrel over there.

Sabri Hazarika: So, this includes the pet chem part also just -

Rajneesh Narang: No, no, this is the refinery part.

Sabri Hazarika: What was the profitability for Q3?

Rajneesh Narang: There was a loss as regards the integrated operation is concerned. Rs.700 crores is the loss. Primarily, the loss is in the pet chem part only.

Sabri Hazarika: And when do you expect any sort of like turnaround or profitability on this as a combined unit?

Rajneesh Narang: No. In fact, the polymer prices are subdued. We hope that there will be a reverse trend on the same and the moment that happens maybe it should start reflecting in the revenue. The refining part is absolutely no issue. Only the pet chem because of the subdued prices is what is hitting.

Sabri Hazarika: So, it's operating normally as a whole. You are just saying it's because of the polymer prices only the losses are there?

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Rajneesh Narang: Regarding the operating part is concerned, it is operating beyond 90% capacity. EBITDA is positive for the refinery. There is an operating profit, but the interest and depreciation is what is pulling it.

Sabri Hazarika: So, what is your overall view on LPG subsidy and are you expecting the same, have you like got anything, I mean, have you like pushed for it recently?

Rajneesh Narang: See, the total under recovery for us on LPG account as on this Q3 is almost 7,600 crores, out of which 3,100 crores is in the Q3 itself. We have also read in the media that the government is likely to consider the same in the budget. Maybe next week we will come to know as to how much subsidy is being allocated on that count. And we are hopeful definitely the government will consider it and we'll be able to realize it in this financial year.

Moderator: The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: So, if I look at your refining performance, can you help us understand how you are managing to improve the refining margins in 3Q? And how do you see the current spreads, because if we see the global spreads, they are a little bit weak and retail margins are under pressures, so how do you see the performance in the current quarter in terms of refining market?

Rajneesh Narang: See, the margin is concerned, in my initial remark I made a reference that it is not only the margins but better margins but also the operating performance which has got us the incremental margin. Now, if you see both our refineries are operating like Vizag and Mumbai operated at more than 110% of the capacity. Even if you see the fuel loss has been significantly controlled and the fuel loss was almost 6% in Mumbai refinery and in case of Vizag it is 7%. So, both the operational availability at these refineries have significantly improved and the throughput is being run more than the name plate capacity on account of which we are getting higher yields as well as the products. As regard the GRMs are concerned, the GRMs have been like Singapore GRMs benchmark I gave that it is around \$5 a barrel. So, that same trend is likely to continue in the near future as per the forwards which are available. So, trend the same would be continuing. Yes, if you see right now there has been softening as regards the MS gasolines are concerned in Singapore, but the negative FO cracks have strengthened. So, that is a plus factor. But in the near future if you look at the next two quarters the GRMs as were there in the Q3 would continue is what is the prediction.

S Ramesh: So, now if you look at the impact of Vizag commercialization, in terms of the interest and depreciation based on the nine month numbers, what will be the incremental impact of interest and depreciation say from next year for HPCL standalone?

Rajneesh Narang: It will go up by another 500 to 600 crores.

S Ramesh: Interest and depreciation together?

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Rajneesh Narang: Interest will remain unless I further reduce the borrowing. And if I continue to make good margins, the borrowings will only come down. So, borrowings have already got factored as regards our current level is concerned. Only to the extent of what I'm capitalizing that would come in the P&L. The total what we have incurred is around 2,600 crores in P&L and 600 to 700 crores is getting capitalized. So, that will move to the P&L. The additional interest impact would be around 600 to 700 crores and depreciation would be around 600 crores.

S Ramesh: So, in HMEL, can you help us understand the depreciation and interest year-to-date? You said there was a positive EBITDA and a loss because of that? If you can give me some numbers, it will be helpful?

Rajneesh Narang: We will share with you separately. Okay?

S Ramesh: So, if you look at the refining capacities globa

lly, is there any number you can share in terms of how

much you expect in terms of capacity closures to the extent that may help the underlying spreads, what is the sense you get on that?

Rajneesh Narang: No, no, see, in the near term, normally in the month of January, February, there are a lot of plan shutdowns which are taken. So, I'm only hoping that the refining margins could only improve because there would be bit of product shortages during this period. So, the margins are likely to improve only. I don't foresee a continuous declining trend as regard margins are concerned.

S Ramesh: And the last is on the LNG subsidiary. Have you started commercial operation in 3Q and is there any expectation of a loss in the next one or two quarters before you are able to achieve breakeven?

Rajneesh Narang: You are talking about which company?

S Ramesh: HPCL LNG subsidiary.

Rajneesh Narang: Yes. Now we'll be starting the commercial operation. So, initially, yes, definitely there would be some losses, but that will be made-up once we achieve the capacity utilization.

S Ramesh: And when would that be?

Rajneesh Narang: We are hoping maybe in a one year or two years we will be able to break even as regards the part operation is concerned.

S Ramesh: In CGD, what is your thought in terms of ramping up and achieving EBITDA positive the standalone?

Rajneesh Narang: We are already EBITDA positive as regards our standalone, In Jind, Sonipat and all we are positive as regard our EBITDA.

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Moderator: The next question is from the line of Sumeet Rohra from Smartsun Capital Private Limited. Please go ahead.

Sumeet Rohra: You have done extremely splendid financial performance in terms of core metrics. So, sir, actually, I was just looking at it that as you highlighted that the LPG under-recovery is about 7,600 crores which effectively is not our domain, which is the Government of India. And in spite of that, you reported 4,100. So, sir, effectively if I compare year-on-year on the nine months of 31/12/2023 you are exactly at the same metrics which is 11,800 crores which is highly commendable in such a challenging environment. But now, sir, here my question to you is more as an investor. So, sir, if you see, I mean adjusting for the LPG, which again is not HPCL problem. You have done Rs.55 EPS. Assuming that crude continues to remain where it is, and with Mr. Trump now talking about Saudi to lower oil prices, so effectively Brent would be somewhere around maybe lower by \$5. So, effectively, sir, your core operations are doing extremely well and you will probably end the year with a similar number like last year, which is about 14,000, 15,000 crores, which is commendable. Also sir, in terms of IC, your throughput is up by about 12%, 12.5% and your market sales are also up above 9%, 10%. Now, sir, this is in spite of economy, which is challenging and you see today various sectors are posting degrowth. So, it is extremely exciting that you are doing so well in an environment which is as tough as it is. But sir, now my question is more from an investor point of view. The thing is that today in spite of you doing so well, it doesn't deserve the kind of valuation which today HPCL command, right, because, I mean, if you end up with a Rs.75 EPS for the year, a high quality stock which has got an ROE of 25%, surely does deserve to be treated at five times multiple, right, in spite of having a lubricant which is basically three times the size of Castrol. So, effectively, sir, our lubricant itself would be about 30,000, 35,000 crores on a bare minimum. So, sir, if you know some measures could be taken to expedite the value unlocking that would go a long way in building the value for this glorious entity which you have. Now, sir, my question to you is basically on the financial metrics which are as strong as they are, so, sir, my sense is that the \$5 b

illion EBITDA

and 16,000 to 18,000 crores PAT which you are expecting in FY'28 could actually come as soon as next financial year, right, I mean, I clearly see that your Vizag refinery, which you explained the residue upgradation project is also now going to be commissioned very soon, so sir, can you explain so that will basically improve GRMs by \$3 to \$4 on the entire 15, 16 million metric tons, right, so that will actually improve the financial metrics in a big way, right, sir?

Rajneesh Narang: Yes, you are right and simultaneously, we are also working on debottlenecking Vizag refinery and maybe the capacity will go up to 17 million metric tons. I think Director, Refinery is here. He can add something on that.

S. Bharathan : Yes, once we have already stabilized most of the units under this modernization project, now we are looking at better utilizing the capacities. So, definitely in the coming years we will be crossing 17 million metric tons along with all the other value-added products.

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Sumeet Rohra: One small point I have is that sir now with our peak debt which has now gone and you would be throwing out cash like water. I would seriously request to that at some point of time you should consider a liberal buyback because I mean, HPCL has been the only company in PSUs to do a buyback from market. So, I really request you to please consider the same, because clearly this company does not deserve the valuation which it is getting today sir. That's something I would really request you to please consider.

Rajneesh Narang: Yes, we'll evaluate the same and let us hope that what you have stated and what we envisage we consistently deliver on that and definitely we will review all what you have suggested.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund. Please go ahead.

Kirtan Mehta: Couple of questions from my side. On the HMEL, what would be breakeven spread needed on

polymer for the operations to return to the profit, would you be able to give us some color?

Rajneesh Narang: See, margin of \$150 to \$170 per metric ton is what would enable them to breakeven.

Kirtan Mehta: And what would be the current margin level against this?

Rajneesh Narang: They are getting around 70 to 80. Today, the prices are quite very muted very soft and the entire sector is struggling on this account. So, let's see. There are two things. One is regard the operations at the HMEL is concerned that the facilities are fully stabilized, they are operating at more than 90%, 95% of the capacity. On the pricing front, we are approaching the government also to look at as to whether they can put in some tariff so that the product does not come in. So, on various avenues attempts are being made as to how we can improve this entire pet chem. Industry, the entire sector as such.

Kirtan Mehta: With the Chhara LNG coming in, will we be able to start picking up gas if the pipeline is complete?

Rajneesh Narang: Yes, yes, our Chhara terminal is connected to the national grid. So, that is not going to be an issue at all.

Kirtan Mehta: HMEL Pipeline is connected through the Mehsana-Bhatinda pipeline where last leg of few kilometers were left. So, is that leg also complete for HMEL to receive the gas?

Rajneesh Narang: Yes, to my knowledge, GIGL or GITL is already connected there.

S. Bharathan: HMEL is continuously consuming gas for more than one and a half years now.

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Kirtan Mehta: Second question is on the Barmer refinery. You mentioned about the CAPEX commitment of 71,000 crores. What is the comfort side of managing the CAPEX within the targeted budget or is there a possibility of any CAPEX escalation?

Rajneesh Narang: As of now, we said that the commitment what we have made is around 71,800-odd crores. So, most of the EPC contracts and all tho

se have already been done. Those things have already got factored as regards the commitment is concerned. So, what would be only the soft cost or the IDC which would be coming here. So, with the commissioning in this current calendar year being planned, we will have to work out as to what would be the exact details but nothing significant is likely to happen.

Kirtan Mehta: And in terms of the project contingencies, what level of contingencies would be available to take care of any potential escalation?

Rajneesh Narang: That's what I stated that EPC contracts and all have already been placed and some have reached a stage of 95%, 97%, there are four units, which have already got commissioned. So, now at this stage I think contingencies are not an element to be given too much of a weightage because unit has reached a significant advancement as regard the execution is concerned.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So, the first question was around the refinery. So, you said that you are looking at completion by the end of this year. So, the debt is currently not getting consolidated, I think because of JV structure as you mentioned earlier. Once it gets commissioned, do you start including the debt in your consol books or will it stay outside the books?

Rajneesh Narang: No, it will not be consolidated because as per IndAS requirements, we will not be consolidating the same, but for the sake of investors or analyst requirement we will definitely share those details, not an issue. Even today, the debt is almost 34,000 crores in HRRL books.

Amit Murarka: So, even post commissioning, you will not be consolidating results, it'll just be associate income or - ?

Rajneesh Narang: We will not be doing the line-by-line consolidation because the terms of the JV agreement and all we have got it analyzed as per that strictly in line with the IndAS requirement, we will not be consolidating, but we will be putting only a line entry for the profit consolidation, but any details which are required that will definitely be shared, not an issue.

Amit Murarka: And is there any underwriting from you for the debt?

Rajneesh Narang: No, there is no underwriting. Both the promoter that is the Government of Rajasthan and HPCL have given the sponsor support undertaking, both of them have given it for their respective shares. We hold around 74% and the Government of Rajasthan holds 26%.

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Amit Murarka: On the CAPEX plan, could you kind of give at least some understanding about next year's CAPEX outlook?.

Rajneesh Narang: See, this year we may be ending with the CAPEX of say 13,000 to 15,000 crores and the same trend would continue for the next few years.

Moderator: The next question is from the line of Somaiah from Avendus Spark. Please go ahead.

Somaiah: A few questions. First, can you give some color on the Vizag bottom upgradation project? So, in terms of the input and output what are the kind of spreads that we are seeing in both the products when we say net impact of \$3-4 GRM?

S. Bharathan: Vizag, this particular unit is designed for almost 93% conversion into distillates. And as already told by Chairman, the dollar per barrel on full throughput of the refinery will be \$3-4. Fuel oil will be

fully eliminated.

Somaiah: The output would be bitumen.

S. Bharathan: The output of the plant is mainly diesel, naphtha and gas oil for secondary cracking.

Somaiah: So, then let's say spreads that you see between let's say FO to bitumen today, where are the spreads like?

Rajneesh Narang: It's around Rs.10,000 per metric ton.

Somaiah: And also when you said CAPEX around 13,000 to 15,000 crores kind of a run rate. so now you have announced this 4,700 crores, so this is included within the modernization project?

Rajneesh Narang: Yes, yes it is. We have also started the V

izag, Raipur pipeline and shortly, we'll also be doing the

COT at Mumbai refinery. We have various other projects also. Once we take the board approval, we will be sharing with you all. One or two more pipelines which are being planned for LPG.

Somaiah: Any split if you can give between refining, marketing, CGD within this. 14,000 crores?

Rajneesh Narang: So, we will be doing around 3,000 to 4,000 crores in the refining segment and in terms of marketing, we do around 6,000 to 8,000 crores and the balance is the equity contribution which we give in our various JV subsidiaries, that is HRRL, HPLNG and others and even HPRG where we are doing lot of renewable projects. Broad split is refineries, marketing and the corporate that is the contribution to the JV subsidiaries.

Somaiah: In Barmer, how much of equity contribution is still pending from our side?

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Rajneesh Narang: We have given almost 13,000 crores and the total contribution from our end is 18,000 crores.

Somaiah: When you said Chhara, that 1.5 MMT of gas demand for internal consumption, so is there something that we are currently drawing from someone else and that gets diverted or it's entirely fresh demand once Chhara comes on?

Rajneesh Narang: Today, we are using gas in a limited way in our Mumbai refinery. So, that we are purchasing and using the gas. At Vizag refinery, the Srikakulam, Visakhapatnam pipeline that has to be completed. In fact, the EOI is already on, that was being executed by EPGDC, but PNGRB has advertised again for completing the pipeline, some 20, 30 kilometers is left out. Otherwise, the refinery, as part of our VRMP, we have already made it compliant for using natural gas. Rajasthan refinery will be fully compliant and HMEL is already using gas. So, all these four units or refineries will be switching to gas and so that would be one major anchor for us as regards the gas is concerned plus once we tie up for our long term gas, we are also aggressively marketing the gas and also for the various GAs which we are operating, we are operating in almost 25 GAs in 14 states. So, we'll be also using our own gas since it is connected already to the grid.

Somaiah: Sir, any breakeven utilization that we have for Chhara that we're looking for?

Rajneesh Narang: We achieve the breakeven at 25% to 30%.

Somaiah: One book-keeping question. If you can give the net debt number at a standalone entity and also at HMEL? Barmer, you said that's around 34,000 crores.

Rajneesh Narang: at HPCL level 54,020 is the total debt, the long-term debt is 44,000 and short term is around 10,000.

Somaiah: Is it a net debt number or gross?

Rajneesh Narang: This is a net debt.

Somaiah: HMEL?

Rajneesh Narang: HMEL is around 33,000, 34,000 crores.

Moderator: Ladies and gentlemen, due to time constraints, we will take that as the last question. I would now like to hand the conference over to Mr. Varatharajan for closing comments.

V. Sivasankaran: Thank you, Sejal. I'd like to hand over the floor to Mr. Rajneesh if he has any closing comments.

Rajneesh Narang: Thank you for the various questions. We will continue to put in our efforts to replicate the performance both in terms of operational and the financial parameters. Yes, I can only say that you have been supporting us all along. Our CAPEX plans, which we had unfolded a few years back, they

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are now almost on the verge of getting completed. Maybe this year is going to be the one where we will start realizing the incremental benefits out of these. So, better times are there ahead of us. Thank you for all your support and god bless you all.

V. Sivasankaran: I wish to thank the management as well as all the participants who have taken time out to have this discussion. Wishing you all the best, sir and thanks all the participants. Have a nice day.

Moderator: On

behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Q4 FY '25 Earning Conference Call "
May 07, 2025

MANAGEMENT : MR. VIKAS KAUSHAL – CHAIRMAN AND MANAGING
DIRECTOR – HINDUSTAN PETROLEUM CORPORATION
LIMITED
MR. RAJNEESH NARANG – DIRECTOR , FINANCE –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. S. BHARATHAN – DIRECTOR , REFINERIES –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. K. VINOD – EXECUTIVE DIRECTOR , CORPORATE
FINANCE – HINDUSTAN PETROLEUM CORPORATION
LIMITED

MODERATOR : MR. VARATHARAJAN S. – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conference Call of Hindustan Petroleum Corporation Limited, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivakasankaran from Antique Stock Broking. Thank you and over to you, sir.

Varatharajan S.: Thank you, Steve. Very good morning to everyone. It's my pleasure to welcome all the participants to this fourth quarter HPCL results call. I would like to extend a special welcome to the Chairman and Managing Director, Mr. Vikas Kaushal ; Mr. Rajneesh Narang, Director Finance ; Mr. S. Bharathan, Director Refineries ; and Mr. K. Vinod, Executive Director, Corporate Finance. I also take the liberty of representing the investing community in extending a special welcome as well as extending best wishes for a successful stint at HPCL to Mr. Vikas Kaushal.

I would like to hand over the call to Mr. Kaushal for his opening remarks and then we can move on to Q&A. The floor is yours, sir.

Vikas Kaushal: Thank you. Thank you and good morning, everybody. Thanks for joining the call. It's my first time I'm speaking to you in my role as HPCL's Chairman and Managing Director. As you might be aware, I've joined mid -March and it's been an exciting time working with my colleagues here. Just to start off with, we all know HPCL has worked hard to create a strong business with a great momentum and it's my privilege to work with the team HPCL to take this business forward. As is the pattern on these calls, we'll start with some opening comments which I will share on behalf of my team and then open it up for questions. We published our annual results yesterday. The Board of Directors approved it and we then released it to you all and the media and the stock markets.

As you are aware by now, HPCL had a strong quarter four with an 18% increase in Q4 PAT on a year -on-year basis. The numbers speak for themselves, but behind these numbers is a strong physical performance. Let me first talk of that because the numbers are outcomes of these performances.

HPCL achieved a record performance in refining throughput last year, 25.27 million tons. I'll start off with the Vizag refinery. It has a throughput of about 15.3 MT, thus capturing the volume benefits of VR MP. Those of you who have been following us for a long time recognize that we

took the volume increase in Vizag and took it to about 15 MT and we have now realized the full volume benefits. We'll talk of the ongoing projects in the second half of this opening statement. Mumbai refinery also almost touched 10 million.

We ran a few thousands below that or a few hundreds below that, but that gives us a chance for the next year's goal. But if you just look at our numbers and I wanted to bring out one fact, we have structurally altered the refinery throughput. Just looking at the last two years, in the first Hindustan Petroleum Corporation Limited
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quarter of FY '24, we had a throughput of 5.4 MT. This was 6.74 in Q4 of FY '25. Just do the maths behind it, it represents close to 24.8%, to be precise, increase in the throughput. That's the structural change we have made in the last eight quarters and which places us well in terms of balancing our production and sales.

Talking of sales, let me quickly move to the marketing side. Our marketing volumes for FY '25 were a record number, 49.82 MT, just marginally short of 50 which we were hoping

to touch

internally. But again, you need to leave some goals for the next time also.

On the domestic front, our market sales grew by 5.5%, outperforming the industry growth at 4.2%. We registered a market share of gain of 0.25% amongst our peers. Almost all of our business units in marketing achieved record volume numbers last year. I will not go into the specific details here, but just wanted to inform you all that we continue to expand our customer base, our retail network and even our direct sales business and some of our B2B sales business. Quickly pivoting on to the third part of our business, pipelines, we achieved the highest ever pipeline throughput of 26.9 MT, which again allows us to save a lot on transportation costs. I am sure you all want to know about the projects. We have been making significant progress on our projects.

In February 2025, we commissioned our state-of-the-art 5MTPA terminal at Chara. We have started gas supplies initially through spot cargoes. And those of you who have been catching on news would know, in April we signed our first major mid-term gas deal.

And this boasts towards a strengthened – we want to strengthen our play in gas business. You will see more action on that in the coming months. Another significant project which is very close to commissioning is the LPG cavern in Mangalore.

Those of you who have had a chance to know more about the project will realize it is one of the marquee projects which is being done, underground cavern for storing LPG. It is a fascinating asset. I would say it is a great national asset which is being done, and it is a testimony to HPCL's project capabilities.

We have completed the caverns, and now we are in the process of stitching up the compression units, etc etc, and this will go into commissioning very shortly. Talking of other projects which I am sure are of interest to all of you, we do a lot of other small projects. In the interest of time, I will not want to throw on to those details, but many of them are inching towards progress and starting to give results.

On the two big projects which are open, VRMP, the bottom-up gradation, or the rough, as we call it, we have started pre-commissioning activities. Very recently, we got the Peso approval for commissioning, which is one major step in that direction. Post these approvals, the asset stitching up, the tying up of the loose ends, etc etc, start happening. We expect feed-in, as we call it, to the unit in quarter two. On HRRL, the project is progressing steadily. We are starting to gradually bring units on stream.

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Just last month, we got a couple of parts of the whole complex on stream, and we expect to cut crude in this refinery in this calendar year. So that was on the project progress. Let me quickly come to the financials.

You might have seen it in the results. We achieved a PAT of INR7365. But if you look at our whole year's journey, in the first two quarters, HPCL had a PAT of INR987 crores, under INR1,000 crores. Since then, it has been a very strong upward trajectory with quarter three at INR3,023 crores and quarter four at INR3,355 crores. On an average, in the last quarter, we have been earning over INR1,100 crores a month as PAT, which obviously bodes well. Our run rate on that is quite good and bodes well for our momentum.

The Board of Directors has recommended a dividend of INR10.5 per share. Before I close, let me just talk briefly about our future and then we will open up for questions. We are entering a very exciting phase of our journey.

Our large, long -drawn and, dare I say, challenging capex cycle is coming to an end and this would start impacting our financials positively. I gave some timelines on some of the important projects. Once our current wave of projects is over, we would be embarking on the next wave of

our growth journey.

But for the time being, our focus is to make sure we are starting to get the returns from this capex. Before I close, I wanted to thank you all for your coverage and interest in H PCL. The management team looks at the future very excitedly and we look forward to continued engagement with you all.

I wanted to thank you all for participating in the call and the floor is open for the questions.

Moderator: Yes, sir. Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivekanand from Ambit Capital.

Vivekanand: Congrats on a great set of numbers. My first question is on the capex outlook. You have done 145 billion of the 770 billion capex target from FY '24 to FY '28. What are you budgeting for FY '26 and '27? That's question one. Secondly, there are some disclosures that I would like on the financial front. What is the leverage position at HMEL, HRRL? Also, if you could share the crude processing GRMs, EBITDA and PAT of HMEL.

Rajneesh Narang : During the current year, the capex was around INR14,500 crores. The current year, again, would be in the range of INR13,000 to INR14,000 crores because this would primarily be the completion of the projects which we are already being undertaken. And definitely, the next phase of capex would be after we consolidate the current projects which are getting completed. As said by our Chairman, that we will be embarking on a fresh wave of investments after that to fulfill the total planned capital outlay which we have planned.

Now, coming to the performance of HMEL, the HMEL, if you see, the GRMs were around \$9.3 per barrel and the debt level is around INR35,000 crores. If I say net of cash is around INR33,000 crores. As regard HRRL is concerned, the current debt is around INR35,000 crores but the Hindustan Petroleum Corporation Limited
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project is still under progress. The total debt tie-up or syndication which we have done is around INR48,000 crores, but that is yet to be availed, the balance amount.

Vivekanand: Sir, just a couple of follow-ups on HMEL. What was the EBITDA and PAT for the full year and was the GRM that you mentioned for this quarter or for the full year?

Rajneesh Narang : For the full year, the Q4 was more than \$12 per barrel.

Vivekanand: Could you answer my question on the EBITDA and PAT, please?

Rajneesh Narang : At the PAT level, it was negative and that is primarily because of the depressed prices on the Petchem front. But at the EBITDA level, it was more than INR4,000 crores.

Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital. Please go ahead.

Nitin Tiwari: Sir, my first question would be on Barmer refinery. So as you mentioned that we are looking for a cutting crude in this year. What is the timeframe when we are looking to commission the refinery fully and if you can give us some incremental color about by when we can expect some stabilization and introduction of products from Barmer refinery in the market? Also, if you can help us understand what kind of refinery margins or operating cash flow we are expecting from the refinery when the refinery stabilizes on an ongoing basis. So, that would be my first question.

Bharathan : Yes. So, the refinery construction is nearing completion. Some of the utilities, key utilities required for commissioning have been commissioned like compressed air, cooling water, etcetera. The crude distillation unit will be taking in crude most probably by the 1st of October. Along with the crude distillation unit, we will also be commissioning the hydro treaters so that MS and HSD production will start along with the crude distillation. So, this all we'll take in phase wise starting from October 1st.

With respect to your other questions like how the financials will look like, it will be more or less in

line with the other refineries depending on the market conditions. And once we start the Petchem unit, then we will get the full intended benefits.

Nitin Tiwari: So, what is the timeline for the Petchem unit?

Bharathan : Petchem unit will start early next year from January 1st.

Nitin Tiwari: So, that is what my question was that once refinery is fully commissioned and stabilized, what kind of margins can we expect from the refinery?

Rajneesh Narang : See, if HRRL is operating at full capacity, the refinery and the Petchem, the valuation which has been done is around \$20 a barrel GRM. So, that would be what the refinery is capable of. It has a very high Petchem intensity and capability to upgrade the product. There is no bottoms over there at all. Only what will come out will be only gasoline and diesel and the Petchem is the balance.

Nitin Tiwari: So, this \$20 that we are talking about is keeping the current margin environment in perspective or...?

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Rajneesh Narang : These are mid-cycle GRMs which have been constructed.

Nitin Tiwari: Understood, sir. And sir, my second question was with respect to our diesel sales. I mean, there is a slowdown which is being observed in diesel sales in the fourth quarter as well as like on an annual basis, the growth was just about 2% as far as diesel consumption or diesel sales are concerned. So, any particular reason for that, that why the sale of diesel is rather tepid?

Vikas Kaushal: Yes, I think just let me attempt a question and answer and you can add the specific numbers if required. See, year-on-year comparisons often get fraught because you will recall quarter 4 of last year was leading towards the elections which obviously increases the movement activity.

So, quarter-on-quarter comparisons sometimes get clouded by these kind of things.

This year, there was no election and there was no spike in the diesel thing. So, that's one. Our diesel sales have continued to grow and we can give you the specific details if you are interested in those numbers. But till now, we have not had a challenge on evacuation of diesel as yet. Of course, when new refineries come in, we would expect and hope that the demand picks up from the current levels further.

Nitin Tiwari: Understood, sir. I mean, I was coming more from the perspective that overall sales of diesel in the industry itself in this quarter has been on the slower side. If we look at the data which is coming out of PPAC, it was just a 1% growth on a Y-o-Y basis in this quarter. So, any particular reason that why there is such a tepid growth in diesel sales?

Vikas Kaushal: See, there are structural changes which keep on happening over a period of time. So, if you look at electrification of railways has impacted demand segment. Similarly, if you look at even vehicular segments, over a period of time, we have started going more towards MS vehicles, especially the larger ones, the passenger vehicles. Whereas a few years ago, the demand because of the price differential was much higher on the diesel side.

So, there are a lot of structural, I would say, reasons behind this in a large industry, in a large consumption market like this, they come out over a period of time. We are quite aware that PPAC has lower forecasts for growth on diesel as compared to some of the other products. And I am sure all of us in the industry are working our strategies around it.

Rajneesh Narang: Yes, you are right that the growth in HSD has been muted. But in terms of HPCL performance, HPCL performance has been far better than the peers. We had grown by 2.2% against the 0.3% of the entire retail industry.

Nitin Tiwari: Understood, sir. I will get back to you for more questions. And thanks for answering my queries.

Moderator: Thank you. The next question is on the line of Sabri Hazarika from Emkay

Global Financial

Services. Please go ahead.

Sabri Hazarika: Good morning and congratulations on a good set of numbers. So, I have two sets of questions. Firstly, that you have given some guidance with respect to the profitability run rate, maybe like INR1,100 crores per month. So, if we assume around INR13,000 crores -INR14,000 crores of normalized profit for the company, another INR6,000 crores of depreciation.

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So, somehow we are at a free cash flow generation territory. And given the fact that our debt is still elevated compared to some of the peers at INR56,000 crores -INR57,000 crores, stand-alone I am talking about. So, do you have a debt reduction target in mind in terms of absolute numbers or do you think that the EBITDA itself will go up so that EBITDA could be like a better matrix?

Vikas Kaushal: So, I think two parts to it. One, I want to be very clear. The 1,100 I talked was the past run rate. It is not a guidance from our side. We as an organization do not give guidance's. Of course, you guys are free to draw your conjectures. 1,100 is just 3,355 divided by 3. So, that was the run rate we have achieved in the recent past.

Now, extrapolating the run rate like you have done, yes, we would be in a cash generation thing which should come in because as I said earlier, we are ending a large capex cycle and that should show us results. We have already achieved some reduction in the debt equity and I will request Director of Finance to probably give some more details on the numbers.

Rajneesh Narang : See, if you see on a standalone basis, last year our debt equity was 1.4 something and the current year we have ended at 1.38. Now, we are expecting that the internal generation would be good enough and we would be able to, if not, add any debt to it, but definitely the net worth part would be increasing and you will see a reduction as regards the debt equity is concerned. So, next year,

we may end the debt equity between 1 to 1.1.

Sabri Hazarika: 1 to 1.1. Thanks and second set of...

Rajneesh Narang : This includes both short term and long term, but if you look at long term, it would be significantly lower. It could be around 0.7 also.

Sabri Hazarika: Yes, anyways, Q4 also has that excise duty adjustment, right? So, that is also there in Q4.

Rajneesh Narang : I have not done that. Right now, what numbers I have given is gross up of all that.

Sabri Hazarika: Right. And second question is on Burma refinery. So, you have given that \$20 guidance. So, given that it is a very complex refinery with significant pet cam intensity, so this \$20 GRM could basically translate into what kind of ballpark EBITDA , INR8,000 crores -INR9,000 crores, and whether that is enough to cover for the interest depreciation or you would be at a... maybe not at a very high ROE at least in the initial years.

Rajneesh Narang : Yes. What numbers you are giving, it would be around those numbers and it would cover the interest and other obligations.

Sabri Hazarika: But do you need to infuse more funds there in terms of cutting down the debt a bit or something?

Even now, I think the debt is quite not as high against the INR60,000 crores. I think in capex , your debt, you have mentioned INR33,000 crores. So, that is less than 70 -30. But do you see that there could be like fund requirement to like reduce debt in case we are at, say, INR7,000 crores -INR8,000 crores of EBITDA only?

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Rajneesh Narang : See, right now, the committed project cost is around INR73,000 crores. So, I do not think the debt would be lesser. But yes, what we will make out is out of the revenue generation from this facility, from this project, is what will be used for bringing down the debt in the near future.

Vikas Kaushal: And as you rightly say

aid, these are very complex assets. This will be the most complex greenfield done in India from a scratch or from breaking ground to getting it fully ready. It will take some months and all. Yes. So, no, I was just, when we got disconnected, I was saying these are complex assets to bring up to stream. They are great engineering challenges, which, of course, we have a great team which can get on top of all of these.

It will take a few months to stabilize, maybe quarter or two, whatever time it takes. And as a management team, we are fully geared up for that. And if it needs some short-term support in stabilizing the unit in terms of financials also, that is quite okay. We are creating an asset for a long time.

Sabri Hazarika: Thank you so much for the clarification and wish you all the best.

Moderator: Thank you. The next question is from the line of Sumeet Rohra from Smartsun Capital. Please go ahead.

Sumeet Rohra: Yes. Hi, sir. I mean, a very good morning, chairman, sir, to you and welcome to your first call.

And good morning, Peter, to team HVCL . Sir, you have done a commendable performance in a very challenging environment. You've reported actually INR7,300 crores of profit after absorbing, you know, INR10,000 crores, which is truly commendable.

And you've actually surpassed FY20 for profit. So, you know, it's actually heartening to see such a strong co-performance by you and your team. So I have a few questions. So, you know, firstly on the LPG part, I mean, what is, you know, your thought, you know, on the LPG under recovery? And what's the way forward? Because, you know, today, I mean, your under-recoveries are already at 10,500.

So, any thought on the compensation aspect from the government? And when do you expect to receive anything on that? My second question, sir, is basically, you know, on the demerger of the lubricant. Because today, sir, I mean, the matter of fact is that HPCL's market cap truly doesn't reflect its true intrinsic value, because it's at about \$10 billion. And \$10 billion is just the cost to set up one refinery in India today. But whereas HPCL giant is available at this market cap.

So, sir, any thought, on value unlocking on the lubricant part? Because today, you know, our nearest competitor, Castrol, you know, is got whose one-third of size has got a market cap of about 25,000. So, you know, there can be huge value unlocking for us on the lubricant part.

Sir, my third question would be on the Vizag residue upgradation project. So, if I heard you correctly, sir, you said that that should basically start maybe in the next quarter. So, is my understanding correct that, you know, you'd get about a \$3 to \$4 benefit on the GRMs for the whole refinery, sir?

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Vikas Kaushal : Sure. I think you want to take the first question on the...

Rajneesh Narang: Yes. The incremental GRM would be because of the low -value products will get upgraded to higher distillates. So, that additional GRM of \$2 to \$3 would be accruing to HVCL.

Now, coming to your LPG under recovery, yes, we had absorbed almost INR10,900 crores of LPG under recovery. But subsequent to that, you had seen that the government has increased the prices of LPG by INR50, the RSP were increased by INR50. That would bring down and currently, there is an under recovery of around INR165 to INR170 per cylinder.

The government had also in the press briefing stated that the excise duty which has been increased on the motor fuels would be used for payment of the LPG under recovery. So, let us wait at how it develops over a period of time and in the current year.

The mechanism, I am sure some mechanism would be made out as to how to compensate the oil marketing companies. Coming to your value unlocking, yes, we are pursuing, actively pursuing the same with the government and as and when we get the

approval, definitely, we will have a look at it.

Sumeet Rohra: Sure, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Achal Shah from Ambit Capital. Please go ahead.

Achal Shah: Sir, just wanted to confirm, what is the proportion in LPG sales from domestic versus commercial? And a follow-up question is, we understand this INR170 under recovery is in case of a domestic cylinder. Am I correct on this? And if I am correct, what will be the under or over recovery in case of a commercial cylinder?

Vikas Kaushal: Do you have the ratios of the...

Rajneesh Narang : 90% is domestic.

Vikas Kaushal: Yes. So, 90% of LPG roughly is domestic. Yes, the under recovery is on domestic cylinders. On the commercial, as you can, a lot of it is B2B sales. So, I would not say that there is a set pattern of over recovery or those things. They will vary from deal -to-deal. But obviously, we are selling them at margins and whatever.

It is a typical marketing thing, wherever we can get the right margins, we will do the deal. So, there is not a set pattern that X percentage over recovery on commercial. All I would say is that 10% which is sold to commercial or non -domestic, as we call it, is like any other B2B sale where when we are selling, we are protecting our margins or building our margins. And of course, wherever required, doing the marketing techniques like discounting, etc., to catch customers.

So, that is a commercial business.

Achal Shah: Got it, sir. Thank you.

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Moderator: Thank you. The next question is from the line of Kirtan Mehta from Baroda BNP. Please go ahead.

Kirtan Mehta: In case of HMEL Refinery, to earn the cost of capital, what is the improvement in petrochemical spread is needed? That is the first question. The second question was about the Barmer Refinery.

In our guidance or mid -cycle margin of \$20 per barrel, what is the crude discount that we are building on Barmer crude and what is the quantum of farmer crude that we are including?

Bharathan : Barmer crude will be about 20% of the overall diet.

Kirtan Mehta: How much improvement in Petchem is required for HMEL margin?

Bharathan : Petchem, when we did the financial, these were all done in 2017 period.

Kirtan Mehta: \$200 over NA PHTHA, right?

Bharathan : Correct. So, when it is, as already explained during the earlier answer, when the financials are built, it was built based on the actual existed at that point of time. So, when the cycle upturns, you will get the full benefits. Till then, you will get whatever the market price is there, you will realize that for the plant.

Vikas Kaushal: Just to add, this year was a gradual build -up on the Petchem operating performance. So, if I look at the run rate, which they have towards the end of the year, the technical things of getting losses down and all those things, they had to go through that cycle. But the operating performance at the end of the year is significantly different from the beginning part of the year, which says that operationally they are able to extract almost close to what is feasible from that refinery Petchem complex. The prices are market determined and all Petchem players right now are challenged in terms of market prices and we also have to sort of face that challenge.

Kirtan Mehta: So, on Q4, then can you indicate the EBITDA run rate for the Q4 as well as the gross margin that you have earned on the petrochemicals?

Rajneesh Narang : HMEL, the EBITDA is for the entire both Petchem and refineries around INR1800 crores. Q4 number.

Kirtan Mehta: INR1800 crores in Q4. And on the Barmer crude also you indicated 20% is the quantum of this.

What is the discount that we are assuming to the benchmark in our guidance for \$20?

Rajneesh Narang : Those are commercial terms. We cannot be disclosing that. But

yes, definitely there is a discount.

Kirtan Mehta: Sure, sir. Thank you.

Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang . Please go ahead.

S Ramesh: Thank you and congratulations to Mr. Kaushal. Welcome, sir. So, if you look at your guidance of \$20 a barrel for the Rajasthan Refinery petrochemicals, if you were to just take the refinery part, how much would be the margin?

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Rajneesh Narang : We gave you the integrated one. We will do it and we will share it separately with you.

S Ramesh: Yes. And secondly, if you look at your gas business, can you share the details of your standalone CGD -GAs in terms of how many GAs are operational? What is the number of CNG stations you have added and the cumulative number of CNG stations? And what is the plan going forward in terms of ramp up in the operations here and some indication of when you will be able to achieve addition to your EBITDA from the CGD business?

Rajneesh Narang : See, if you see the gas business, we are doing more than 1 million metric ton of sales there, both in CGD as well as in our gas business put together. In terms of number of CNG stations in our GAs, there are more than 600 outlets which we are having in our GAs. And in terms of total numbers, the total CNG stations in HPCL outlets is around 2,100 outlets.

S Ramesh: So, if you look at the outlook for '26, '27, in your standalone GAs, how many GAs do you expect to be profitable? What will be the volume you can achieve, say, over the next 2 years and some indication of the unit EBITDA or the profitability you expect?

Rajneesh Narang : Currently, the GAs which HPCL is operating, under HPCL is the JIN Sonipat and we have in UP and this, all are profitable for us right now. And in terms of volumes, we expect 20 %, 25% incremental growth as regard volumes is concerned. Last year, we got around 40% but minimum would be 25 %, 30% growth which we are expect .

S Ramesh: And finally, in terms of the capex numbers, how much would you have spent in CGD, '25?

Rajneesh Narang : Every year, we are spending around INR1,000 crores, INR 1,100 crores and that trend would continue.

S Ramesh: Okay, thank you very much. I'll join the queue .

Moderator: Thank you. The next question is from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

Mayank Maheshwari: Hi, sir. Thank you for doing the call. The first question was related to marketing. Can you just talk a bit about the strategy on marketing considering you are seeing private players getting more aggressive and you're bringing in a reasonable amount of transport fuel in the market over the next 6 to 9 months from your own production from the refineries ?

So, can you just talk to us about how the competition intensity looks like for you? How are you trying to kind of manage that from a strategic perspective over the next few years? Thank you.

That's my first question.

Vikas Kaushal: You want to ask the second one also or you want to go step by step? Okay, let me answer that first. So, I think, as you would have seen over the last few years, HP CL has expanded the foothold in marketing both in terms of volumes, the footprint and our market share. Some of that is in anticipation and preparation of our expected volumes which are going to come in the foreseeable future.

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We continue to look at two, three levers we are using in marketing. On the retail side, network expansion continues with wherever we think we are going to get additional volumes, we are continuing to do the network expansion. Second, we are focused a lot more now on increasing throughput through our existing retail outlets through, you can say, micro marketing, through very targeted efforts, through improvement of our retail outlet

s.

So, that's the second key thing which we are aiming. This would give us an uplift on the volumes from our existing and expanded retail network. We also have detailed evacuation plans on when Barmer comes in, where are we going to do the products, how is it going to move, etc etc . And we do think Barmer, which comes up initially and that of course is a landlocked refinery, but we are very well placed with the pipeline connectivity.

And if you have studied that project, you will recall most of the liquid product actually gets

evacuated through pipeline, which gives us good competitive advantage in the catchment area we are going to target. Of course, more diesel would come up through Vizag post-RUF commissioning. Vizag, of course, has the flexibility of doing coastal movements and targeting markets. So, there are plans around all of those efforts.

In addition to our retail footprint, we have also expanded our bulk sales business, not only on liquid fuels, but also other products. And they achieved record numbers last year and we are further pushing on bulk sales and you can say, B2B sales across all our products. And one of the other things is just to add to balance out our requirement, we always have the option of purchasing less from outside which we were totally dependent on in the past, because you would have recalled that our numbers are slowly catching up.

The gap between refining and selling of the products is reducing and we have the option of purchasing less from standalone refineries as we go forward. So, we do not anticipate problem on marketing of the expanded fuels.

Mayank Maheshwari : Sir, just an extension to that, can you just talk us about on the industrial fuel, how the margins have moved in overall bulk, whether it is on the fuel oil, sulphur, whether it is diesel, all put together, can you just talk through of how the margins have kind of shaped up for fiscal 25 versus the pre-COVID levels?

Vikas Kaushal : Yes, I will let my colleagues answer on the pre-COVID levels, I would not go that far. On the whole, I think, since this is a B2B business, this runs differently from retail in the sense, in retail we have normative margins and then how close to the normative margins can you get the re. Here, every deal could potentially have different margins. These are competitive deals. So there are times when you get low margins or you have to pick business or volumes at lower margins. At the same time, if we are able to say in some cases, bundle the services which we are increasingly doing for our customers. On an aggregate basis we are able to get more margins or more returns for us. So, it is a complicated business, very hard to give a generic assessment on whether the margins are up or down, because this is the real you can say, closest to the, I would not say trading is the wrong word to use, but it is as close to a commercial market as anything else could be.

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Rajneesh Narang : Yes, Mayank, if you look at those margins, yes, during COVID time, the margins had gone up a bit. But subsequent to that the margins as regards the I & C products or diesel and all is concerned, they are all mid-cycle margins, which we have been getting. And even currently, if you see, for a change, the FO is positive now.

Mayank Maheshwari : Yes, that's true. Okay, so that's fair. And I think the second question, I think this was directly to the chairman itself like when you think about over the last month that you have kind of looked at HPCL now, how do you think about managing the objectives of the majority shareholder and how do you see that kind of panning out in terms of where HPCL would look like in the next five years?

Vikas Kaushal: I think the majority shareholder, of course, there are national objectives. As a national oil company, we have to meet, but my majori

ty shareholder does not ask me to run the business

differently from if I was running it in a private sector. The business is run for efficiency, run for growth, run for improvement. That's how it's been done in the past. That's what has been my message to the team here. We are going to run business for growth.

We are going to run the business for efficiency, improvement, etc etc. Yes, there are national objectives which have to be met at times there. And there are some constraints we operate in, but beyond the constraints, it would be business will run like any other business. And I view this as something with great potential. Now, we in our case have two roles to play.

One, of course, as a government entity. And then second our association with ONGC. Well, both of our organizations are working on what synergies we could draw from each other and these are complicated topics to work on. But we are hopeful that some of the synergies we will or we will increasingly capture the synergies which is benefit for both the organization. So actions happening on those fronts also, as you can imagine and appreciate these are long drawn things, not never easy.

But we are moving on those fronts. But to step back, I think this is a fantastic business we have. Our teams over the years have created a great thing and you commented on the fact that I've been here a month and a half now. I was always in awe of the technical and marketing powers HPCL had. And now being in my chair, I'm super thrilled with the technical and marketing powers we have.

I can say our refinery teams are second to none in this business. We have an extremely talented and competent team, which if you go through the details of what has been created over the years, tells you the wonders which have been done, how a small refinery in Mumbai is where it is right

now close to 10 MMTPA . How Vizag if you ever visit, you're onto a fourth crude distillation unit.

Over the years, it has been brought to 15 million tons and with the EBITDA increase. So that requires technical powers. Similarly, if you look at marketing, we have been creating record volumes every year, which means our field force are doing something well. Do we have improvement opportunities? Absolutely. That's the reason I'm here. Collectively with the team, we are all working and capturing that improvement opportunities.

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I'm sure in the subsequent calls and in other occasions, we will have chances to meet you will see and we will also unveil some of our plans on what we are doing to make this business fundamentally and structurally even more efficient than what it is right now. So that we gain, we grow and our shareholders, whether government or the large entities which hold our share or individuals who hold our share, large shareholding, they all benefit.

That's how I look at the situation. My reflections on one and a half months and thank you for asking that question.

Mayank Maheshwari: Thank you and best of luck and congratulations on the new role.

Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Yes. Hi. Thanks for the opportunity. Sorry, I joined the call a bit late. So just wanted to check if you've already shared the numbers on refining and marketing inventory gains ?

Vikas Kaushal: Sorry, could you be a bit louder? We could not hear your voice, please.

RS Ramesh: So I was asking, have you given the numbers of refining inventory gains and marketing inventory losses in the quarter and full year? If you could share that one, please.

Rajneesh Narang : Yes, refinery in the Q4, the inventory gain was around INR600 crores and the full year, there was a loss of around INR550 crores.

RS Ramesh: Okay. And for marketing?

Rajneesh Narang : Marketing, it was again in Q4, INR550

crores gain and around INR900 crores loss for the full year.

RS Ramesh: Sure. And also, in terms of the capex, you mentioned INR14,000 crores to INR15,000 crores.

Could you kind of break it up as well between the various sub -segments, including equity investments into Rajasthan refinery?

Rajneesh Narang : The equity investment would be around INR4,000 crores. The investment in refinery would be INR5,000 crores and balance would be marked.

RS Ramesh: Sure. And lastly, what's the update on the Chhara Terminal?

Rajneesh Narang : Chhara Terminal has been commissioned already, and we have already got around four parcels over there. And one more update, which our chairman also in his speech stated, that we have also signed a mid -term deal with one of the suppliers for a long -term gas.

Vikas Kaushal So, if you have customers who want natural gas, refer them to us. We are actively selling natural gas, LNG or re -gasified LNG from Chhara Terminal. We are already, February onwards, we are already into that business.

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RS Ramesh: Sure, sure. So, it's fully commissioned and nothing is pending and just waiting for more contracts?

Rajneesh Narang : Yes, yes. Only the breakwater is under construction, which will get completed in this fair weather season. Out of 1,900 square meters, around 1,300 square meters is already completed. The balance will be completed.

RS Ramesh: Got it. And lastly, on the Vizag refinery upgradation, like how much benefit you would have received in Q4 from that?

Rajneesh Narang : Nothing. No, we have got the incremental volume. That's almost 2 million metric ton of additional volume per quarter is what is accruing to HPCL. The more benefit would come once the residue upgradation unit will get commissioned which is likely to happen in this Q2 of the current financial year. Around \$2 to \$3 per barrel for the increased distillates which the rough unit is going to churn out.

Moderator: Thank you. The next question is from the line of Vikash Jain from CLS A.

Vikash Jain: Thanks for taking my questions. I'll have a couple of small micro questions and then maybe a more bigger strategy question since this is the first time you're speaking to Mr. Kaushal. Firstly, on the 4Q numbers, the annual forex change number that you've given implies that 4Q had a

forex gain of about INR75 crores. Is that correct? Because that's a bit odd given that rupee had actually depreciated. So is that the correct number that there is a forex gain of INR75 crores or is there any adjustment over there?

Rajneesh Narang : No, in Q4 we had a forex gain. You are right.

Vikash Jain: Okay. And there's no real adjustment or anything like that?

Rajneesh Narang : No, no adjustment.

Vikash Jain: Okay.

Rajneesh Narang: You would have seen that the rupee had depreciated, but in the last month, especially in March, all of a sudden it appreciated significantly.

Vikash Jain: Sure. Thanks, Mr. Narang. So just one more thing since we discussed about the Rajasthan refinery and you said that \$20 a barrel is how we should think about the integrated margin. Since this is not a normal pure refinery, opex would also not be as low as \$2, \$3. You're talking of refinery plus petrochemicals. So where should we be imagining the opex to be? Is it more like \$6, \$7 kind of range including everything since you're talking of \$20? The comparative opex number should be how much?

Rajneesh Narang : Yes, it would be around \$5 to \$7 a barrel between that.

Vikash Jain: Okay. So \$73,000 crores is the planned project cost. I believe we are on track on that one, no real big deviation on that. So if that is the cost, about 5% should be the depreciation on that. Is that roughly broadly how it should be?

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Rajneesh Narang : Yes.

Vi

kash Jain: Very broadly. And at peak when all is spent, we would go up till INR48,000 crores kind of debt and roughly 9% to 10% will be the cost of that debt, right?

Rajneesh Narang : A little lower.

Vikash Jain: Slightly lower. Okay. Sure. Thank you. That's all very useful number, numerical answers. Just one more on the strategy thing since we have the new CMD with us. You did mention that once there is consolidation after these projects come in, then we will look at the next leg of growth for HPCL. Now, how should we think of when the company believing that consolidation will be over?

What is the key metric to watch out for over that? Would it be looking at debt to equity falling to say below around 50%, 60% or some kind of net debt to EBITDA number? That's one. And secondly, once that is over, since we will be getting, by the time the next set of expansions get planned and they come in, we will most likely start getting into the next decade.

How would we be thinking about what is the next leg of growth since there is also the stock of perhaps some kind of peak demand or we already have surplus capacity in India in terms of refining, etcetera ? Would a lot of that be focused on petrochemicals or is it a lot of it will be also thinking through new energy?

Of course, a lot of this is going to be more guidelines at this point of time and as the world changes and we update ourselves, this might change. But sitting right now, how do you see these things moving ahead?

Vikas Kaushal: Let me take that question. Two parts to your question, what would be the metrics? Well, we have not fixated those metrics right now and as Director Finance mentioned earlier, we are continuing to do capex even right now. So it is not that we have stopped. Yes, we are very prudent in what we are doing right now given our overhang of the previous projects in terms of huge capital expenditure which is coming to fruition right now. So we are very prudent right now but we gave some numbers on city gas, how much we are expanding, we are putting up other areas also. So there is a continuous capital expansion which is happening but not in form of two huge projects which we had talked of.

Now looking at the numbers, we have not yet as a management team put a marker which says, at this level I will open the gate for stream A or stream B. But directionally, you are thinking in the right direction that we want to get our debt equity and serviceability in a level where we are comfortable withstanding all kinds of challenges which dealing in oil industry presents. So at that stage, we will probably take a call on those. It also needs a bit ...

Sorry for the disruption and the wait you all had to do. I was talking on the strategic direction.

Well, peak oil, nobody knows when it is. As many of you know, I have been a consultant in this domain in my previous avatar and I used to talk a lot about this. My personal view is the peak oil in India is much down the line. It will be the last of the major economies to go to the peak oil. So there is potential in oil also for a foreseeable future.

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There are other opportunities for growth and not everything we do should come in the next decade because there could be inorganic opportunities we look at, there could be other lines of businesses. As many of you might be aware, we have a very strong R&D also and that could give us new opportunities. So as and when we do come out with our revised growth plan sometime in course of this year, we will take the opportunity in one of the subsequent calls to share the nuggets with you.

I can certainly foresee that would be a much more broad-based plan as compared to the last 5 years where we went heavy on refinery investments because we needed to cover the gap between the product we sell and the product we refine. Now that gap is

reasonably well covered for us

between our own increased refineries and the joint venture partnerships we have. Now our next five years I would see much more broad-based investments, including responding to new energies and taking on areas where we think we still could be a leader in the market.

That is how I think about it. Beyond that we do not have any detailed plan. As I said at the beginning of the call, our primary focus right now is to make sure our large capital comes up to stream and our big projects are completed, and big and small projects are completed so that we start getting returns from those projects which allows the company to be in a very strong position for a future growth wave.

Vikas Jain: Thanks, sir. Thanks a lot.

Moderator: Thank you. The next question is from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta: Yes, hi. Just if you could -- just on numbers, I mean, if you could just share the market share for petrol and diesel for Q4 and for fiscal 2025 as well.

Rajneesh Narang : We are just pulling out the right number, give us a second. The question was for Q4, but if you have the full year number you can share that.

Rajneesh Narang : I think to my -- if I recollect correctly, we are having a market share of...

Rajneesh Narang : 24.76 full year.

Rajneesh Narang : 24.76% for motor fuels for full year, and all products put together is around 20.5

Akash Mehta: Okay. And then for Q4, I mean, that would be?

Rajneesh Narang : Q4, 24.07.

Management: 24.2.

Akash Mehta: Okay, okay, thank you. That is it from my side.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dollars Capital. Please go ahead.

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Yogesh Patil: Thanks for taking my question, sir. Sir, post fully commissioning of bottom upgradation unit at Vizag refinery, how much time it will take to get the full benefits of \$3 to \$4 per barrel into the GRM?

Vikas Kaushal: These are huge complicated processes, and this technology is a path-breaking technology. So, we have to give our plants around 3 months for full stabilization, etcetera. Now, we might reach that faster. It might take a couple of weeks here and there. But as a management team, we are very much focused on making sure there is a safe operation when you run a plant like this. And if any of you have visited Vizag, you could understand and how complex that rough unit is. It is a refinery within a refinery, as we say. So, it will take a few weeks, you can say, for full stabilization to come in. But we are focused on it.

Yogesh Patil : It would be fair to assume that \$3, \$4 per barrel kind of benefits will fully reflect into the FY '27?

Vikas Kaushal: Yes, we are very hopeful of even starting to reflect in some of the later quarters of this year. That is what our internal view is. We will start getting those benefits in the later quarter of this year.

Yogesh Patil: Sir, next question related to Russian crude process in the Q4 FY '25. And the current levels of Russian crude, is it improved compared to the Q4 FY '25?

Bharathan : We have been getting about five to six parcels of crude every month . This is continuing. There was a dip only in one month in the last quarter. Otherwise, it is continuing.

Yogesh Patil: In terms of a percentage, if you could share the number, you generally share?

Bharathan : Overall, as HPCL, we are at 35% Russian crude.

Yogesh Patil: That was the Q4 FY '25 number, sir?

Bharathan : It was a full year. Q4 is close to that, 32%, -33%.

Yogesh Patil: Okay. And sir, on the HPCL and ADNOC trading, you have signed the LNG trading supply contract with ADNOC. Can you provide some details on the pricing, whether it is linked to the crude or Henry Hub and the quantity of LNG import under this contract?

Rajneesh Narang : It is linked to Henry Hub. I don't think b

eyond this, I can say anything.

Yogesh Patil: Okay. And lastly, generally, you share the pipeline segment throughputs every quarter and annual basis. Can you provide some revenue on the EBITDA details of the same segment for FY '25 and Q4 FY '25?

Rajneesh Narang : I can share with you the volume. It is 24.9 million metric tons. 26.9 . 26.9. And 6.61 million metric tons for the quarter.

Yogesh Patil: So, any details on the revenue and the EBITDA side of the pipeline segment, if you could share?

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Rajneesh Narang : We are moving our own product only in the pipeline. We don't account any revenues for this.

Yogesh Patil: Okay. Thanks a lot, sir. This was really helpful.

Moderator: Thank you. The next question is from the line of Manikantha from Franklin Templeton India. Please go ahead.

Manikantha: Yes. Thank you so much for providing me the opportunity. Hope I am audible.

Vikas Kaushal: Yes.

Manikantha: Yes. Hi, sir. So, because it's an interesting move that you have done from being a consultant to heading HPCL. Just wanted to understand what's the motivation and upside for you? That's the first question. And second question is more on HMEL. Is it possible for you guys to give me the gross margin that your model is throwing if current pricing or spreads are taken into account for the refinement of petchem? Those are the two questions from my side. Thank you.

Vikas Kaushal: So, since this call is about HPCL's numbers, I will not talk about myself. The only thing I would say is the reason I work here is we have a fantastic opportunity and a fantastic team which can take this place. It is already one of the leading companies in India, and we will be even more powerful in times to come. That's my motivation. Beyond that, I think we should just focus on the numbers, and I request my colleagues to talk about the HMEL numbers which was asked.

Rajneesh Narang : I can broadly share that the EBITDA margin in HMEL for Q4 is around 7%.

Manikantha: Understood. So, just to follow up on the first question, can I check on the compensation side whether it is in line with the historical same days or there has been any change in the compensation?

Vikas Kaushal: You just need to read the press.

Vikas Kaushal : Yes, it is absolutely in line with what was done historically.

Manikantha: Thank you. Thank you so much. That's all from my side.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to Mr. Vartarajan for closing comments.

Varatharajan S.: Thank you, Steve. I see 11 people in the queue as of now. Please address it to the management or you can send your questions to me, I can get it addressed. I would like to thank all the participants for taking time out to join this call and the management for addressing all the questions in a very detailed manner. I wish the management all the very best in the next financial year as well. Hope the current momentum continues. Thanks, everyone, and have a nice day. In case, sir, you have any closing comments to add, please go ahead.

Vikas Kaushal: Thank you all for participating and listening to our thoughts. Thank you for your interest in HPCL. If you have ideas for us, keep feeding them to us. On behalf of the management team and our entire team, I would say we are all geared up to making sure the time you spent reading Hindustan Petroleum Corporation Limited
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about this talk is well rewarded in many different ways. So thank you all and look forward to some subsequent conversations.

Varatharajan S.: Thank you, everyone, and have a nice day.

Rajneesh Narang : Thank you. Thank you, Varatharajan

Operator : Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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"Hindustan Petroleum Corporation Limited
Q1 FY '26 Earning Conference Call"
August 08, 2025

MANAGEMENT : MR. VIKAS KAUSHAL – CHAIRMAN AND MANAGING
DIRECTOR – HINDUSTAN PETROLEUM CORPORATION
LIMITED

M R. RAJNEESH NARANG – DIRECTOR, FINANCE –
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MR. S. BHARATHAN – DIRECTOR, REFINERIES –
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MR. K. VINOD – EXECUTIVE DIRECTOR, CORPORATE
FINANCE – HINDUSTAN PETROLEUM CORPORATION
LIMITED

MODERATOR : MR. VARATHARAJAN S. – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Petroleum Corporation Limited Results Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking Limited. Thank you, and over to you, sir.

Varatharajan S.: Thank you. A very good morning to everyone. It's my pleasure, as always, to welcome all the participants and the management of HPCL, represented by Mr. Vikas Kaushal, Chairman, Managing Director; Mr. Rajneesh Narang, Director, Finance; Mr. S. Bharathan, Director, Refineries; Mr. K. Vinod, Executive Director, Corporate Finance. The floor is yours, sir, for your initial remarks.

Vikas Kaushal: Good morning, everybody. Thank you for joining the call, and thank you for your continued interest in HPCL. And thank you, team for organizing this call. I'm Vikas Kaushal. I'm joined by my colleagues, Rajneesh Ji, Director, Finance; Bharathan Ji, Director, Refineries; Vinod, ED, Corporate Finance and our Corporate Finance team. I would like to share our opening comments and then open it up for questions.

Over the last 12, 14 hours, many of you have written about us. We saw some analyst report. I've been tracking some of those. Some have posed questions, which we tried to address in the opening statement. And if left unaddressed, please feel free to ask those questions. We had last met in early May when we talked about our year-end results and then the Board meeting, which was held then.

Since then, we have been living in very interesting times with dynamic situations on multiple fronts, geopolitical, macroeconomic supply challenges, etcetera. All I would say is team HPCL has worked very hard to build momentum and push our business forward. We are in a good spot, and we are bullish about the future.

I'll give my commentary -- opening commentary in two parts. I'll talk about the current performance -- our view on the current performance and shaping up -- how are we shaping up the future. On the first part, current performance, the results are all out. You've seen we turned in a strong quarter on the refining side, 6.6 million tons of throughput, 15.6% higher than last year, 109% capacity utilization. A lot of it was driven by capacity expansion programs, which we had led.

As you are aware, Vizag, we had completed the capacity expansion last year, and it is now

running at 15 million tons. Just for context, it was an 8.3 million tons refinery in 2022. It is 15 million tons now, almost double. I'll talk of the remaining part of the expansion project in the second segment I talk on.

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In running our refineries, we have been focusing a lot on expanding our crude baskets. We are trying new ways of going to the market. Those of you who track crude purchases, etcetera, can see what we are trying to do or guess what we are trying to do. But -- through this, we have processed 4 new crudes during the year, a wider basket of crudes.

And we are currently and constantly working on upgrading our process and widening the participative interest from suppliers to supply to HPCL, and we have seen some good results on that. On the sales side, sales were above 13 million tons, which represents a growth of 3.2%. This resulted in strong financial results. EBITDA at INR8,124 crores. I think the numbers are all there with you. But profit after tax of INR4,371.

If you just compare Q1 last year to this year, it's

11x, 12x last year. But even if you just compare running quarters, it is 30% over last quarter. And if you're looking at 3 quarters, just the last 3 quarters, which have been good run for HPCL, you will see we have been clocking way above INR3,000 crores plus every quarter and roughly about INR1,100 crores PAT per month on a run rate basis.

Coming to the projects, they are progressing well. This was a question many of you asked in your analyst commentaries overnight. On Vizag project, the rough -- the bottom upgradation project, we have the OSID and PESO approvals. I think we announced it last time. We are in the middle of pre-commissioning activities.

Just as we speak earlier this week, we fired diesel into the flares. It is a very complex project, probably the first of kind done in India. So it will take us a few weeks to commission, but I can formally tell you that we are in midst of pre-commissioning activities.

We are targeting commissioning in the next few weeks. It could be before the end of this quarter, as we had promised in the last analyst call or at best spilling a quarter or a few weeks into the next quarter, depending on how soon we are able to take hydrocarbon in. So we are about to finish that project, and we expect to capture the benefits of that in the second half of the year, especially when this stabilizes October, November onwards.

On Barmer, there is 88% completion on the overall program. We have reprioritized how we are focusing on it, and we have enhanced our focus on the refinery section in the last few months. Refinery section is 95% plus completed. As I speak, 12 packages are fully commissioned there, 12 of 28 packages.

Petchem section is 73% complete. We have started the process of taking safety approvals and PESO approvals for the packages, which we are commissioning. And we are gearing up for crude in, as we had said in this year. We will do it in two parts. First, we will go in with the refinery section. Hopefully, in the next few months as the activity is complete. As I said earlier, it's about 95% complete.

Many of our other projects are going on track. Mangalore LPG storage cavern, it's ready. We are just awaiting pollution control before we do feed in on to that one. So that's a summary of how we see the current performance. Happy to take any questions later on. But let me talk also about how are we preparing for the future. And our aim as a management team is to take HPCL

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to the next orbit of performance. We are already performing at a good clip. We talked of the numbers, but how do we go to the next level?

There are four key planks we are working on, and I'm outlining those four planks because in subsequent analyst calls, we will keep harping on these four planks. That's a part of our thought process. First and foremost is improving operational efficiencies. This is something I will delve a bit deeper today. But the remaining three planks are planning for next wave of growth, working on our enablers, the people, the digital aspects of our business, digitizing more of our business. And then fourth, also enhancing our external engagement so that what we are doing is visible to you all.

Today, I'll just focus a bit more on operational efficiencies. But in the subsequent analyst calls, we'll stick to these 4 buckets and keep updating your progress, and you can hold us accountable on the progress on these. In terms of operational efficiencies, I'm very happy to announce that as a management team, we launched you can call it as a cost takeout or it's a wider an EBITDA

enhancement program. It's called Samriddhi.

It's actually being done internally, and we launched it in May. The target is -- it aims at taking out up to about INR1,000 crores to INR1,500 crores, INR1,500 crores is our aspirational target of savings -- an EBITDA uplift on our routine operational perfor

mance by March 31. We are at

25% of locked-in savings at this point of time and 16% of our target is actually accrued into quarter 1.

So when you see the strong quarter 1 results, there are some operational efficiency benefits, which is already starting to click in. I can give you the specific numbers, close to about INR250 crores of operational efficiencies have been locked in. Through this program, we are building in the theme of continuous operational excellence in our business, and there is a lot of cross-functional team working on it. And this is a shared goal, which is -- it's a KPI for all our senior leaders, EDs and Directors and me altogether.

Second operational efficiency theme is around -- we have launched a program called Abhyuday, which is very focused on increasing our throughput and sweating our retail assets more. We are focusing on 4,500 retail outlets, and this started again 2 months ago. And early days, we're getting the low single-digit KL improvement on an average in these pumps, but more could be expected there.

In line with this, we've also upped our dealer engagements, and we have launched Sarvottam and Uttam Awards where we are engaging our dealers a lot more. Third area on operational efficiencies is around capital allocation.

We have been, I would say, a bit more stringent on new capital allocation and roughly going at around two third, 60% to 70% of the run rate of last year in terms of new projects, which we are looking at. The idea was to work on debt equity and deleverage ourselves a bit, the results of which you would have seen in the financial results.

A few points I wanted to cover on the other aspects also. We are focusing a lot on sweating our assets. There is a better performance on fuel and losses in our refineries. I talked about crude Hindustan Petroleum Corporation Limited

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sourcing. I talked about throughput increase on refinery. Very briefly on two other initiatives on what we are doing for future. Some of you have tracked us would have seen we have signed a deal with ADNOC for gas supply. This is our second deal which we have done in this year. This is for a 10-year contract landing at Chhara terminal starting from 2028.

We've also, post that concluded sourcing of our cargoes for 2027. In addition, if you have tracked, we have signed a green hydrogen tender for -- it's been concluded for our Vizag refinery, 5 KTPA at a very attractive rate of INR328 per kg, which as far as we know, is the lowest discovered rate in Indian market as of now.

I briefly touched upon our digital transformation. We believe there are a lot more efficiencies which are feasible through redoubling our efforts on this. We had a program called Parikalp, but we are now taking the fresh wave of initiatives. It's a program sponsored personally by me and along with my leadership team, and we believe this will drive the next wave of operational efficiencies for us.

To conclude the opening remarks, we are on track to a strong year. But more importantly, we are preparing ourselves for a stronger future. I thank you all for your interest in participating in this dialogue. And me, along with my colleagues here, we look forward to your questions. Thank you.

Moderator: Question is from the line of Yash Nandwani from IIFL Capital.

Yash Nandwani: Sir, could you share the quantum of inventory losses in both the Refining and the Marketing segment?

Rajneesh Narang: See the losses -- the inventory loss in refinery was around INR1,400-odd crores. And in marketing, it was around INR600 crores.

Yash Nandwani: INR100 crores?

Rajneesh Narang: INR600 crores.

Yash Nandwani: Okay, sir. And secondly, sir, on LPG compensation, there are reports that cabinet may approve it today. So what is your view on this? And what would be the approximate compensation for HPCL in this regard?

Vikas Kaushal: So your view, yes, we are eagerly waiting for the de

cision, as you can imagine. Over the last

few -- can you just mute your line? I think there is echo from your side. Yes. So we have been in discussions with the government over the last few months, as you can imagine, giving them all the data which they need. The decision, of course, has to be taken by the government of India, and we also read the same news as you do, and we are also waiting for the same outcomes there.

I wouldn't want to comment on the quantum because I'm not privy to what is the [inaudible 0:13:29] there and what part has been accepted, what's not been there. But all I would say is, as a management team, we are eagerly waiting for that decision, and we hope and we believe it will be game-changing for all the OMCs and also HPCL. We'll have to wait for the numbers.

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Rajneesh Narang: I'll just add on whatever may be the quantum, around -- our market share is around 27% to 28%. So that percentage would come to us.

Vikas Kaushal: So if you see a number in the press, you can look at 27% as ours.

Yash Nandwani: And lastly, on the Russian crude. So what was the share in Q1? And do you see any impact in the near term? And just your comments, how the discounts are trending in present?

Vikas Kaushal: See, as I said earlier, we do a very rigorous exercise on how we buy crude. And -- we've only gone deeper and wider in this exercise. As we said, the Russian thing is just a few days old in terms of the sanctions. But as a team, we were already looking at what is the best economic decision for us.

In quarter 1, our share of Russian crude was only 13.2% in our overall portfolio, which was lower than last year. And it's not because of any geopolitical reason. It was economic decisions on what we needed to run in our refineries. We did that. In this quarter, the only place we ran Russian crude was in our East Coast refinery in Vizag. In Mumbai, we found other crudes to be more attractive.

What would be the impact? Well, they aren't -- it's not that we are not buying Russian crude. Those decisions are still open. It's just that whatever is economical will be bought. There is no guidance or direction on that aspect or do this or don't do that. We are all free to do that. We are looking at alternatives as and when economic situations present.

If we were not to buy Russian crude for any sanction-related reasons, the impact is not too significant for us as you can do the back calculations from the numbers. It was only 13% of it, do the 13% and do whatever little discounts you get on that crude. It's not a very significant impact.

Moderator: The next question is from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: Sir, sharp reduction in the gross debt, approximately INR12,300 crores compared to the previous quarter. Sir, if you could give us some idea how much it was reduced due to the lower requirement of the working capital? That's one thing. Going forward, do we have any target of net debt to EBITDA or total debt to equity, which will be for the period of FY 26-27? If you could share some details on this side?

Vikas Kaushal: I think let me just give you an overarching comment, and I'll request my finance colleagues to give deeper into the target. Well, see, year-end debt always is higher for us. So comparison on that is there, not only for us, for others, it's always higher. But there are aspects of our business, which we have tightened where we have reduced the short-term debt and more of that is going to happen.

In the previous analyst call, we had given a guidance that we would be somewhere in the region of 1.5 to 1.8 -- sorry, 1.15 to 1.18 or somewhere in that region, less than 1.2 in debt to equity.

There, of course, we were conservative in that guidance. We are at 1.01, but that's -- and in the Hindustan Petroleum Corporation Limited

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year number,

if I was to just extrapolate it for the year-end, this would be a slightly higher number.

Is there a guidance on what we want to give for future? No, not at this stage. We don't know the quantum of LPG recovery and in what shape it comes, that will have an impact on our debt. But I can say as a management team, we are very focused on deleveraging ourselves both at the parent level and on a consolidated debt level, and that's one of our prime focus this year.

We had already shared that in the previous analyst call. I'll request my finance colleagues to give a bit more detail on the numbers to satisfy your answers there.

Rajneesh Narang: As regards the quantum of normally the year-end extra debt, which gets added on primarily on the short-term front, it is around -between INR6,000 to INR7,000 crores more than what it is stated here. And rest Chairman has already covered. Yes, one thing is there for sure that if the compensation, what is likely to be announced today in case the same comes in, it would be a very significant reduction in the number as compared to the current levels is what is...

Yogesh Patil: Okay. So sir, next question related to again, the LPG under recovery. During the quarter 1 FY '26, what was the average under recovery on the domestic LPG? And during Q2 FY '26, how

much it has come down? If you could provide some details on the rupees per cylinder side, it would be helpful. And sir, what is your in-house estimates for the LPG under recovery for FY '26? Any reduction do you see compared to the FY '25 that would be helpful.

Vikas Kaushal: Yes. See, we'll give you some broad numbers. We do not want to give all the details right now because there is a decision which is pending on this and -- but we'll directionally give you some numbers. So -- please, you speak...

Rajneesh Narang: See, if we look at the last year, the total under-recovery on LPG was around INR10,900 crores. And if you look at the first quarter, it is around INR2,148 crores. And going forward, if we look at Q2 going by the current level of under recovery, we may add another INR1,000 crores to the -- on an about bottom line basis.

In terms of the monthly pricing, it will keep on -- it depends upon the Saudi CP -- contracted CP price. And if I have to list down what was the under-recovery in the previous few months, it was -- in April, it was around INR167 per cylinder. In May is INR164, in June...

Vikas Kaushal: [Inaudible 0:20:15] Last quarter. All I would say is there's a lot of effort by us and other OMCs also to make sure we are optimizing on the input costs on LPG to reduce any of the under recovery. And if you track Saudi CP, that has come down, which has also helped us in this period.

Yogesh Patil: Last question to touch. Suppose the under recoveries are on the sliding side, declining side on the top of that, crude will also come down. Do we expect the total debt numbers of INR50,000 crores -- INR51,000 crores will come down to -- on the lower side? Is that the correct understanding?

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Vikas Kaushal: Yes, I shared earlier that as a management team, we do want to deleverage HPCL, that's the trend we are using. So part of the money will be used to bring down the debt. We are already working on it. The numbers we'll be able to give you in the next analyst call or our guidance in the next analyst call.

Moderator: The next question is from the line of Probal Sen from ICICI Securities.

Probal Sen: Just wanted to understand a little bit more on the Rajasthan refinery economics. We have seen petrochemical spreads remaining depressed probably for longer than what we have anticipated. And obviously, in this refinery, we have a plan to have almost 30%, if I believe, of the throughput [inaudible 0:21:45] to petrochemical. So just wanted a view on how you see the cycle evolving? And does it impact the way our configuration is for Raja

sthan refinery or any tweak that is needed to do that? Just your thoughts on this.

Vikas Kaushal: Thanks, Probal. I'll go first, and then I'll request Director, Refineries also to chime in on the numbers. I think our objective right now is to finish the asset. We are less concerned on the petchem specs, etcetera. The key thing is to finish the asset. It has been delayed, but we are now having a line of sight of completion of the asset there.

Having said that, yes, we all know petchem spreads have been lower in the last few years. There's been a lot of overcapacity in the market. But we also think they are firming up right now. So who knows? Maybe we will -- the asset will enter at the right time. On third part of your question is optimization tweaking feasible. Well, once the asset is done, a lot of things are feasible, and we do have plans for a lot of different things there.

But as I said earlier, as a management team, we are very focused right now on getting the asset up and running. The subsequent plans would follow. We will do -- every asset does an optimization. We talked about Vizag going from 8.2 to 15. We do have plans on what to do further with that in terms of debottlenecking, etcetera. There will be similar attempts at Barmer also, which will help optimize the asset further. I'll request Bharathan ji to add his thoughts on it.

S. Bharathan: Maybe a couple of things. Yes, it is one of the largest integrated refining-cum-petrochemical complex from day 1. 26% of the product comes out as petrochemical. At the same time, it's also brought in the best energy efficiency processes. The integration is done in such a way that the cost of production will be kept minimum. These are some of the positives. And we do have opportunities to optimize the intake cost. There is a crude cost also, which we'll be doing along as we go. Thank you.

Probal Sen: One more question, if I can slip in. And this might be a little bit more simplistic. The expense of...

Moderator: Sorry to interrupt. Mr. Probal, may we request you use the headset?

Probal Sen: Is this better?

Moderator: Yes, go ahead.

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Probal Sen: Yes. Sir, just one more question. This was about the inventory loss that has happened in this quarter. Forgive me for sounding simplistic, but the extent of loss seems to be a bit larger than I think what most of us were looking at. So just wanted to understand, is there something we are getting wrong in terms of the holding period or the price changes [inaudible 0:24:34] thoughts on this.

Vikas Kaushal: Probal, you run the refineries on Excel sheets. We run the refineries on an actual thing where we have a so many large customer bases to handle. There will be decisions we will take at different point of time on whether to increase our inventory or reduce the inventory. If you track what was happening during this period on geopolitical events, you would see there could have been decisions we have taken to buy some extra cargoes as an insurance and all those kind of things. At the end of it, we run the business to ensure supply and continuity are there. Yes, there are going to be times when we are holding more stock, either of finished products or inventories, given our judgment about how the demand-supply situation will pan out. This was the period when there was a lot of challenge in Israel -- Iran-Israel things. Supplies were -- a lot of you were writing about Strait of Hormuz and how it will impact. So we as companies are also responding on what we wanted to do and how do we ensure the supply. So we probably carried more inventories during this period.

Moderator: The next question is from the line of Sumeet Rohra from Smartsun Capital.

Sumeet Rohra: Sir, firstly, I would like to congratulate you. It's an extremely superior performance what you have delivered because, sir, the way I always look at it is LPG is a

controlled product. So that's

got nothing to do with us. And looking at that, you've reported about INR6,500 crores, INR7,000 crores profit, which is truly staggering.

I mean, sir, I remember 5 years ago, HPCL used to report INR6,000 crore annual profit for a year. Today, you have taken this company to a level where you are delivering this kind of profit on a quarter. So sir, firstly, many, many congratulations on that. You guys are doing a fantastic job. It's truly heartening as an investor to see the transformation which HPCL is going through, all thanks to a fantastic management team headed by all of you. So many, many congratulations on that, sir.

Now sir, I just have a few questions, if you can just help me understand. Sir, firstly is on the Vizag. So on the residue upgradation project, now you said that we'll commission it now. So is my understanding correct that the middle distillates today, which are lower for us, would actually then go to 84%, 85% and that in turn would get GRMs up by about \$2 to \$3. If you can explain a bit on that.

Sir, secondly, it was very heartening when you spoke about the operational excellence program, which you started. So sir, this INR1,500 crores of -- which you said of incremental savings, if you can basically just also dwell a little bit on -- so that's already started, as you said, in INR250 crores in Q1, etcetera. And how do we plan to improvise more on that?

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And sir, just one more thing is on the LPG part. So now -- I'm sorry, I missed that part, but is my understanding correct that from September onwards, the LPG loss on a cylinder would come down to about INR50 or INR60 or something of that sort, sir?

Vikas Kaushal: Thanks, Sumeet. Thanks for the kind words for the management team. We all get egged on and pushed on by the sharp questions you all ask on these things. So they are very good guiding forces for us on what we need to do. On your -- let me answer in the reverse thing because I've probably forgotten the first question.

On the LPG recovery, yes, the numbers could be there. Now what it will be in September, we'll have to see. But as we talked, the trend was downwards, and there has been a significant drop in Saudi CP last month. So yes, the trend is downwards there. So I think that would -- it would be -- I don't want to give an exact number on what it would be in September, but it's directionally headed towards that. So I think that's point number one. On Vizag upgradation, it will be about 83% distillates, if I'm not mistaken, you want to add Bharathan ji on...

S. Bharathan: It's about 4%, 5% more than what we have been doing now. It will be crossing that 80%, around 83% what we'll be reaching.

Vikas Kaushal: And we still have one more step of optimization further on this, which is when we are able to pump in natural gas into the refinery. Right now, it does not have a pipeline connection. So there will be one more uplift, which will come later. But by and large, you are directionally there, the distillate yields will start going up.

On your third part on the program on Samriddhi, I think there are -- we are attempting it at

multiple things. One, being sharper at how we spend our money, where do we spend our money. So there are a lot of initiatives around real cost takeouts. Second, there is operational efficiencies being built in. Just to give you an example, the 60 bottling plants we have, how much throughput I can get through from each, what is the cost for each of the plants. Even if I benchmark my own plants within the whole 60 plants, I can get improvement areas and every fan you stop or every light you turn off or every time you increase the speed of the carousel, it gives benefit. So there are initiatives like that. But there are a lot of big ticket initiatives, which come from trying different things on sourcing and movement of products

We are attempting a lot of those things, shifting some movements from say, a traditional way to a different route, leveraging coastal, trying to do different things. If you notice on how we are going to market in terms of buying our spot cargoes, you would see there are certain different things we are attempting. I won't say thing A is the strategy or the thing B is the strategy. All I would say is we are much more nimble in terms of what we are attempting in the market. Just for one example, I can quote this because this is in public domain. We used to earlier go and buy every -- one cargo every week. Now there are times when we go to the market to buy four together. So those of you who understand cargo buying, you would know the leverage which can happen both in terms of our own optimization versus what we get from the market is there.
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The participative interest in our cargoes at times is really high. Our teams are running very hard. We have upgraded some of our tools in terms of optimization. So there are a lot of, I would say, thousand such things which are happening all across the place, which will give us the results. It's a very ambitious target. I think we are very confident of getting to 1,000 plus, which -- but we want to push ourselves towards 1,500. Just to give you context, if it's 1,500, this will be \$0.6 per barrel for the total number of barrels we sold. Am I right on that? 0.6. For everything we sell this year, this will be \$0.6 per barrel. If we get to 1,500. Even if we fall short slightly, and we will keep reporting it on analyst call. If you ask my thing on where I'm willing to give a guidance, I'm willing to give a guidance between 1,000 to 1,500, somewhere in that range we will call. I'm confident of 1,000. 1,500 is the aspirational goal, but we'll hope for that.

Sumeet Rohra: Sure, sir. And sir, just if I may just add one thing now, this as an investor point of view -- from an investor angle, sir, I truly understand that we are going to now delever, etcetera. But sir, at some point of time, after you finish the delevering and when you're satisfied with all your financial metrics ratio, I, sir, humbly request that you must consider a buyback. Because sir, today, our market cap of INR80,000 crores versus a balance sheet value of INR2 lakh crores clearly is a big mismatch. And there are absolutely no question that a company of this magnitude cannot be trading at this paltry market cap. So I would humbly request, sir, if you can -- at some -- at the opportune point of time, please do consider this because it will definitely be very value accretive for all stakeholders.

Vikas Kaushal: Fair point. We take note of that.

Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital India Limited.

Nitin Tiwari: Congratulations on good set of numbers and Y-o-Y improvement in your reported numbers. So my question -- first question is related to your refinery margins. So the refinery margins were like for lack of a better word, rather disappointing in this quarter at \$3, whereas all the crack spreads if we look at, whether it's basically gasoline or gas oil, all the crack spreads have improved on a sequential basis. So why is that the case?

And even if we adjust for the inventory losses that were there, still the adjusted refinery margins would be lower than what they were in the previous quarter, whereas the crack spreads have improved on a sequential basis. So how should we look at this metric going ahead? I mean what your guidance would be on that, especially in light of the project Samriddhi that you pointed out where you're looking at cost savings, etcetera. So I mean, your thoughts on that, please? That would be my first.

Vikas Kaushal: Sure. I think on the refining margins, what you see are after the inventory losses, we'll give you the specific numbers on refining margins if the inventory losses weren't there.
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Rajneesh Narang: If you look at the core GRM, if the inventory losses were not there, HPCL has a core GRM of

6.54. Now if you have to compare it with respect to the Q1 of last year, it was \$5.35. So it has improved compared to last time.

Nitin Tiwari: Sir, I was referring to the -- sorry for the interruption, sir, I was referring to the March quarter. Your reported number was 8.44 and adjusted for an inventory gain, it was 7.1. Correct me if I'm wrong over there. Whereas the crack spreads have improved versus the March quarter. So ideally, our refinery margins would have gone up in June quarter, I mean, unless until there's something else which you would probably want to highlight.

Rajneesh Narang: If you look at the cracks and spreads, don't get factored as part of inventory losses. So even if you look at Y-on-Y, it is -- even quarter-on-quarter, yes, you are right, it was 7.1 if I go by the Q4 24-25 number, which is 6.54 in the current quarter.

And the differential is primarily because of the spreads also and the conservation of the refineries which we have. But in terms of the various performance of the refinery is concerned, per se, if you see, we had the lowest fuel and loss in this quarter.

Nitin Tiwari: Yes, sir. please. I appreciate the lower fuel and loss part. That's why I was not able to put everything together if our fuel and losses are lower, the crack spreads have improved versus the March quarter, then why is that our adjusted refinery margin still lower than the March quarter?

Vikas Kaushal: Yes. I think we've explained the numbers. These are complex assets. Sometimes some things fall in a particular direction there because it's -- if you see between quarter-on-quarter also, it's - - while it is lower, it's not an alarmingly lower number that we have suddenly forgotten how to run refineries. I think we are conscious that we need to improve that. There is a lot of efforts.

You talked about Samriddhi. Yes, it includes a lot of improvement initiatives.

We know the areas where we want to improve, and there will be a concerted effort on it.

Hopefully, in the subsequent quarters, you will see the core GRMs going upwards as first the rough comes up and some of the operational initiatives which come up, they are -they also sort of operational improvement initiatives, they start giving results.

See, when you start comparing numbers quarter-on-quarter, there are always sometimes a particular month, a particular unit was down and all those kind of -- or was under a turnaround, etcetera. So I think those things are, I would say, more in the realm of operational, I would say, day-to-day operational challenges. There was nothing alarmingly different from the way we ran the refinery. Are there areas where we can improve? Absolutely. And you will see that improvement in the coming quarters.

Nitin Tiwari: Fair enough. My second question would be with respect to the ethanol blending debate that is going on in the country. And so just wanted to understand that what is the current ethanol blending rate? What is our target if at all, I mean, this rate is going to go up? And what is our ethanol sourcing price at this moment, sir?

Vikas Kaushal: So on the ethanol blending, yes, there is some debate. It has got -- we all know it's got accentuated after some influencer also wrote about it recently. 20% blending is a mandate by Hindustan Petroleum Corporation Limited

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Government of India. All of us have to follow that mandate. If I'm not mistaken, we are -- I don't remember the numbers offhand, but we know that you can correct, but we are close to 19-point something, 19.95% or something. We are following the mandate and our plan for this year is to follow the mandate.

In terms of ethanol sourcing, there is an industry-wide

optimization, which happens on ethanol

sourcing so that the distances are traveled less. We also keep on doing our own initiatives. Can we move things from here from by rail to another location and all those kind of things. So we are trying to optimize whatever we can do. If you're asking specifically on the price of ethanol, I don't remember it offhand. I'll ask my team if they remember the price. If not, we can give you.

Rajneesh Narang: That varies depending upon the feedstock for sugar or grains or for maize and all. So it depends upon the price of the product.

Vikas Kaushal: But sir, the government listed price, so we go by that. As on date, as we speak, notwithstanding the social media controversies of the campaigns around it, our plan for the year is to follow the government mandate of 20% ethanol blending pan-India.

Nitin Tiwari: Got it. Correct me if this understanding is wrong that I suppose the cost of procurement of ethanol, I mean, excluding taxes is about INR57, INR58, right? So I was just like trying to understand that this price is higher than what your refinery gate price would be for petroleum products.

So in effect, like more ethanol that you blend in petrol, there is a possibility of you losing margin because in a sense, I mean, while you are blending an expensive raw material in your product, your selling price is more or less -- I mean, that is unchanged, that still remains at where it is. Is that understanding correct?

Vikas Kaushal: I would say that's partially correct in some form. And you can look at it, there is more to ethanol

blending than just these 2 numbers. There are characteristics of fuels, what gets changed, what we can do with our refineries around it. So there is a lot more at play with these. There are a lot of technical aspects around it.

But the way I look at it is also it's a mandate by Government of India given to all the people. It's a Government of India program. We all have to -- it's like you and I might not like the income tax we pay, but we have to pay the tax. That's the government mandate there.

So is the management team kind of losing sleep on it? No. All what we are trying to do is optimize what is in our control, the logistics, how do I ship, how do I store, what inventories I keep, making sure my blending is okay, making sure I'm not carrying excess inventories.

That is something we are very focused on ethanol blending because unlike refinery happening in one place, ethanol blending happens in multiple different places. So we are trying to work hard on operational aspects of it. If Government of India changes the mandate upwards or downwards, we'll react to it. Do you have something to add?

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Rajneesh Narang: Yes. Just to answer him regarding the lower core GRM in this quarter compared to the previous quarter. This quarter, we had a higher inventory of ISD, that is the intermediate stock. And once this will be converted into the final stock, that value will get realized in the subsequent quarter. In the July quarter, that would have already come. So it is not loss of value. It's the only thing is that on the month end when this period got closed, this product was lying as an ISD where the valuation is less.

Vikas Kaushal: And just to give you more comfort around the entire thing, the reason for that is that's what I said earlier. One of our units was under maintenance. One of our diesel converting units was under maintenance. So we had to carry more intermediate in our tanks, which will get processed. So when you see the next quarter's numbers, you will see that reflecting in the higher distillate yield for that refinery. It was more of an operational thing, nothing unusual.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on the results despite all the challenges. So the first questi

on is if I may clarify,

there was a mention of a figure of INR1,000 crores for LPG losses. So are you suggesting that the LPG loss will come down by INR1,000 crores?

Rajneesh Narang: Yes, going by the current level of the Saudi CP prices, in case there is no change in the retail selling price of the cylinder, what you are saying is right. Yes.

Vikas Kaushal: Quarter 1, -- Director, Finance talked about quarter 1 under recovery being lower than just the prorated of last year.

S. Ramesh: Okay. So if you look at the Vizag RUF project, the overall capex is about INR30,000 crores as per your presentation. So how much is the balance -- the actual project cost for the RUF project?

And if you look at the breakeven analysis, I'm just trying to get a sense, if you take the entire INR30,000 crores, you need an upside of around \$4 just to breakeven on the interest and depreciation. So how do you see the economics of this capex on the project? And what is the absolute margin you require on an integrated basis for Vizag to make it profitable and get double-digit ROC?

Vikas Kaushal: So I think just on the capex, the total capex, what the number you said, give or take, a few hundred crores is exactly the number. Part of it has already been capitalized, which is the refinery expansion section. I talked in my opening comments about 8.22 MTPA going on to 15 MTPA refinery and throughput in the first quarter was actually 4 million tons.

So that part, the benefits are already starting to come in with the RUF getting commissioned and stabilized. I would also use the word stabilized because it is a complex technology, the first time being attempted in India at this scale. We would see an uplift on the distillate yields and resulting uplift in the GRMs.

The way we look at it is, it is going to be a profitable project. I don't look at it -- actually, we don't look at it the breakeven the way you are looking at \$4 breakeven and all because there is a lot of complexity which can be done. The way RUF works for us even more than just what is

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the distillate yield thing is it allows me a wider spectrum of crudes, which I can handle and give me more collateral benefit as an organization.

And when we have RUF and Barmer all coming on stream, our asset footprint is higher. Our choice of -- we can process more dirtier crudes. We can manage our crudes between our refineries. We can do a lot more asset-based RUF etcetera. The flexibility is something which

will not get translated into just the IRR of that project. The flexibility goes into the system there. So as a management team, we are not really worried about \$4 being -- or I don't know how the \$4 calculation is there. It doesn't rest with me fully, but I'll let my finance team answer on to that of their question. But we are quite confident that once RUF comes in, we have an incremental lift off on our EBITDA month-on-month. And already, we are seeing an incremental impact on EBITDA, as one of you just mentioned in terms of how the trajectory has gone upwards. So we are quite confident on where we are. We are, I would say, cautiously optimistic on this getting completed. Cautious we are using because as I said earlier, it is a very, very complex technology. But anything to add on this? Yes, yes. Please, if you have a follow-on question, please let us know.

S. Ramesh: Yes. So before I go to the next question to CNG. So the reason why I asked about Vizag is in your branch accounting notes in the results on Page 2 of the auditor's notes, there was a loss of INR512 crores after taxes. So post the rough project and the expansion benefits, from which quarter can we expect that number to become positive? And what is the kind of steady-state run rate because that's part of your overall results, right? So just to get a sense in terms of that number, that's a loss as we speak in the first quarter.

ter.

Rajneesh Narang: Yes, yes. But the losses -- because in my initial statement, I had given you the inventory loss at refinery of more than INR1,400-odd crores. So that primarily is the reason that it has gone into it.

S. Ramesh: Okay. So on CNG, can we get the details on the stand-alone GAs in terms of what is the current sales volume in first quarter compared to last year first quarter? And if possible, the fourth quarter, you've given some numbers for the full year in the annual report, but just to get the quarterly run rate, if you can give us the stand-alone city gas distribution sales for your 14 GAs and how many of them are in commercial operation now?

Rajneesh Narang: If I have to just give the sales volume in this quarter, it is around 32 TMT of CNG sales vis-a-vis 22 TMT in the previous quarter. And what was your next question?

S. Ramesh: So what will be the corresponding number for fourth quarter '25? And how many CNG stations are in -- pardon?

Rajneesh Narang: 22.

S. Ramesh: So 1Q '25. For fourth quarter, what would it be?

Rajneesh Narang: 27 sorry.

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S. Ramesh: So fourth quarter '25, 27.

Rajneesh Narang: See current quarter is 32. Q4 of 24-25 was 27 TMT and the corresponding period Q1 24-25 was 22.

S. Ramesh: Yes. Got it. So how many CNG stations or GAs on commercial operation now? And when -- what would be the number...

Rajneesh Narang: Total CNG stations is 2,070-odd CNG stations under HPCL. But in our GA, it is around 350-odd.

S. Ramesh: The annual report mentioned that it's already up to 475. So as on date, how many of them are in commercial operation? And as we move along in FY 26-27, how many GAs or CNG stations will be in commercial operation?

Rajneesh Narang: All are in -- more or less all are in commercial operation.

Vikas Kaushal: There's only a few months lag between like just getting it ready and getting it. The gas in into the stations happens reasonably quickly.

Rajneesh Narang: The number which you are referring to may be including the JV one, which I'm talking about where we are -- the GAs are with us...

S. Ramesh: Okay. Okay. So is your EBITDA, if I may just dwell on this a bit more, is your reported EBITDA including some positive EBITDA contribution or is there a loss in the stand-alone GAs?

Rajneesh Narang: No, we are having positive EBITDA from our GA.

S. Ramesh: Okay. So I would like to give a suggestion. IOC has already started giving the gas segment details. So if you may also like to give that sometime in the first half or starting the second half, it will be useful for us to understand the progress in the gas business.

Vikas Kaushal: Okay. Thank you. Noted the suggestion.

Moderator: The next question is from the line of Achal Shah from Ambit Capital.

Achal Shah: With respect to volumes and percentage capacity utilization by FY '30 and '35. Yes Sir, I'll repeat my question. Sir, what kind of volumes and percentage capacity utilization are we expecting at Chhara terminal for FY '26? And where can we go from here like FY '30 and FY '35, where are we seeing these volumes and utilization levels?

Vikas Kaushal: Yes. So I think FY -- I don't have the exact numbers. Do you have the exact numbers? We'll give -- we can take out the exact numbers. In terms of -- right now, as you know, the breakwater is

not fully complete. As a result, we cannot offload cargoes during the monsoon period. Post that, we are starting with the October onwards, we have our -- from the previous gas deal, we will start having our cargoes already.

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And I think if I'm not mistaken, 4 cargoes are being planned this year for the second half. And of course, we can always look for additional spot cargoes. Whatever gas we had has been fully sold. For this year, we aren't expecting a massive capacity utilization. It will

probably be low

teens, if I'm not mistaken. I don't have the exact number with me. But from next year onwards, we would be looking at a further increase...

Rajneesh Narang: Around 30 to 40.

Vikas Kaushal: Yes, in the terminals there. And I'll ask Rajneesh Ji to give the numbers. He has dug out the numbers. As this progresses, '27, -- as I talked earlier, we already have signed a deal for '27. We already have a second deal done for '28 onwards. And more of these will become. We are also looking out for giving out capacity to others who are landing in there. So this is the year when we hope to complete the breakwater and from next year, operate as an all-weather port. Do you want to share those additional numbers?

Rajneesh Narang: See, this year, we are targeting that the capacity utilization will be around 10% to 15%. And next year, we'll be targeting between 35% to 40%.

Achal Shah: Got it, sir. Sir, just one last question, if I may. What is the current Russian discount in Q1, dollar per barrel and in July '25 dollar per barrel?

Vikas Kaushal: That depends on the moment of the trade and it's difficult to give you a broad number on what is the things. I gave you what is the impact on us and what amount of Russian crude we are using, which was 13% and I told you that the impact, if we were to use 0 was sort of not -- or it was easily absorbable by us in terms of our current performance. I would not like to go into specific discounts on any specific cargo.

Moderator: The next question is from the line of Mayank Maheshwari from Morgan Stanley.

Mayank Maheshwari One question from my end was more related to the marketing side. If we look at both on diesel and gasoline, you have seen a bit of a loss in market share. Can you just talk to us about the strategy in the wake of the competition now, especially from private players as well? What are you kind of thinking on kind of maintaining or increasing market share after the Vizag refinery upgrade?

Vikas Kaushal: I think that's a great question. Two things, I would say. One, when you look at the loss share, if you look at the last year Q1, you would see we had literally a spike in that period. If I remember the numbers correctly, it was a 5.5% market share. So the base effect for us was higher. Having said that, we believe we could have done better in the market. July has been better for us. In terms of fight from competition, well, that's the reality. We have our own strengths. The private sector has their own strength. I become less worried about what they are doing. I'm more keen on what we can do. We talked about upgrading the throughput. We talked about greater dealer involvement. So that's an area where we are reinforcing ourselves, trying to do more and more of activities so that the customer connect with us -- the customer experience with us goes better.

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When you are handling 25,000 retail outlets, almost 25,000, 24,000 to be precise, it's a long exercise. As I said earlier, we have launched a program on 4,500 of our retail outlets where we are doing many of these experiments, which will result in throughput increase, but more importantly, it does -- it is sharpening the way we are getting into the market. So it's going to be -- market share is never an easy thing to fight for, especially in the market in retail. So it's going to be a flag fest, and we are gearing up for it.

Mayank Maheshwari Sir, just a follow-up on that. I think the industrial side is where I think there is more pain. So is there anything that you're thinking about on that front?

Vikas Kaushal: No, you can go deeper into the numbers. I won't say that there is a market share loss. But remember the fact that we buy a lot of product, there was no business case for me to sell product at lower than RTP, which some of the others have done in the market. They might have surplus product on it

. If we have surplus product, we can also fight that battle and use some of our refining margins to gain the market share.

But in this quarter, if you are a cricket follower, I would say that ball was well left by us because that market was going way outside the off stump in terms of even INR11,000 KL or INR10,000 KL per discount. We took a very conscious call of preserving our bottom line rather than preserving our market share.

Moderator: The next question is from the line of Vikash Jain from CLSA.

Vikash Jain: Specifically, I think you've spent some time on Samriddhi, but there are other 2 projects that you talked about. One was Abhyuday and the other one was -- sorry, I forget the name, which was to increase throughput per retail outlets.

So when you talk about this INR1,000 crores to INR1,500 crore EBITDA gain, is this across these projects all put together? Or these would all be other things which are more longer term and where gains will come in, but over and above that number, but slightly longer time to come in?

Vikas Kaushal: See, the way we look at the number INR1,000 crores to INR1,500 crores, that's the -- Samriddhi is our umbrella initiative. As I said, we have launched it. We are doing it currently internally without external help. But there are a lot of initiatives under it. The way we count that number is this target is it should be locked in, in some form, either it is a one-off gain which gets accrued in the year. You source certain deals better or you do optimization on certain kind of things. So there are one-off things.

But there are the structural things which we are doing, they should be locked in on a run rate basis by end of the year, clearly. That covers a wide range of things. It actually -- Abhyuday is a second. I'll talk on that also so that there is clarity. On this one, there is a wide range of initiatives from operational efficiencies to different kind of -- sourcing different things differently, sourcing efficiencies, if you factor cost kind of thing. There are wider arrays of how we are doing crudes, etcetera. There are logistics savings. So you can see a mix of sourcing, operational and better utilization of cash. Those are the 3 buckets, I would say.

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On Abhyuday, it's actually not a cost takeout or there will be an indirect effect on EBITDA, but Abhyuday was to the question being asked by the gentleman earlier, it is about strengthening our retail and making sure our asset throughput goes up. We have lower throughput than BPCL on an average basis, we want to close that gap and focus on making sure our retail outlets are generating more money. It will have an indirect impact on EBITDA, but we are not counting that because then it becomes too complex accounting. I want to keep that counting very simple. So I hope that clarifies the difference between those 2.

Vikash Jain: Yes. Just one small follow-up and then maybe one clarification because I did not -- firstly, I did not hear the number on inventory loss on marketing. It was INR600 crores, you said, right?

Vikas Kaushal: Yes, INR600 crores, you heard it right.

Vikash Jain: Yes. So just -- and coming back to the Abhyuday part. So does that also mean that we will be far more judicious than where oil marketing companies have traditionally been in terms of opening up of retail outlets since we are far more focused on getting that metric on throughput and asset turns right. Will that mean that we'll be far more judicious in terms of locations and density, etcetera? I am not trying to suggest on what the processes were historically, but is that something which is part of...

Vikas Kaushal: The answer is yes.

Moderator: The next question is from the line of Somaiah V from Avendus Spark.

Somaiah V.: Sir, first question is on the crude sourcing. On a blended basis between Q4 to Q1, would crude sourcing cost would have gone

up? That's the first part. Second, what are the dynamics that changed between Q4 to Q1, which led to a lower Russian crude procurement? And you also mentioned that it was more used on the Eastern part. Is there a price angle, price cost angle or anything? What dynamics changed? And is that kind of reversing now? That's my first question.

Vikas Kaushal: Yes. Did we get the first part of the question, I...

Rajneesh Narang: Yes. See, if you look at the results, that itself is signaling that the crude cost has come down. That is primarily because the crude prices have softened. That is getting reflected by almost a reduction of INR10,000 crores in the cost of goods consumed there.

Somaiah V.: Sorry, just a small clarification that I was referring to the crude discounts that we get on a blended basis between Q4 to Q1. Has that narrowed on a blended basis for our overall portfolio?

Vikas Kaushal: It's very difficult to give an answer to that because every week you go for crude buying, the discounts vary. It's a very dynamic market. It's a demand-supply driven market. So I wouldn't want to generalize on it. I think at a general level, you can take the guidance which Director, Finance gave on the overall crude because otherwise, we'll be giving you a wrong impression. Crude is very -- same crude could be on a discount -- lower discount or a premium this week and on dated Brent and next week, it's in a different position based on who has the cargoes,

On the other part, on your East Coast, first of all see, when we buy the crude and we process it, there are two aspects, we should understand. There is obviously a cost of it, which landed cost, yes, rates are different, etcetera. But that is only one part of it. The bigger part is what do I do with the crude and what do I do with the mixture of the crudes I have? What demand am I meeting? So there is a big science behind -- each crude has its own signature, the assays around it, depending on what products I have, what inventories I have. It's a very complex buying thing. So it's not just crude price and the freight landing at my refinery. That's only onetime the input. There are times when we buy a crude, which is much more expensive than what is landing cheaper because that gives me a product set which I can sell in that month at a much better price and hence, my net realization is better.

So it's a very complex process, I would say. But in generalization, if you ask me to be more specific on why it wasn't used in West Coast, well, when we went to the market, we've got better crudes, which were giving us better realization. A lot of -- if you see what has gone up in our portfolio in that period is actually West African crude.

So we managed to get some good cargoes on West African crude. It comes in distance and time is shorter there and freight is shorter. So -- and then they were matching the products which we wanted to sell. So our portfolio has got a bit more -- the West African crude in our portfolio has increased during this period.

Rajneesh Narang: I'll only just say that the decision to buy crude doesn't depend upon what is the extent of discount being given, but on what -- which crude will make more higher product GPW, we call it, higher gross product worth of -- or what value it will create in our system through our model.

Somaiah V.: Understood, sir. So one clarification on the debt part. What was the working capital release this quarter? And also you did mention Q4 generally is on the higher side. So if you could just help us bridge between Q4 to Q1, what are the moving parts in terms of debt reduction?

Rajneesh Narang: This quarter, the short-term debt is around INR6,547 crores primarily, which is used for the working capital. And in March, it was around INR20,000 crores.

Vikas Kaushal: And the second que

stion was how much is the spike in the year-end so that they can factor in...

Rajneesh Narang: Around INR6,000 crores to INR8,000.

Moderator: The next question is from the line of Saurabh Handa from Citigroup.

Saurabh Handa: So the questions are primarily pertaining to the LPG side. So assuming there is some announcement in the near term on LPG subsidy, is it fair to assume this would pertain to last year's under recoveries?

Vikas Kaushal: I think difficult to comment on it because, as I said, all things are under preview. You've also read what's in the press. I can only comment on it. I won't comment on what's been discussed between us and the government. But we hope there is a more comprehensive solution. So let's see. We're keeping our fingers crossed on it.

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Saurabh Handa: Just on that, I mean, is there any discussion on a better mechanism for you to account for subsidy receivables from the government? Because otherwise, it just significantly understates your income statement if you aren't able to allow -- account for it at least as a receivable, which was the situation prior to this buffer accounting?

Vikas Kaushal: No, I understand that. I don't know whether that's the topmost thing government wants to solve. I will leave it to them to handle it. See, the way I know this causes a concern to all who are tracking it, and it causes -- ideally, I would also like to have a clean, consistent set of reporting quarter-on-quarter without having to explain buffers, etcetera.

But that's also the reality on it. Again, as a management team, we work within the constraints which -- where we operate in, and we try to do our maximum on the operational side. So let's see, hopefully, things will -- let's wait for the decisions, maybe some things will come out, which will help us all understand this thing better.

Saurabh Handa: Okay. And sir, just again, following up on that. So if there is an announcement anytime soon, I mean, you did say that it would bring down your debt. So are you expecting a cash disbursal also to happen soon or that could happen like later in the year with the supplementary?

Vikas Kaushal: I'll wait for the decision is what I would say.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to Mr. Varatharajan Sivasankaran for closing comments.

Varatharajan S.: I also had a couple of questions maybe if I can get that addressed right now. One was on the HMEL details like if you can share? And second issue was like constantly, we keep getting queries on the potential or possible increase in the capex cost in the Rajasthan refinery. While we know you have already spent almost INR60,000 crores and the overall number is INR72,000-odd crores and the escalation should not be -- there's not much scope for escalation. However, we're saying that and you're saying it will be very different. So if you can give some inputs on that.

Vikas Kaushal: Yes. On the Rajasthan refinery, you talked about the previously approved numbers. We are taking the final stock on where the project cost would end. I think by the time on the next analyst call, we'll be able to have a sense on it. Obviously, it's a complex project. There have been time delays, etcetera. All I can say at this point of time on the hard costs, we do not anticipate any major changes from the last estimate.

The delays have obviously impacted working capital, which depending on where we commission, will have some amount of additional working capital burden onto the project -- not sorry, working capital, IDC burden. You guys are smart and you can calculate that. By the time next analyst call comes in, we will be able to give a guidance on what we expect as the broad final cost on the project. I hope that answers -- was there a second part of your question?

Varatharaja

n S.: No, that is perfectly fine. And if you have HMEL numbers, if you can share?

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Rajneesh Narang: HMEL, the GRM was around \$7-plus per barrel. And in terms of EBITDA, it's around INR1,000 crores.

Varatharajan S.: Yes in case you have closing comments, please go ahead, sir.

Vikas Kaushal: Okay. Thank you, Varatharajan, and thank you all for your interest on it. I hope we've been able to answer the questions. As I said in my opening comments, our teams worked hard on delivering a strong performance. Some of you have recognized this. Some of you thought it missed your estimates. Well, I would say, from our management side, it didn't miss our estimates. It did -- we did aspire for more. And hopefully, we will do more, but we were proud of the achievement, what the team has done.

As you can see, we are gearing up to take HPCL to the next orbit in terms of its performance.

Many of you asked some very sharp questions. Some have given suggestions. We'll take note of that. And we would like to keep the dialogue on with all of you. You give us valuable suggestions.

Some of you met us, met me; met Director, Finance; ED, Corporate Finance and others. If others want to meet at times, we are happy to have a dialogue there. And otherwise, we'll meet at the end of the next quarter, hopefully, with some good results behind us and which shows a consistent track record of performance for HPCL.

Thank you all for your interest in the company. Thank you all for supporting us. Thank you all for challenging us, which is very important in our business, and have a good day.

Varatharajan S.: Thank you, sir. It is a pleasure having you. I should thank all the participants as well as the management for taking time out to have this very fruitful discussion. Thank you, everyone, and have a nice day.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q2 FY '26 Earning Conference Call "
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MANAGEMENT : MR. VIKAS KAUSHAL – CHAIRMAN AND MANAGING
DIRECTOR – HINDUSTAN PETROLEUM CORPORATION
LIMITED

MR. RAJNEESH NARANG – DIRECTOR , FINANCE –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. S. BHARATHAN – DIRECTOR , REFINERIES –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. K. VINOD – EXECUTIVE DIRECTOR , CORPORATE
FINANCE – HINDUSTAN PETROLEUM CORPORATION
LIMITED

MODERATOR : MR. VARATHARAJAN S. – ANTIQUE STOCK BROKING
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Petroleum Corporation Limited Q2 FY '26 Earnings Conference Call , hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Varatharajan sir from Antique Stock Broking . Thank you, and over to you, sir.

Varatharajan S .: Thank you, Sampath. A very good morning, everyone. It's my absolute pleasure to welcome all the participants and the top management of HPCL to this results call. We have with us the senior management team of HPCL, represented by Mr. Vikas Kaushal, Chairman and Managing Director; Mr. Rajneesh Narang, Director Finance; Mr. S. Bharathan, Director Refineries; Mr. K. Vinod, Executive Director, Corporate Finance.

Without much ado, I would like to hand over the floor to Mr. Vikas Kaushal for the i nitial remarks. The floor is yours, sir.

Vikas Kaushal: Thank you, Varatharajan. Good morning, everyone. A very warm welcome to the call from -- on behalf of my colleagues. Varatharajan has already introduced all of us on the call. At the outset, I wanted to welcome you all to the Q2 analyst call of INR1 trillion market cap company. On 28th of October, our share touched INR478 briefly, and it crossed -- our market cap crossed INR1 lakh crores, INR1 trillion. And fleet, I think we have broken into the top 10 0 of market cap, which I believe is not the rightful place. It should be much higher. But nevertheless, we'll take it in the stride.

I wanted to begin by thanking you all for your support and passion for HPCL. Since our results broke out 2 days ago, many o f you have written about it. Of course, many of you are invested in HPCL while many others advise investors. There are a lot of positive opinions about the results. We've read through many of those. There are some who have not been impressed, believe me, I've read through those most carefully as these highlights some diverse expectations, which gives us reason or food for thought for what else could be done.

All these are good inputs for the management team, and I'd like to thank everybody who's opined on the result. In context of the call, we will stick to the pattern of what we have been following in the last 2 calls that I've had the privilege of doing with my colleagues. We'll talk the management view on the current performance. And second, what are we d oing to shape the future of the organization.

I'll just cover a few data points because the detailed results have been all given out in the -- all the stock exchanges and everything. Presentations have been given. So I'm sure you've poured

over those. But I'll just give you our views on how we look at it.
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Talking of the current performance, obviously, we gave a very solid performance. Our H1 profit at INR8,201 crores is 731% up from last year. Again, I'm not gloating on just how much percentage is up because we know the first 2 quarters of last year were a very depressed base. But nevertheless, in the first 2 quarters of this year, we have earned more PAT than we earned in whole of last year.

But what I wanted to highlight was something different, it is the consistency of the performance. Those of you who have been tracking the stock for a period of time, would recall that in all of last 4 quarters, HPCL has consistently given quarterly profits above INR3,000 crores. Q3 last year was INR3,023 crores, Q4 was INR3,355 crores, Q1 this year was INR4,300 crores, Q2 was

INR3,820 crores.

On a run rate basis, not on a financial year basis, HPCL delivered a PAT of INR14,579 crores. If you put last 2 quarters of last financial year and this -- first 2 quarters of this, which is INR1,215 crores per month, and you can do INR40 crores per day kind of numbers or whatever the math points out.

During this period, EBITDA of HPCL was INR28,606 crores. And I've not done the exact cash generation, but I estimate that the business spun out cash of around INR20,000 crores. Again, I don't track all the stocks as closely as many of you do, but I can't think of too many businesses in India who are generating that kind of a cash in a 12-month period.

In one of the earlier analyst calls, maybe 12 or 15 months ago, I wasn't part of HPCL at that time, Director of Finance had laid out a pathway for INR40,000 crores EBITDA. We are on track of that. The 12 months running is INR28,602 crores. And as you'll see later on, there are positives, which we anticipate in the coming quarters, which will take it up higher. This is not the endpoint. We will aspire to take it to 50% and even beyond that.

Just to remind that HPCL has consistently given high returns to the shareholders. Now I know each shareholder has their own different expectation. But I just looked at the last 10 years' data, which has again been posted on the stock exchange disclosure as is. We gave a 19% annualized return over a 10-year period to our shareholders. September 30, 2015 to September '25 there. And if you look at the stock surge in 20 -- in the last -- in October, this 19% might be touching 20% itself.

The market cap during that period increased from INR26,230 crores to INR94,263 crores on September 30, 2025, which obviously has gone beyond INR1 lakh crores right now. And again, I think HPCL is one of the few companies who have consistently over a period of time, rewarded the shareholders whether it is in form of a 13% annualized increase in market cap and the dividends, which it continuously pays.

Our strong performance in the year is backed by lot of good physical performance. Our quarter 2 GRM was \$8.8 per barrel even if I knock off inventory losses, which many analysts are very curious about, it was \$8 per barrel was what refineries generated. The refinery throughput has also increased. If I just look at the throughput in quarter 1 of last year, it was 5.76 MMT. In

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quarter 2 of this year, it is 6.57 MMT. Same 3 digits except probably going in a different order. It's a 14% increase in refinery throughput in the last 5 quarters.

The distillate yield, which is often a mark for profitability of refineries, we were able to increase the distillate yield from 72.7% in quarter 1, '25 to 77.7% in quarter 2 '26. And with completion of some of our upcoming projects, we expect it to take it further. We've also consistently grown the market side, 3.5% increase in market -- or total sales in H1 of this year as compared to H1 of last year.

With these strong results, we've worked to reduce our debt. As on March 31, '25, we had INR63,323 crores of debt at a debt-to-equity ratio of 1.38%. On September 30, '25, this -- the total debt has reduced to INR55,808 crores with a debt equity of 1.07%.

As we have been talking in the earlier analyst call, debt reduction has been a focus for the management team, and we wanted to deleverage the company and get it into lower debt equity levels. At the first analyst call or the analysts call in May at the end of annual results, we had given a guidance of 1.1 for FY '26 end. We are confident that we are going to achieve this. And in fact, as a managing team, we are revising our target to a sub-1 now in terms of debt-to-equity ratio by end of this year.

As many of you would have known, probably everybody knows by now, the LPG under recovery for the previous period

has been announced. HPCL is going to get INR7,920 crores over the next 12 months period. It is INR660 crores every month starting from November, which would mean INR3,300 crores of additional PAT -- sorry, additional numbers for us in FY 2026.

Some of it, as you can imagine, would go towards reducing the debt further. We, as a management team, are very confident of the trajectory. And this is reflected in the decision of the Board of Directors to announce 50% interim dividend for our shareholders.

With a quick overview on the financial, and we can -- I'm sure you have questions, we can take them later. Let me come to the status on the projects, which I'm sure you want to hear from the management team. Since we last spoke, we have completed a couple of significant projects. Our underground LPG storage cavern, which is a fantastic engineering marvel is complete now. The gas has been charged and it is backed into full operations. About 3 or 4 weeks ago, we completed a much delayed project on Sangrur -Bhatinda pipeline. And the pipeline is fully laid. It is charged up and products moving through that.

But coming to the big ones, Vizag, I'm very excited to announce that yesterday, we completed the pre-commissioning test of the refinery. And now we are starting -- from today, we are starting the -- what we call a start-up activities there. This is typically a 3-, 4-week cycle. My teams promised me a commissioning date -- or a feed-in date as we call it, of 24th November, but I'll give them a few days here and there because these are complex hydrocarbon projects.

But in a nutshell, RUF is expected to go onstream in the next 3 or 4 weeks. It will take a few weeks to stabilize. But as we had announced in the previous call, we would get full returns or

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will get a full quarter of RUF performance. We would anticipate the GRMs to ramp up as we get used to the new complex project, which is there. Barmer has also progressed well.

When we declared the result on 29th, we have taken our Board of Directors to Barmer, and we met there. The overall refinery is 89% -- overall project is 89% complete. Refinery is greater than 95% complete. We had given a guidance of Crude-In this year. We are holding on to that guidance. And in the next couple of months, we will do the Crude-In. I'll again caution it could shift by a few weeks here and there because each testing throws up a surprise.

While talking of the projects, let me also very quickly address the issue, which might be on many of your minds, the one which we declared to the stock markets earlier on Monday. As we had in spirit of complete transparency, proactively declared it with stock markets. We did face an issue of chlorine contamination on one cargo, which came into our refinery. Somehow it invaded into our asset and caused a bit of damage. A part of the refinery, not whole, part of the refinery was shut down. And part had -- the remaining part had to be run for lower throughput.

Again, those of us who are engineers can think the -- can understand this is a highly corrosive material we treated with. The good news is we are almost through with that, except for just dealing with some of the contaminated products. As of last night, the unit, which was down is fully back, and now we are ramping up to full capacity. I'm sure you are curious to know about the impact of it. Well, we are working out the full impact.

But whatever we know as of now, I can kind of share it with you. And later on, the good news is it's not as bad as we had anticipated when we gave out the stock market guidance. We were able to contain it much better with a lot of proactive efforts by our team. And we have impact on 3 or 4 buckets. First, we have a bad product, essentially naphtha, about 100 TMT. We had no option, but to export it at a discount, and that knocked us about back

by INR150-odd crores.

There are some postponement of revenues because one of the final finishing units was down. So we had to hold back intermediates, but that is only postponed or the revenue is going to come later in the next month. We have some crude, which is left over. We are trying to do the disposal on it.

As and when it gets done, maybe it will have some more impact, but we don't anticipate it to be massive. The last impact is when the unit was out and extra movements we have to do, we think we'll be able to contain it within about INR150 crores or thereabouts.

So overall, because of a lot of proactiveness by our team, we were able to get it in a much more controllable zone. The unit is back up and we took this opportunity to advance one of our shutdowns and do some of those activities. Overall, it's manageable. And as you have seen, our savings, which are coming from our cost program, this will be very well contained within it and -- so as a management team, we are comfortable at being able to mitigate the financial impact of it. So that was on the current performance. I'll quickly talk about shaping the future.

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As you know, from the last call that we have been focused on 4 key planks and I will stick to those 4 planks. Under these 4 planks, there are 14 initiatives, which we are doing across the organization. But in the interest of time, I'll just call out the planks, and then highlight a few of them. First is operational efficiencies; second is future growth strategies; third, working on our enablers; and fourth, communicating our performance and our message to the external stake holders.

A few key highlights. I will not go into every individual area, but a few key highlights. On the operational efficiency, we had announced 2 major programs, Samriddhi, which was a cost takeout program. We had given a guidance of INR1,000 crores target as a cost takeout. At the H1 level, the accruals are INR823 crores, which translates roughly about \$0.5 per barrel. In one of our discussions with an analyst team, they asked us this question on what's recurring and what's onetime of it? Well, 35% of this is recurring and 50%, which is INR301 crores and INR522 crores is onetime savings, which we have been able to do.

We are very confident we will exceed the initial target of INR1,000 crores, and my Head of Corporate Finance, K. Vinod, who heads this program has promised me that he's going to try for INR1,500 crores though we are not giving that as a guidance. But we are also going to do Samriddhi 2.0 from April 1 because we believe there's more efficiencies we can target.

At the right time, we'll come back with the guidance on what's the next level we are looking at. I think this is -- this has gone across our organization quite well. And those of you who are very deep into the numbers will look that our opex is lower. Part of that opex is lower because direct savings that Samriddhi program has achieved and part of it is lower because everybody knows the cost is being washed there. So there is a prudence in spending.

Second program we had talked about was increasing efficiency of our retail network. As we have told, it's been launched now at 4,700 outlets. It's given mixed results. We had hoped for more, but it's been a good learning process. Just in terms of quantification, we have about 3 to 4 kl per month as a throughput increase from these outlets, whereas the industry averages have been flat or minus.

So these outlets have performed better than that, but they are lower than target, which we have -- and we had hoped for. Nevertheless, the teams are working on it, and we have also launched an initiative working within external agency, one of the top management consultants to work on future retail -- future-ready retail organization.

The third thing I wanted to talk about was on di

gital. While HPCL has done a lot of steps, in the last 5, 6 years on digital. We are now starting a program with -- we have started a program with, again, a reputed international consultant to prepare the next wave of digital road map how do we capture some of the latest developments on digital into our day-to-day working.

I will very briefly talk on some of the future initiatives we are doing. We are doing significant effort on nonfuel retail. We are trying to expand some of the activities and in a way, leverage or make use of our retail footprint much better. On petchem, we are in an advanced stage of Hindustan Petroleum Corporation Limited

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readiness for our launch, which is anticipated in middle of next year when Barmer petchem stream goes on stream online.

And a lot of R&D effort is going into creating niche grades. We've also worked on expanding our gas portfolios. We have announced 2 gas deals already. And in between, we have worked on picking up spot or term cargoes, doing some selling of gas short term and medium term and working towards increasing utilization of Chhara.

There are many other initiatives which are getting us ready for the future. I will not take a lot more time because I want to leave the time open for questions and dialogue. I'll summarize, HPCL is on a great and solid trajectory.

As I just said earlier, generated INR28,000 crores of EBITDA in the last 4 quarters on a running basis and plus INR20,000 crores plus of cash, give or take. That's an approximate number, but roughly INR20,000 crores of cash. We have a very energized team, which is excited about creating greater glory for HPCL and greater value for its shareholders.

Once again, I'd like to thank you all for your interest in HPCL. Thank you for joining the call, and the management team here with me is happy to take each and every question you might have. Thank you. Varatharajan, back to you.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Our first question comes from the line of Probal Sen from ICICI Securities.

Probal Sen: If I may take a moment to say this was an extremely useful and focused briefing that was given at the start of the call, covers a lot of the areas that we anyways tend to focus on. So thank you for that.

Having said that, just a couple of follow-up questions, specifically on the petrochemical part of the Rajasthan refinery. I think in the initial plans, it was shared that about 27% or 28% of the product yield would be essentially petrochemical projects.

So till that time actually the petchem throughput comes out, in the first half, let's say, after the commissioning of the refinery part, what sort of throughput can we actually expect from Rajasthan Refinery? Is there any sort of guidance that can be shared?

Vikas Kaushal: So I think it will -- Probal, thank you both for your comments and you always win the early bird prize on the call. So we will send you nice gift hamper for that. But jokes apart, we -- there will be a ramp-up of the crude as we assemble all the units in the refinery -- ramp-up of the refinery utilization after the crude in.

Within a 3-month period, we expect the refinery section of that to be able to be fully geared up for 100% run. Without the petchem being in place, we should be able to run it at around 8 MMTPA or thereabouts. Now this is just, I would say, our broad plan as of now.

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See, these are assets which are highly complicated and they have a life of their own. So that's our expectation that till the time petchem comes on stream, once all the units are up and kicking, which will be roughly a 3-month ramp-up, we would be able to get from a 60% -- 50%, 60% utilization to 85%, 90% utilization on the CDU.

Probal Sen: Got it, sir. And the second question with

respect to the Visakh residual functions and the commissioning feed will happen at November end. And I think you did mention about the full quarter of performance coming through. So is it safe to assume that even building in a couple of months, FY '27 Q1, we should have mostly the full commissioning in Visakh along with secondary processing running at full tilt starting of FY '27?

Vikas Kaushal: Yes, I think it would be sooner than that Probal, because we have taken a lot of time to ramp up the unit and do all the checks and all those things are required. When I said that it will take some time to stabilize is when we synchronize all our crude purchases and we synchronize all our downstream activities to it.

But we would anticipate, given the effort which has already gone in that the fourth quarter of this year, we should be able to run close to where we would want to look at it. And as goes with any such asset, further optimization keeps on happening. But your presumption that full benefit for next full year should come is a very safe one, albeit a bit conservative.

Probal Sen: Understood. And one last question, if I may, a housekeeping one. If I can get the capex guidance broken up into segments for FY '27 and '28, if it is available?

Vikas Kaushal: For the future capex?

Probal Sen: Yes, FY '27 and '28.

Vikas Kaushal: Have you done that, Vinod? Do you want to?

Rajneesh Narang: See, on an average, we'll be doing around 30% on the refinery front. And around 60% would be on the marketing and the rest odd would be the new business lines, which we will be focusing on.

Probal Sen: Sir, any amount you can share in terms of range of the number?

Vikas Kaushal: See, we haven't done our capex spending this year. As we had said in our earlier analyst calls, we had gone conservative on capex because we wanted to get the debt equity under control.

Looking at our debt equity right now, we will come up with this thing. But on an average, we have been spending INR12,000 crores to INR14,000 crores. We expect to spend in that range.

If it is more than that, then we will come back in the subsequent analyst calls.

Moderator: Our next question comes from the line of Vivekanand from Ambit Capital.

Vivekanand: Extending the question on debt, would you also have any color at this stage on the debt level of HREL and HRR. And a related point on that front is you had outlined value unlocking as a

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agenda and announced that the Lubes business will be demerged and you would seek the best value for that.

So just wanted to understand when -- or also pass on this feedback that when investors look at HPCL typically, we look at standalone debt, but we also understand that there is a large amount of debt at HREL and now HRR. And now because those 2 refineries are going through their

own issues, for example, HMEL through a major cyclical downturn in petrochemical and deleveraging being hard there.

And HRRL, of course, is a new refinery. So there will be accumulated losses that you'll have to absorb. So Vikas, I want your thoughts on at an overall portfolio level, how should one think about HPCL from a deleveraging/value unlocking perspective or capital recycling perspective? However, you may have thought about it.

Vikas Kaushal: I'll request Director of Finance to just first share the numbers and then I'll opine on it.

Rajneesh Narang: Yes. Coming to the debt of the group companies and primarily HRRL and HMEL, as on date in HRRL, that is the Barmer refinery, the debt level is around INR40,000 crores. And as regard to debt in HMEL is concerned, it is around INR35,000 crores, INR36,000 crores. And looking at the group level for the entire HPCL and the group of companies and the proportionate share in the individual companies, the debt equity would be around 1.8. So this is when the HRRL is not p

performing, there is no EBITDA contribution from them yet.

So as and when these companies start operating, even the others where, like in case of HP LNG and all, where we are gradually ramping up the facilities. The EBITDA will also improve. So that would also enable us to contain the debt equity levels and in the near future, you will see that progress and change in that direction.

Vikas Kaushal: Thank you. I think Director of Finance has already covered the overall debt equity. We are looking at that, and that also should come under -- come down in terms of deleveraging on the aggregate front. HRRL will give a boost. And again, there is enough public announcements right now on Andhra Pradesh refinery, which BPCL is doing. Some you can benchmark the numbers and then see if that refinery is viable. HRRL is also going to be generating a lot of good revenues there.

On your other questions on unlocking, I think my stand on that is very consistent with what I've taken in the last 2 analyst call. Yes, the HPCL Board had taken a decision at one point of time to unlock the Lubes business. We had moved an approval note to the government because we need to have a DIPAM approval on that.

Having said that, in the last 6 months, especially when I came in, we had discussed there. We figured out that the better value for HPCL and its stakeholder is not to immediately deleverage -- not to immediately unlock that business, but build the consumer-facing part of that business bigger and stronger, so that it gets the right return around it. See, for any management team Hindustan Petroleum Corporation Limited

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doing an unlocking by a financial restructuring is a lucrative option, which is available at any point of time.

But I personally believe that, that alone does not give long-term value creation for the shareholders. The long-term value gets created when you fundamentally build the businesses. So on the Lubes business, our focus is very clearly building our consumer side of the business much more rapidly. So there are 2 sides of the business. There is a consumer and there is a bulk supply side.

We are very focused on building the consumer side. There are a lot of moves and tactical things, which need to be done there. And I'm very happy to share that, that business is growing very high teens for us in terms of growth things. So in some ways, we are postponing any potential decision of unlocking Lubes at this point of time for the quest of creating a higher shareholder value there.

The unlocking can happen at any time. But for the moment, we want to build that business further. That's a consistent stand we have had the last 3 calls that I have done, and it is our stand as a management team. So hope we are very transparent on it.

Vivekanand: Vikas, this is very helpful and thanks for sharing that. Just one follow-up. Now I understand Lubes has a very big consumer side to it, but the utility assets that you may have, is there scope for you to perhaps unlock value through alternative structures like InvITs or perhaps get in focused investors who are looking for fixed returns on those assets?

I'm just asking in the context that HMEL itself, the debt level in the last 2 years has broadly remained the same or marginally gone up. So the context is more broader in terms of at an overall portfolio level rather than just looking at Lubes in specific?

Vikas Kaushal: I think that's a very fair push on that. See, HMEL, I won't -- want to opine alone on this because we are an equal partner to an international group, and it's a joint decision which people have to take on that. So -- and that runs at an arm's length relationship, given the nature of the relationship. And we have a very strong relationship with a joint venture partner, but both of us are very respectful that there is a management team which runs it, and we provide arm's length

guidance on it. So without discussing with the partners, I'll not comment on HMEL option on it. On HPCL side, I think that's a fair thing. To be very honest and transparent, in the last 7 months that I've been here, our focus has been on a lot of here and now issues. We had a lot of capex, which was delayed. A lot of you were asking us tough questions on the capex, etcetera. Now at least I can see you're asking us future kind of question, which is, I think, a good sign that you are satisfied that at least we are getting the capex right. All these, I would say, would be topics as a management team, we would be taking on board maybe in the first quarter of next year. It's taken us a lot of time to get these assets really at a stage where we can start returning on the capital, which has been deployed.

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And believe me, running any hydrocarbon asset is not an easy thing there. So very valid suggestions. We will make a note of it. And in some of the future calls, we'll discuss our viewpoints on it.

As of now, there are no immediate options on, say, we are going to do an InvIT here or not. Possibly, we could do it in the future. Yes, we could explore that possibilities in the future. There are a lot of other things we could do in terms of increasing value. But the fundamental principle I get driven by is making sure that the intrinsic value of the asset is not lost.

So we have an LNG terminal, we could monetize it. But we are also clear that there is a potential to create one of the best LNG assets there. So our focus on that right now is to make sure we are getting it in to a cash breakeven immediately. After that, it gets me a flexibility of creating a bigger asset there. If it's 5 MTPA, we could easily scale it up to 10. It has potential to even a much, much bigger terminal as LNG goes.

So we are keeping our options very, very open at this point of time without going down on to one specific path because we believe the basic infrastructure, the basic asset base HPCL has is already generating good cash out. We will be able to deleverage it. We'll be able to absorb the consolidated, you said accumulated losses of HRRL.

Yes, every hydrocarbon asset Greenfield has accumulated losses in the first few quarters, etcetera. We are very confident we'll be able to absorb it. That's why I started off by giving you the cash the system is generating right now.

Moderator: Our next question comes from the line of Sumeet Rohra from Smartsun Capital.

Sumeet Rohra: Firstly, congratulations to the management team and Chairman, sir, for a fantastic performance of INR8,200 crores, in the first half. Sir, just I will take just a few minutes because you guys have -- the entire management team has done such a wonderful role because I remember, I've been with this company now over the last decade.

And there were years when our company would make about INR1,200 crores in a year. And today, you all are working so well that we are making INR1,200 crores a month. So I have to say that this management team is one of the best management teams I've ever seen. You guys are doing a fantastic job. So sir, a great show, good luck. God bless you all.

Sir, now coming to the fact that you guys are generating INR20,000 crores of cash, I mean, that is a huge number, right? And the matter of fact is that 2 crore Indians use fuel pumps on a daily basis. I, in fact, said this on your peer call as well. I mean if this is not a consumer stock, then what is? But we still get valued at 0.2x, 0.3x sales.

So sir, definitely, the markets are not rating us in terms of the actual performance of what we deserve because I clearly appreciate the fact that we are a INR1 lakh crore market cap today, so many congratulations on that. But our journey is long, right? Because today, BPCL is talking about \$11 billion refinery for 9

million tonne, but your entire 45 million tonne plus retail outlet

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plus, plus, plus is available at INR1 lakh crore. So there's something which the market really needs to get more confidence on earnings.

So sir, I would request if you can just spend a little bit time of talking about our \$5 billion EBITDA because of the fact that today, we are nearly INR28,000 crores, INR30,000 crores and now with the Vizag residue upgradation project, which you've highlighted in detail, plus the Barmer starting to kick in, in the next few quarters, if you can just throw a bit of light on the \$5 billion EBITDA. It will kind of reassure the investor psychology that where this company is headed over the next couple of years. Wish you all the best to you and the management team.

Vikas Kaushal: Thank you, Sumeet. I think I appreciate your questions. You are the one who has been pushing things hard on all those calls. I would answer this in 2 parts, and I'll request my colleagues also to chime in on this. First, I think as much as our frustration on the valuations, we also get

sometimes frustrated on that entire thing.

I said in the opening remarks that each one of us can think how many businesses in India generate INR20,000 crores of cash in a year. I can't think of too many. But anyway, we leave that valuation part in the safe hands of the analysts to each to their own ways of looking at things. The way we look at the business is 2, 3 aspects. One, we have a very solid business, has great predictability of consistent performance in some ways.

And we shouldn't forget that we are a diversified company. We are strong on refining and with upcoming Barmer, RUF, other projects, which at the right -- in the future, we'll announce some debottlenecking, etcetera, in the next couple of quarters, we'll announce some of those.

We are increasing our refining capacity and coming closer to matching refining versus selling.

That gives us a great comfort and I know many analysts focus on GRM. I personally do not worry too much about GRM because for me, the GRM is [inaudible 0:37:14] in my refinery divisions one-upmanship on the same internally. For me, what really matters is the crude price and what I'm selling the product at.

Crude, as we all know, has been reasonably range bound. And from a year ago, it has -- 6 months ago, it has come down. Each one of us can have our own views on crude, but we think it will be range bound in mid -60s around that time. There will be spikes. But by and large, even a few weeks ago, it went to \$70 and then very quickly corrected, then it down to \$64. It's today \$64. That's a benign kind of a movement. It is not the 100 kind of a movement. That's point number one.

The second point is our selling price has been by and large steady. I know many analysts have this. So this election, the price will go down, that election price will go down, etcetera. I think for those of you who were present at the analyst meet or the discussion with analysts with the Honorable Minister and Secretary had done, they gave the government's view on that entire thing that they expect the companies to be earning reasonable profits because they have been bellwether of capital investment and creating a lot of value.

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So we forecast reasonably steady fuel prices. And I would say even if there is a minor INR1 or 2 here and there, we are strong enough to absorb those things. We gave transparently the loss we would have in the recent MR incident because as a management team, we are confident that we can take it in our stride and move forward. Those things keep happening in the business. So we have a steady business on the fuel, the whole refining and fuel side. The second part is we also have a very solid LPG business, which is

erectingly, now we have 9.7 consumers -- 9.7

crore s consumers almost touching 10 crores now where we get into the homes every year -- every month or 2 months, we send the delivery boy to their homes. That business also has improved a lot. And if you look at the prices, the under recoveries on that, that have and has narrowed very, very significantly with the lowering of Saudi price CP prices.

And if you have been very closely following, some of it has come in press, HPCL and I would say some of the peer companies have either individually or collectively done initiatives to even get that business under control. Besides that, we have other businesses which on their own are reasonably big businesses. I talked about the Lubes in a different context that itself is a few thousand crores of business for us. I would say, partially consumer -facing because there's a bulk business in that, but increasingly growing on the consumer -facing side.

So we see the business as a very solid one. The supply chain moats we have, the assets we have are definitely there, good. What gives me even more confidence in giving out the projection, which I've been giving out is the fact that we also believe there is a tremendous improvement potential we have in the business. We gave a guidance of INR1,000 crores as a cost to take out at the beginning of the year. We are tracking to that guidance.

Today, we announced that we are going to do another wave of cost reduction next year. While we have not given a number, but we think there is an efficiency which is visible there. The third instance I would want to say, our assets is still we are improving the way we are running. We gave the numbers on distillate yield improvement.

There are more such efforts, which are going to come in the times to come. That will increase our margins there. Last but not the least, I think your -- Sumeet, your pain on us not being viewed as consumer companies is, in some ways, valid. I hope more people view us that way.

But one of the things we are also going to do is make sure that we are making or doing steps more as a consumer company. I talked about reimagining our retail of the future, how are we going to serve the retail customers? How are we going to own the customer? So there are initiatives which is there. Think of the unlocked potential there. I thought about 9.7 crores customers where we get into the home every few weeks.

I don't remember off hand, but my colleague says, how many petrol pump, guys, we have 2

crores a day or some huge number, which you have to count a number of zeros, 1.75 crores retail customers is there. As of now, we have not yet worked out the cross synergies, cross leverages, etcetera. But those are aspects in our future plans, we would work on those, and that will make us even more stronger as consumer organization.

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So I'm quite hopeful I look at it optimistically while the rating or the valuations is an individual choice. People can decide. As a management team, we can only focus on the results we can give. We are very, very focused and very confident of the consistency of our results. And even if there are shocks in terms of prices going up and down at times, we are strong enough to absorb those. That's all I can say on this, Sumeet. And again, each one of us would have our own judgment on this. Just one thing, Sumeet, we can give you also the breakup on that you had asked of \$5 billion EBITDA, we can give you a break up of that.

Rajneesh Narang: Our Chairman had already during his speech said that in the past 4 quarters, we have already touched INR28,000 crores as regard to EBITDA is concerned. Now what it is going to increase further now? The moment, our VRMP -- the RUF unit is going to come, going to add around INR2,500 crores to INR3,000 crores at EBITDA level.

Then if you come to HRRL, at the

EBITDA level considering our share of 74% around 5,000 to 5,500 at the EBITDA level. Then we have our new units at HPRGE and the HPLNG and all where we are taking baby steps and in a year or so, maybe another 2 to 3 years, we will be getting around INR1,000 crores of EBITDA contribution from them.

And plus, there are so many other various new efficiency and profitability improvement initiatives and all which are being taken up. So this number of INR40,000 crores is a number, which we would definitely be achieving it. And our target is to go beyond it, but this is -- INR40,000 crores seems to be a number where we feel we are fairly confident of achieving it.

Moderator: A question comes from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: Congratulations for the good set of numbers. First question related to any inventory gains during the quarter. And if you could share core GRM during the quarter? Sir, my second question is related to the Project Samriddhi. In the first half, we have saved approximately INR823 crores and \$0.52 per barrel kind of a saving at EBITDA level.

How you have arrived at this number of \$0.5 per barrel because we are trying to back calculate it on the refining volume, the number is a little bit coming slightly higher. If we add the marketing into the refining volume, then it is indicating a little bit lower compared to the \$0.5 per barrel.

Rajneesh Narang: It is total considering the sales volume level.

K. Vinod: We have said that last call that it will be -- this is the represented basis the total sales of the corporation.

Yogesh Patil: Any inventory...

K. Vinod: Inventory, we had 8.8 was the reported margin, of which INR338 crores amounting to about \$0.80 a barrel was the impact on account of inventory.

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Yogesh Patil: This is the crude inventory? Any product inventory?

K. Vinod: This is a crude inventory. Marketing is INR569 crores.

Yogesh Patil: Sorry, sir, go ahead, please.

K. Vinod: Go ahead, go ahead. We are done.

Yogesh Patil: So last question related to the product slate. How much is the diesel, petrol and the naphtha product slate at HPCL refinery level, excluding the Bathinda right now, if you could share?

Vikas Kaushal: We should have that number there, but maybe I don't know you have the...

S. Bharathan: Typically, we do diesel is about 50%, MS will be about 20%, 25%, balance all other bottoms, LPG and specialties will be balanced.

Yogesh Patil: Lastly, touching to the operating expenses per unit at a refining segment and if you could also share on the marketing segment, can you give us any broader numbers? What are the operating expenses per unit on the refining side and the marketing side, if possible?

Rajneesh Narang: Refining is around \$2.5 per barrel.

Moderator: Our next question comes from the line of Somaiah V. from Avendus Spark.

Somaiah V.: Sir, my first question is on the Russian crude sourcing. So if you could just help us with the last quarter, what is the mix of Russian crude sourcing? And in a situation where in case we need to kind of transition away, if you could just help us both qualitatively and, if possible,

quantitatively, what would be the impact on crude sourcing costs?

Vikas Kaushal: I'll be very honest, Russian crude does not keep me awake. I'll give you data, then you can understand why. See, we have been consistently saying crude buying is a very economic decision based on prices and the quality of the crude and which refineries can take what crudes. In the second quarter, if I look at the total crude we bought, it was 6 million tonnes or thereabouts of total crude we had, of which 1.1 million -- 6.1 million tonnes was the total, 1.1 million tonnes was indigenous crude, 5 million tonnes was imported.

Russian crude in my overall basket was only 5% in the last quarter. For a very

simple reason,

what's our parcels, we could look at it. They were not economical to run on our refinery. We would look at it. So we run a lot more on Middle East crude and increasingly on West African crude. And frankly, for 5% crude on a run rate basis, which are running on my refineries, I'm not losing my sleep. I can easily get them from other sources.

So I don't worry about it as much as the press worries about it and everybody else because we are very well structured there on our assets on other crudes. And even when RUF comes in, the crude mix we have to look at it, we know which crudes we need to get the 2, 3 margins and they

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are not the Russian crudes. We could run Russian crudes there also, but we have alternatives with us. So I'm not worried about it at all.

Somaiah V.: Got it, sir. Sir, second question is on the capex. So now that Barmer is coming to more like on the completion phase, how should we think about it generally? We will get into an investment mode once existing project gets completed. But here, we also have a deleveraging plan. So is it okay to think that maybe in the next 12 months or 18 months until the balance sheet gets a bit more leaner, we will not take up major capex programs?

Vikas Kaushal: Yes. I think that's a fair thing to look at it. Having said that, you can understand in an asset as large as ours getting to INR5,000 crores, INR10,000 crores network expansion, replacements, all those things, our routine capex would be in that region. But as of now, there is no major big \$5 billion, \$10 billion capex program on horizon for us. There are projects. There are also debottlenecking projects, which we are going to take up in the next couple of quarters, but they are in the smaller ranges, which we are looking at.

Somaiah V.: Sure, sir. One bookkeeping question. HMEL, if you could give us the EBITDA number and PAT number for the quarter and also petchem contribution, that would be helpful? And I think earlier participant also was asking any inventory impact on the marketing side if the data is available, if you could share that please?

Vikas Kaushal: I think marketing data was shared earlier. Vinod, you can repeat that, maybe for him.

K. Vinod: The marketing inventory was INR569 crores. We're talking for HPCL, aren't we?

Somaiah V.: Yes, HPCL. And the other question was on the HMEL EBITDA and PAT?

K. Vinod: HMEL EBITDA for Q2 was INR1,400-odd crores.

Somaiah V.: PAT and petchem contribution within this if possible and the PAT number?

K. Vinod: The PAT would be about INR170-odd crores.

Rajneesh Narang: Petchem contribution was around 35%, 40% of this.

Somaiah V.: 35%, 40% of the EBITDA? Is that the right understanding?

Vikas Kaushal: Yes. And quarter 2 actually has been better for them than quarter 1 because refinery cracks, as you all know, have been historical highs right now or very good numbers on the refinery cracks.

So they've done well on quarter 2 -- they have improved on quarter 2 a lot.

Moderator: Our next question comes from the line of Akash Mehta from Canara HSBC Life.

Akash Mehta: So just one question. So in terms of the crude impact because of -- I mean, the refined product impact because of high salt and chloride content in the oil that you have processed, you have mentioned the impact in terms of the naphtha output and you all will still be selling oil, which is already there. But in terms of resumption in terms of normalized throughput by when can we

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expect the -- all the units running back on a normalized level? If you could just highlight that and also progress on that?

Vikas Kaushal: So as I said earlier in the call, as of yesterday evening, we started the last unit back after taking the shutdown. Each of these units have -- if

you look at them for 24, 48 hours, so that they are

stable. So for all practical offices, they are back on stream fully, give or take a few hours in terms

of -- we rest arted it last night.

Moderator: Our next question comes from the line of Vikas Jain from CLSA.

Vikas Jain: I have a couple of them. Firstly, on the inventory numbers, the numbers that you mentioned were both gains and this is for this quarter. Can you just remind us again on the 1Q numbers because what I have is a rounded number, so INR569 crores is the gain fo r 2Q in marketing? What is the loss number for 1Q?

Rajneesh Narang : INR650 crores.

Vikas Jain: Okay. And similarly for refining, INR338 crore s is the gain for 2Q, right? And loss for 1Q would be how much?

Rajneesh Narang : Around INR1,500 crores.

Vikas Jain : Okay. Just one other thing, while I mean the EBITDA growth potential that you highlighted by project was clearly very useful, could you also give a sense of how capitalization picks up for each one of them? Like, for example, you said that the Barmer pro ject, for your 74% share, you see the EBITDA, I think, about INR5,000 crores incremental coming in a couple of years of stabilization. So as compared to that, say, for example, depreciation and interest, how would those numbers look like when it is fully c apitalized?

Rajneesh Narang: See, the depreciation normally nowadays, this refinery is being depreciated over a period of 40 years. So if you take the 40 years and then you depreciate, it could be around INR2,000 crores, INR2,500 crores of...

Vikas Kaushal : Actually INR2,000 crores.

Rajneesh Narang: Yes, INR2,000 crore s of depreciation. And in terms of the interest cost, it depends upon the cost -- the rate of interest, but even if I take the current ruling rate, definitely, the moment this project is compl eted, the COD is achieved, there will be ample scope for us to do the refinancing also and bring down the cost. But even if at the current level, if I take, it could be around INR4,000 crores of interest cost.

Vikas Jain: Interest, sure. And so in about sa ying by FY '27 -- your capitalized interest for last year stand - alone level was about INR1,000 crores. How do you see that coming down by '27? I think there will be very limited capitalization, right?

Rajneesh Narang: By '27, everything will get capitalized. After that, everything will go in P&L.

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Vikas Jain: So basically, everything will be expressed by FY '27 onwards, right?

Vikas Kaushal: In fact, on HPCL books, the bulk of capitalization will happen this year with RUF, because remaining is on H RRL books on the consol, it will be done. But after Vizag, which we expect to capitalize this year, nothing major is left. Of course, we have routine expenditures, but those are up for the course.

Rajneesh Narang: But that will bring in additional EBITDA.

Vikas Kaushal: Yes, EBITDA also, yes.

Moderator: Our next question comes from the line of Amit Murarka from Axis Capital.

Amit Murarka: Okay. On the SME -- on the Rajasthan refinery, it was mentioned that INR55,000 -odd crores will be your share of EBITDA, which you're projecting into the INR40,000 crore s expectation. Just wanted to clarify, this would be an associate accounting, right, so that EBITDA would not be consolidated. Is that correct? Or are you planning to consolidate the refinery in your financia ls?

Rajneesh Narang: No, it will not be consolidated. Only the profit portion would be added.

Amit Murarka: So essentially, the EBITDA then did not show up in your EBITDA, right?

Rajneesh Narang: It would not. But typically, any investors and even the bank ers would like to have a full view of the same. So that is why for good governance as well as better transparency, we are sharing those.

Vikas Kaushal: So like you guys are consolidating debt, which was done earli

er in this, you should consolidate

EBITDA a lso for your numbers because you gave us...

Amit Murarka: No, no, we have not consolidated that. I don't think anyone is consolidated that, sir. No, no, that's should be like -to-like, that's all.

Vikas Kaushal: I mean the number was INR5,500 crores, not INR55,000 crores, I'd love it to be INR55,000 crores, but these assets don't generate that much.

Amit Murarka: My bad, I meant INR5,500 crores. Also just lastly, like, is there also a review of ROE/ROCE framework when you take up new projects? Or like how do you really go about evaluating projects?

Vikas Kaushal: We keep on doing that consistently at all points of time. There are obviously thresholds we use, and then there are also strategic calls where you go below the threshold. But I think that's a routi ne management activity, and we keep on working on it at all points of time.

Rajneesh Narang: We have a Board -approved investment philosophy, structured policy of the same. But yes,

depending upon the individual project as well as the size of the project in individual calls --
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project-specific calls, considering the project risk, project opportunities, strategic call and all, all those are factored and accordingly exercised.

Vikas Kaushal: But if it gives you comfort, I can tell you the current management team is not dollar happy in that fashion. We are frugal or we are -- we demand a fair amount of returns, and we stress test those returns a quite a few times in taking those -- any investment decision big or small.

Amit Murarka: Sure. No, why I was asking was like I'm sure you're aware about it, like the current petchem spread is just so bad that I mean, unlikely there will be significant ROCE generation on petchem projects at current spreads. So just in that context, I wanted to understand how you go about evaluating new projects.

Vikas Kaushal: So we are not right now -- see, right now, the petchem, we have \$2.4 million, that investment decision was probably taken 5, 6 years ago. What we are doing is working on improving the realizations. As I said earlier, we are looking at niche products.

We are doing a lot of work on R&D, so that we can improve the realization in the current market situation, which we all know about. And also, any further investments are going to be very specific downstream activities, which are building on what we have right now. But as of now, there is no horizon that another INR30,000 crores capex is coming up or anything of that sort.

Moderator: The next question comes from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: Just one clarification. You mentioned that you were trying to restrict the EBITDA loss from this chlorine contamination to either INR150 crores. Is that right?

Vikas Kaushal: No. We said there are two buckets of a loss. There was one which has already incurred in terms of the product, which got contaminated, which we have to sell at a discount, which is naphtha, which roughly would be around INR150 crores as and when that export parcels are done. Second, there was movement, which we had and then some product loss, et cetera, which, again, numbers have to be finalized.

Anyway in any routine business also, there are some amount of movement losses, which we have, that we are restricting or we are trying to get it under INR150 crores. With early commissioning, we were initially anticipating November 4th as when the units come back, but early commissioning was helpful.

The third open bucket is the crude, which is the part of the crude, which is still sitting with us, which we are talking to others, who can process it and that could have some amount of it. Having said that, we would also be raising claims in line with all the crude agreements, etcetera, we have and in line with what we have declared to the stock

market. So there will be some recovery on that.

Overall, I think we are in a realm, while it was a big impact in terms of contamination, something of this sort has not happened in an Indian refinery in the recent memories, but our team was very smartly able to do and with a lot of effort. This was all happening around the Diwali time. So a Hindustan Petroleum Corporation Limited
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lot of people spoiled their Diwali in trying to keep the asset back there. So we were able to contain it very nicely and even get the units back early.

So I wish it had not happened, but as a CEO I'm happy that the pace at which the team got it back and the amount we were able to mitigate there. So that's what I would say. We can take it in a stride. It is absorbable basis. It's not -- in fact, we've been able to limit the damages much lower than what we had anticipated when we gave the stock market guidance at the beginning of the week.

Sabri Hazarika: And just one question to Vikas sir regarding this LPG market. You've given some view on crude prices, but LPG is currently -- seasonally, it should have gone up, but there seems to be some sort of price war of that sort why -- in December also, we are seeing prices just coming down. So what is your assessment? Is it like a temporary phenomenon? Or do you see a permanent reduction in LPG prices by the likes of Aramco or even U.S. players?

Vikas Kaushal: Boss, if I could predict those prices, then I wouldn't have to work 12 hours a day to earn my salary. But jokes apart, I think some of what we are seeing is the effort, which has been done by the companies. I'm not going to speak much about the strategies on the call. But if you carefully see what has happened in the last 5, 6 months between all the 3 OMCs, even with what is in public domain, you can decipher on the strategic factor why the cost is now lower.

So we hope the Saudi CP and all remain lower. It definitely helps in the business. But there has

been an effort, which has been done not only by HPCL, but other OMCs. All 3 individually and all 3 collectively have also done some things, which have -- I would say, reshaped the market a bit.

I will not go into specific strategies on what we did and what was done. You guys can do your own judgment on it. But we hope it remains benign, and it does not spike on the -- like it used to do every December.

Moderator: Our next question comes from the line of S. Ramesh, who is an investor.

S. Ramesh : Congratulations on your results and your insights, on the management thought process, on the historical performance and the way forward. So if you can share your thoughts on the road map for the renewable energy subsidiary in terms of capitalization and when you will see visible cash flows? And any time line for listing that subsidiary?

And secondly, in terms of -- you mentioned on the digital pathways, any thoughts in terms of going in for the benefits of artificial intelligence since you mentioned the consumer -facing business and the consumer footfalls you have, what is the kind of thought process on that? And if you can also link it up to your nonfuel retailing, that will be helpful.

Vikas Kaushal: Thanks, Ramesh. And 2, 3 questions you had asked. On the first question on green. See, while we have declared an ambitious plan earlier, we haven't actually deployed much capital on it, partly given the earlier part of the call, we were discussing about capital and deleverage and all those things.

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And secondly, as a management team, we believe that plain vanilla, solar and wind is not likely to give companies, like us, the best returns. We are not best placed for those bulk lucrative projects. Hence, we have been very selective in what we are doing. So currently, what we are doing, there are 2 plants we are working on in

the C BG business as of now. One is a lot of green

ink in and around HPCL, which itself will take it to potentially about 1.8 gigawatt of portfolio in the next 12, 24 months, in a couple of years, we'll take it to that portfolio.

We are also looking at augmenting green, which is going to go additional activities like, as we do hydrogen, can we bundle some of our green in? So some of the factors which are around our business rather than doing a plain vanilla solar park somewhere just for the sake of getting renewable numbers.

The second plan we are working on is on the C BG business, which we believe is a very nascent business, still not giving returns but an important one for long term, even the net zero commitments of refiners. We already have a couple of plants, especially our main plant in Budaun, which is yet not generating a lot of positive cash flow, but our teams are really working to deeper on to understanding how the business can be made profitable.

If we can get the unit economics right, we have a plan to scale up that C BG. We have line of sight or a road map for another 20, 25 plants, but we will do the massive scale up only after we get the unit economics right, not before that. I don't want to have 10 plants which I want to improve the economics. I would improve the economics on one plant and then ramp it up.

So that's the current roadmap on green. It's an evolving one. We will add more. And as we get free, as we get lower debt, our leverage reduces and we get more cash coming out of the business, that's the time we can add more on it. We have refrained from going after big capex there. IPO, we have not yet firmed up when we would want to do IPO on that one, very honestly. I think that's one.

On the digital side, I think those are exactly the things we are trying to do and see how we can get more digital tools into our system to get what one of the earlier colleagues was saying on making more -- us more of a consumer -facing businesses. And then obviously, everybody is using AI. The only caution I would say on AI is, I read an article yesterday says 85% of -- or 85% or 90% of AI projects have actually failed across the world.

So we are careful on what we want to add. It's a mixture of AI, mix of other digital tools, mix of increasing things like consumer, our CRM databases, etcetera. But we are working on a complete digital road map on this. So I hope I've answered your question, Ramesh.

S. Ramesh : Just a follow-up. On the non-fuel retailing, any numbers you can share in terms of how it may add to your overall volumes and...

Vikas Kaushal: I think it's too early for the numbers right now because we are in the -- because it's too small in context of our retail right now. But we are working on some very interesting strategies, which if it unfolds over the next 6 months, you might see some more visibility around our nonfuel retail

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business. So right now, the numbers are insignificant, I wouldn't even call -- as an investor, you shouldn't worry about my nonfuel retail business.

It's just that if the intent goes right, then it adds to what I think Sumeet was saying that earlier on, consumer, we get closer to the consumer, and we also start generating more business. But it adds to my bottom line. Maybe 6 months from now, we'll be able to give a guidance on what quantum does it add.

Moderator: Ladies and gentlemen, we will take that as a last question for the day. I now hand the conference over to Varatharajan sir.

Varatharajan S.: People in the queue, I would request them to take up the questions with us or directly with the Investor Relations team of HPCL. The floor is open for your closing remarks, sir.

Vikas Kaushal: Okay. Sorry. I thought we were waiting for a question. Anybody who's left with questions, I think the time is over for all of us to be there, but

we'll be more than happy to take the questions.

I would only reiterate what I said in the beginning of it.

The business you are following, our business you are investing in, is an absolutely solid business on a growth trajectory, on an increased profitability trajectory. We have performed well. We are hopeful, I'm confident that we will continue to perform well and generate both growth opportunities for the organization and our people and also wealth-creating opportunities for anybody who chooses to invest in HPCL.

I'll close by thanking you all for a very active participation, the questions you all had. And should there be any residual questions, shoot it to us. If you do want to have follow-on discussions, we are more than happy. Depending on schedule, Director Finance and me can easily meet.

Vinod and others in our team are always available for interacting with the analysts. And until then -- until we meet next time at the end of next quarter, thank you all for your interest, and I appreciate you joining the call. Wishing you all the best in the times ahead. And if we don't speak before the year-end, wishing you all a very Happy New Year. Thank you.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Q3 FY '26 Earnings Conference Call"
January 22, 2026

MANAGEMENT : MR. VIKAS KAUSHAL – CHAIRMAN AND MANAGING
DIRECTOR – HINDUSTAN PETROLEUM CORPORATION
LIMITED
MR. RAJNEESH NARANG – DIRECTOR FINANCE –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. S. BHARATHAN – DIRECTOR -REFINERIES –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. K. VINOD – EXECUTIVE DIRECTOR , CORPORATE
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MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE
STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Hindustan Petroleum Corporation Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Varatharajan Sivasankaran. Thank you, and over to you, Mr. Sivasankaran.

V. Sivasankaran: Thank you, Renju. A very good morning to everyone. It's my absolute pleasure to welcome all the participants and the management of HPCL to the results conference call this time around as well. We have with us, Mr. Vikas Kaushal, Chairman and Managing Director; Mr. Rajneesh Narang, Director -Finance; Mr. S. Bharathan, Director -Refineries; and Mr. K. Vinod, Executive Director -Corporate Finance. We request Mr. Vikas Kaushal to do the introductory comments and then we can move on to the Q&A. The floor is yours, sir.

Vikas Kaushal: Yes. Good morning, Siva, and thank you for the introduction there. As Siva said, I'm joined by Director of Finance, Director Refineries, Vinod, ED, Corporate Finance and a couple of other colleagues from our finance team. I'll start by wishing everyone a great 2026. It's a pleasure talking to you all on this call for quarter 3 results. Like in the past analyst calls, we'll talk about the current performance and future action, we'll bucket it into 2 parts.

I'll not go too deep into the numbers. Some of you have already analyzed it already, but at least I'll try to give the commentary on it. But before that, going into these 2 buckets, I wanted to talk about the highlights of the last 3 months. So in some ways, HPCL has killed one of the questions which used to come in the analyst call on, when are you going to commission Visakh. So we are very excited that we commissioned the RUF project in Visakh a few weeks ago.

Obviously, you guys would have caught the stock market information and the media releases around it. We believe this project is a milestone for -- in technical advancement for HPCL and the Indian refining industry. Those of you who understand this project would appreciate that it is the extent of deep conversion, which is being planned here, taking the bottoms to a 93% conversion through the LC-MAX technology has not been attempted as well. It's the first time in the world, and we are mightily proud of that. The other interesting bit is just to give some tidbits around it. The project itself is an engineering marvel. Some of you might have had an opportunity to visit that in the past. But if not in future, we'll have some of you, those who are interested to come and see the project. Just to give you a small context, the 3 key reactors are 2,200 tons each.

They are one of the heaviest things put in a refinery, 2,200 tons each. They are thick walls because they run at 420 degrees centigrade and 200 bar pressure and the walls are 25-centimeter thick. Imagine being inside of vessel [inaudible 0:03:07] walls, so that's the context of it.

The beauty of it is a lot of these reactors were done in India. So that's why both we and many of us in the sector are proud of what has been done. The state [inaudible 0:03:21] , we are getting a

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steady stream of HS D. We are slowly bringing other units in and learning how to run this as a complex thing [inaudible 0:03:32] project with that, we have also done a digital twin.

It's called mcube, again, comes with the licensor itself. So we are starting to populate digital twin also. We are targeting a performance guarantee te

st, which will mean 100% utilization

somewhere in March. So this quarter will be one -off stabilization. And post that next full year, we are anticipating financial results there.

All of you are very curious about numbers. I can tell you that the crudes which we are buying because we are starting to factor in RUF into our crude baskets. If we just do the analysis with RUF , without RUF , we are easily getting on paper, \$2.5 per barrel kind of guidance which we had given to the stock market. Of course, we have to translate that into physical performance. This is still at the optimization level. So overall, HPCL team is mightily proud of what has been done. And of course, we'll be happy to take on the questions.

The second big elephant in the [inaudible 0:04:36] . Well, that is also progressing well, at least the first part of it. All 4 pipelines have been commissioned. A lot of the units are in the process of commissioning, we have crude in the refinery. Already natural gas is already in the refinery, both Mangala and imported crude are in the refinery, multiple units like boilers, priority crude tanks, etcetera, have been done. We've got the PESO approvals. And as we speak, we are doing the commissioning process in the CDU plant.

We've explained in earlier analyst call the commissioning sequences run a few weeks, but we are right in the middle of a commissioning sequence. And once the CDU is done, then obviously, the downstream intermediate products and other products will come out, but we are expecting the first tranche of the products to be out in February and ramping up the refinery to full capacity by quarter 1 of the next financial year. This will be -- as you can imagine, the greenfield takes a gradual ramp up.

We've -- petchem will take maybe a quarter or so more. But right now, we are focusing on getting the refinery up and running. Again, that would be the most complex greenfield refinery ever attempted in India. You would have also read about the ADNOC Gas deal. We had done a heads - up agreement earlier, but earlier this week, we closed the sales purchase agreement for a 5 million ton 10-year deal with ADNOC. There are a lot of other things which are in progress, but I want to keep time for questions, so I'll skip those. You can ask us in the questions.

In terms of physical performance, the key things I wanted to highlight are, obviously, our sales grew up by 3.1%. Interestingly, a lot of our sales growth has been on the retail side, not on the bulk side because we have very consciously looked at -- in fact, all of our sales increases literally coming on the -- domestic market is coming on the retail side, because bulk went on huge discounts, which we did not chase that market. Instead, we were steady and we didn't go after the volume numbers, but we went after the value numbers and happy with our growth there.

Refinery throughput is 6.38%, 103% utilization, tad lower than what we showed -- think it should be. Refinery GRM 8.85%, I'm sure there's a question around lower than this, higher than this. Well, this is after absorbing the impact of B -80 crude, which if you see the Mumbai refinery,

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GR numbers are lower. If there was -- and God bless, if it had happened, because there was no B-80 challenge we had or the contaminated challenge we had in Mumbai, our GRM this quarter would have been 10.24%. The curious of you can quickly calculate the impacts, etcetera, around it. So yes, we did lose GRM because of the incident. There has been strong performance on other businesses also. So I'll not delve deeper into that.

Moving on to the financial performance. There's a continued strong run. Q3 profits were INR4,072 crores on a stand -alone versus INR3,023 crores, up by 32.6%, steady performance over 9 months from against INR4,000 crores, we have been earnings INR12,274 cror

es up to

206%.

If you just see the last 5 quarters, and it's not a flash in the pan performance, we have been steady over the last 5 quarters. We've roughly earned INR1,300 crores per month of PAT, give or take a few crores. So it's been a steady 15 -month run during this period. Obviously, this results in a

significant cash generation, around INR25,000 crores or thereabouts.

This has allowed us to deleverage. Beginning of the year, our stand-alone leverage was at 1.37. We had given a guidance of about 1.15 to 1.2 to the market. We are much below that. We are at 0.86 for this quarter. Having said that, I also want to caveat that this would be higher for Q4 because of the cyclical nature of our business and the year-end stuff, but we will end the year lower than our guidance of 1.15.

The interesting bit is the lower leverage is starting to show up in our P&L. If you compare interest in third quarter of this year vis-a-vis interest of third quarter last year, this is about INR250 crores, INR300-odd crores, in that range lower. So we are paying on a monthly basis, lower interest, which is starting to flow to our P&L.

There has been a marked improvement in our performance, and we are very bullish about our future. As analysts, sometimes you question whether it is flash in the pan, will it stay, etcetera, how will excise impact it, etcetera? Well, we don't look at it that way. We look at it the fact that operationally, we have improved the performance and impact of this business.

To me, 3 things have happened, and I wanted to call them out as my insights onto the call. First, the operational efficiencies have come in. We have promised them on these analyst calls. We have been working on it, but they are starting to show up in our P&L where it matters the most. In a way, we are lowering our breakeven and more importantly, we are building in a culture of efficiency. We are altering the culture we had in terms of the way we were working earlier to work in this new paradigm.

I just wanted to bring to your notice 2 or 3 very interesting facts, which excited me. If I just look at opex as turnover because that's a clean ratio, I think, because other things can get muddled with how much product I'm buying, etcetera, etcetera. On quarter 3 last year, my opex to turnover was 1.60%. On quarter 3, this year, it is 1.37%, if I remember my numbers correctly. So just 1 year down the line, for every rupee we are selling, we are -- or every INR1,000, we are selling, we are spending less money in earning that. That, to me, is a real operational efficiency, which builds in. If I look at the 9-month number, the 9 months last year was 1.47%. This year, it is

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1.36%. which also tells me that the quarter 3 is something where the gap is higher. So our capture of efficiencies has accelerated as we have moved quarter-to-quarter.

And this is starting to show in rupees per ton. Quarter 3 last year, we had INR1,473 per metric ton. This year, it is INR1,278 for 9 months, it has dropped from INR1,371 to INR1,246. So real numbers which are changing and which bode well for the future.

Our program on Samridhi has helped us on that. It gave us benefits. And it also allowed us to deliver a reasonably good quarter despite the challenges we had. I personally I'm not happy with the numbers. I thought it should have been higher than this. But despite the fact that we had a significant challenge, we were able to deliver a strong quarter. So that was the first. I said 3 things that happened differently. First, operational efficiencies have kicked in. Second, the deleverage, I talked about the greater lower interest costs, greater flexibility.

Our finance team has been very diligent in managing the debt levels. We have refinanced certain things. And the difference is starting to show, compare the

numbers on interest costs drop in the

first 9 months and interest cost drop in the last quarter, you will realize that portion is also accelerating, and it is very natural as the leverage comes down, that will accelerate. And it's not only the quarter end debt which you see, but we look at the average debt for the quarters are coming down as a result the lower interest burden is there.

The third thing is we have created the right to grow for our next wave. Many who -- many of you as analysts, many others who have looked at HPCL had concerns about HPCL over the last 1 year, 1.5 years, our delayed projects and all those kinds of things. In last 1 year, we have solved the harder exam questions. Our projects are coming to a fruition. Yes, they have been challenging journeys. It's very difficult to do capital projects in India, but they are starting to come up to stream.

So the harder exam questions have been solved, and there is tangible progress in projects of reasonable improvement, etcetera. I think each one of us can have our own judgment on how it will look at it. I know many of you still remain skeptical at times. It reflects in the share price shifts the volatility of that. But we, at HPCL are very convinced that on the direction and path forward and the momentum we had.

Let me very quickly talk about the future, the time when we start thinking about the future. 2026 promises to be a great year for us, and we have geared up to make the most of it. I talked about Visakh. Visakh, the benefits will start flowing in where you guys would want to see them the most, which is the P&L. Barmer commissioning will happen. The stabilization journey will be a reasonable one and a challenging one, but we are geared up for that. And the good thing is

that's an easier problem which we are all capable of solving.

Now that asset is coming to closure, we'll also start looking at the financial impacts and maybe in subsequent quarters, we'll tell you how we look at absorbing, well, the first few quarters, which would be some challenge there. There are other projects which will also start giving benefits. Let me very quickly move on to what are the focus for our next year. There are 5 or 6

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focused themes as a management team -- may be 4 focus theme as a management team we have there.

First, we are going to focus our efficiency drive. Samriddhi 1.0 has till date given as INR1,260 crores of benefit, of which INR518 crores is onetime or other way around, I repeat it's a -- I will give you the details but there's 67 -- sorry, INR 519 crores is recurring, I got the numbers wrong on my sheet and INR 749 crores is onetime.

The recurring ones are being built into the plan. We are already starting to work on Samriddhi 2.0. In the first phase, we got to the things which start on the focus for next year. As I said, Samriddhi 1.0 gave us INR1,260 crores of benefit till now, of which INR518 crores is recurring. INR749 crores is onetime.

The recurring ones are being built into the plan, and we are starting to plan for Samriddhi 2.0 where we will target the harder to do more fundamental initiatives. And this time, we will run with external support. In the next analyst call, we'll give you the guidance for the next year, but there will be a guidance coming on, what is our target. We'll be very transparent with you on what is our target for next year.

The second big initiative we are doing is digital focus. We believe that is the way to transform the organization to the next level of excellence and competence. We have done an exercise where we have laid out our digital acceleration road map. This was done with one of the leading global consultants, and we are now starting to think through the implementation plan.

But the focus of this would be on 3 key aspects: one, value capture, needless to say, that

drives

everything. Second, there are process and efficiency improvements, including increased use of AI and other tools, taking some of our processes, which are still being run in paper way to make them completely digital.

And third is preparing for the HPCL future, which is about imagining our future. You can expect progress on all 3 initiatives. Third area we are focused on is our customer focus. At the end of it, we are a customer-facing brand, one of the largest ones in India to reinforce our customer effort.

And I hope some of you have visited our retail outlets, the recently renovated retail outlets, you'll see the look and feel of them are by far the best in the market right now, see some of the city outlets we have done. We are redoubling our effort on strengthening our customer focus.

We have tweaked our retail organization to bring it closer to the customer, improving delegations, strengthening the field and fighting the battle -- the retail battle. That is going to be one of the top priority for next year because, as I said, we are a consumer brand, which wins and loses on the consumer forecourt in our case.

We've also created a separate CGD vertical, which we're running it as a separate division now and in some ways, preparing for growth and potential value capture in the future. Petchem we

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are already in the progress of launching that business. And in lubes also, as we have said in the earlier calls, we are doubling down on the customer segment.

The theme around it is we are making our businesses more customer-facing and strengthening the brand, some of you would have seen increased advertising from us and claiming a rightful place as one of the most premium customer-facing brands in India. So if you go, please go to our retail outlets, innovated ones, if you have feedback for us, give us. You'll see a lot of improvement in those retail outlets. Some of them, we'll not be able to do the whole network, but we are slowly getting there.

The fourth area we are going to go deeper in the coming time is deeper into the green and alternate energies. We have already done some focus on that. We have our CBG plant at Badaun has been running for now 6, 12 months. We have been improving the efficiencies, getting to the basics of it. On renewables, we have done mostly captive, but we are starting to see how we can extract more money around it. And gas business, I just announced, talked about the ADNOC Gas deal. So with that, we are also going to be planning for our next wave of industry growth.

So those are our 4 agendas as a management team for going forward.

Before I stop, let me -- I'm sure there's a question on everybody's mind on the Mumbai refinery. Well, the issue is fully behind us. We came back to stream fairly quickly and manage the issues there. So I think there are only residual matters to be solved, which are more of financial and commercial matters. But the asset is running back and full, and the run rate GRMs would be what they ought to be on an asset of that scale and class. So I want to reassure you that, that is back on stream.

I wanted to thank you for your continued interest in HPCL and our journey. We are on a solid trajectory and are committed to delivering for all our stakeholders. Let me stop here, and we can throw it open for questions.

Moderator: Thank you. The first question comes from the line of Probal Sen with ICICI Securities. Please go ahead.

Probal Sen: First of all, let me thank you for the briefing that you gave extremely to the point and extremely useful in terms of what are the issues to be looked at, thank you for that. Just a couple of questions. Firstly, with respect to the ADNOC deal, can you just share some details in terms of the sort of ..

Vikas Kaushal: Probal, we can't hear you.

Sumeet Rohra: Sir, firstly, I mean,

I would like to congratulate you on a fantastic performance as you reported.

So it is so heartening. I mean I'll take a few minutes of your time to talk to you as an investor, is it so heartening to see our company reporting a profit of INR12,500 crores in 9 months and on cost to do a profit of INR15,000 crores, INR16,000 crores. So there are only 25 companies in India today who actually report a profit of more than INR15,000 crores. So extremely happy with you guys. I mean, you guys are doing a wonderful job. Congratulations on that to you and your entire team.

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But sir, just a couple of things I would like to bring to your attention is that, sir, today, in spite of being the 25th most valuable company in the country. Our market cap is clearly divergent as we rank today at 117. Now sir, the reason why I bring this up is today because the great work, which is being done by all of us, is not being translated into market cap.

So clearly, there is some kind of fear or apprehension, which is kind of weighing on the stock price. Because, sir, today, I mean, you look at it, our ROEs are at 28%. Now I can't find any company, okay, who is trading at a 5.5x multiple and has a 28% ROE and a 6% dividend yield.

I mean today, we trade at a 50% discount to asset value. Now sir, of course, these are India's companies, and this is India's wealth. Hence, I touched upon this crucial aspect of market cap.

And sir, I would really humbly request you to please look into this because it is clearly ambiguous for a great company of this size to trade at a market cap, which is trading under the market caps of the quick commerce companies, et cetera, which are trading at 8x sales.

And whereas we trade 0.2x sales. So since these are important matter, I wanted to bring this up.

Now sir, I just wanted to only ask you one thing is that, can you quantify the impact of the Hindustan oil impact? Or how much is that in terms of quantum? And sir -- that's it, sir.

Vikas Kaushal: Thanks for your compliments. We take them graciously and humbly. On the market cap, let me opine on that. See, I think you guys are better judges of market cap than a management team. The management team can be held responsible for delivering on the promise which we have given.

And we have consistently, over the last many quarters, delivered on the promise not only many quarters, a couple of years ago, we had laid out a path of taking INR40,000 crores as EBITDA.

We are towards that -- on that journey ahead. So we hope the sentiment also turns around it.

I'm the CEO running the company, but if I was an investor, I would have taken a different decision knowing the strength of the company right now. It is a really strong company and up to you guys to make what value it should we figure out on it. The impact of B-80, I would not like to give a number, as you can imagine, something like this is in disputes and there are claims and counterclaims from parties around it. But what we can easily say is that the Mumbai GRM was down by 3 points -- you know the number? Around 3?

Management: So overall basis, there will be \$1 improvement.

Vikas Kaushal: Yes. So the Mumbai refinery GRM for the quarter was impacted by \$3.5 because of the total impact of it if we had been higher -if we didn't have that incident, we would have been higher by around \$3.5 per barrel in Mumbai. And overall, HPCL, we would have been instead of 8.8% or whatever that number was, we would have been 10.24. So \$1 plus kind of a per barrel impact for overall HPCL. I wouldn't want to give the exact numbers or calculations there because you can imagine that there is a claims and counterclaims on those kind of aspects.

Sumeet Rohra: And sir, I mean sorry, if I may just ask one thing. Sir, I mean continuously, there are perpetual

talks or fears about the excise duty. I mean what ever I can understand as an investor and you're

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tracking the sector for the last few years, I mean, the government has been very prudent and stable in its approach.

And the policies are very much stable as the oil minister had spoken in the analyst meet, which you guys had organized. So sir, can you basically allay some fears because, I mean, the government actions are very clearly stable, but our friends in the community keep on emphasizing on excise duty, which is kind of creating havoc in investors' minds. So if you can clear something on that, it would be wonderful, sir?

Vikas Kaushal: That's a great question. I also read about those reports and I'll opine on that. But see, it's not for me to comment on what government of India's policy on excise duties is. It is for Government of India to comment. So I will not delve into that topic. For me, whatever is the duty is the law of the land, it is applicable to everyone.

Now coming to the point, there are 2 aspects I would like to say, what can I do about it? We, as a management team can prepare for different scenarios. Crude goes up. Well, that's a scenario we have to prepare, dollar -- or rupee depreciates against dollar, that's a scenario we prepared, it dropped significantly yesterday.

And how do we prepare? We prepared by lowering our breakevens by improving our operational efficiencies. That is what we have been doing, and that is within our control, and we, as a management team are responsible for that. That's why we did Samriddhi 1.0. That's why we are going to do Samriddhi 2.0.

That's why we are doing digital transformation because we want to capture in all the efficiencies we can capture it and a stronger company will be much more resilient to bear any challenges, whether it is an excise duty change, whether it is crude volatility, whether it's exchange rate volatility, we will be ready to get. So we are working on the fundamentals of the company, not necessarily just on the excise duty.

On the issue of excise duty, I think that's a favorite topic for many of you, you guys seem to know more about it than we do. The only joke, I would say, if I total all the recommendations, which came out that excise is going to be increased this week or next week over the last quarter or 2, then probably the excise would have increased by INR20 by now.

Because every day, one of you puts out a recommendation saying excise -- maybe you have more information than we have. You put out a recommendation. Obviously, our shares drop after that. But that's not for me to fight the battle. It is for the investors to figure out, who's giving right advice who's not giving.

Some of you have been calling excise, will we increased this week, for 4 or 5 months I've been noticing. It has not increased. And if people still want to believe those investors then -- those people, it is their call, it's not for me to judge whether what you know about excise duty or not. It is for me to prepare my company for every eventuality.

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That part, me and my management team are responsible for. Otherwise, you guys are free to believe whose view. Somebody might know that they're better on excise duty than they can give. It's very easy to give a scenario of INR1 change in excise duty will drop by that math, anybody can do.

But then some people have been writing about this for 6 months without an increase. And you people still believe those reports then, it must be very well informed, I must say. But for me, I have to just worry on what is the law of the land today, what will be the law of the land tomorrow and respond and take my company forward with that.

That's all I have to say on this. The fact that we have traded at 50% of -- you gave some numbers discount to market

cap, et cetera, as a management team, we want to better it. But then we are not in the middle of fighting the bulls and the bears. We are in delivering the performance for HPCL.

Moderator: The next question comes from the line of Probal Sen with ICICI Securities.

Probal Sen: I hope I'm audible right now. I apologize for the disruption earlier.

Vikas Kaushal: Yes, it dropped off, Probal. You said something on ADNOC deal?

Probal Sen: Yes, I just wanted to understand, sir, is it possible to share any pricing framework that has been

agreed. This is a Brent -linked contract, I would imagine? Or what are the pricing terms and any range that can be sort of spoken about?

Vikas Kaushal: So Probal, thanks. This is a Brent -linked deal. Obviously, we will not give the pricing ranges here. But all I can tell you is one of the very competitive deals, which we have done, 0.5 MTPA for 10 years. The gas is going to come from Middle East. So it's basically the source -- not a trader gas, but a source gas. But it's very competitive is all I would say.

Probal Sen: Understood. And second question, sir, with respect to the Rajasthan refinery. You mentioned, I think, about the first tranche of downstream refining products will be likely starting from Feb and petchem will follow basically a couple of quarters. So is it fair to assume that FY '28, we will have the full capacity alongside the petchem conversion of every barrel in place for this refinery?

Vikas Kaushal: Yes, that's a fair assumption. Things can always go here and there, but that's a fair guidance we can give.

Probal Sen: Right. And sir, with the current margins being what they are as far as petchem, obviously, you would have done your budgeting at a certain pricing level. Are we comfortable with margins being what they are at least for the first couple of years. Is that something that's factored in? Or is it -- I mean, what I mean to say is, are the returns going to be impacted margins for petchem remain as low as they are right now? Just your sense of how you're looking at it strategically.

Vikas Kaushal: Probal, I'll actually -- you guys know I was a service professional for a long period of time before I came to run the asset company here. I look at things very differently. To be very, very honest,

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I have -- while we have done the financials and done to keep an eye on the scenarios, that is actually not which is on top of my mind because where our HPCL or HRRL stands right now, whatever is the cost, whatever is the external market, whatever is the prevailing prices is a fait accompli at this point of time.

What is most important for me is how fast, how smoothly, how efficiently can I look at it. I can assure you that 100% of our teams are focused on that. Yes, some people in finance do the numbers, etcetera. But am I losing sleep on the numbers on what they're coming? Absolutely not. But if a vessel, which is going to be dispatched to Barmer, if that gets delayed by 2 days, that's where we lose sleep on.

So we are absolutely razor -sharp focused on closing out the refinery and bringing it on stream. Everybody has done those numbers, and I'm sure you guys have your own numbers. As I said earlier, we will come out with transparent numbers. We have been very transparent in giving the guidances over the last few quarters. Wherever we want to be sure of the guidance.

But right now, I'm not even bothered about what it's there. What if the crack is lower, what will I do with that? I still have to run that asset. The good part is I have an integrated asset. We could sell more diesel. We will have multiple options.

The crude which we can pump in. We are already doing the simulations on what crudes will run in different scenarios. We could do liquid products to some extent. We could sell LPG and naphtha and not crack it, we could

crack it. And eventually, we could even do downstream here.

So the fact that it's going to be an integrated asset gives us a lot more flexibility, and we will use it to the health based on the numbers prevailing at that time. For the moment, the whole focus 150% focus is on completing the asset as quickly as it can come on stream. Whatever be the costs or the margins. That's a secondary question.

Probal Sen: Understood, sir. Perfectly clear. And third question, if I may ask one more is, as far as Visakh is concerned, you spoke about the massive changes in terms of the bottom of the barrel conversion.

On an overall basis for Visakh, therefore, what kind of distillate yield can we expect once the commissioning -- once the stabilization is done of the rough unit?

Vikas Kaushal: So 82% distillate yield. We were -- Visakh, if you recall a few years ago, was in early 70s, mid - 70s. We've done 2 parts of it, the capacity expansion, the BS VI, etcetera, we have done and then subsequently, we have -- once the -- this is 82% is the full guidance we have given, and we are confident we'll come to that level.

Probal Sen: Got it. Sir, one last housekeeping question. What kind of capex have we -- are we looking at closing the year for this year and for '27, any guidance on capex? And if you can break it down in terms of segment that will be very good.

Vikas Kaushal: Guidance, I will not give right now because our Board has not approved that. We discussed it in the board yesterday, but there's going to be another round of discussion. But broadly, it will be

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in the line of similar numbers what we have done. This year's capex, we had told you earlier that we are going to be lower on capex.

So it might be a shade under the -- somewhat under the budget which we had planned. If I keep HRRL, overall, it might be INR13,000 crores, INR14,000 crores, if I remember, the budget number was INR15,000 crores or something. So it might be slightly low, tad lower than that, which is not bad for us because we were running a high leverage. We consciously picked and choose where we could look at investments.

In terms of nature of investments, going forward, you can expect a wider spread because the last 5 years, the capex was very skewed towards refining. You would expect a wider spread across different assets, including increased marketing expenses, some new energy capital in the next 5 years. We will work out those and come out with the guidance at the right time.

Probal Sen: Congrats on a good set of numbers and all the best.

Vikas Kaushal: Thank you, Probal.

Moderator: The next question comes from the line of Yash Nandwani with IIFL Capital.

Yash Nandwani: My first question is on LPG losses. What was the loss per kg in the quarter? And how is it shaping up in January after the increase in Saudi CP prices?

Vikas Kaushal: If I remember, last quarter was 2 digits, 39 or something, somewhere in that region, per cylinder. And for this quarter, the under recovery is higher, because CP prices have gone up, I think...

K Vinod: It was around INR30...

Vikas Kaushal: Yes, Vinod will give you that answer.

K Vinod: Around INR35 per cylinder. And during the quarter 3, we had an under recovery of INR503 crores. Going forward, the Saudi CP has gone up. So we are expecting the cylinder prices -- the under recovery to go up by close to under INR100, INR120 per cylinder.

Yash Nandwani: Okay, sir. And secondly, sir, I just wanted to understand if there was any impact of inventory losses during the quarter? And if yes, could you please quantify that into refining and marketing segment?

K Vinod: In marketing, there was a gain of INR14-odd crores and refinery, which is part of the margin is about INR540-odd crores.

Yash Nandwani: Sure, sir. And lastly, sir, the book question on HMEL. If you could help

us with the EBITDA

and PAT for HMEL?

Rajneesh Narang: The HMEL EBITDA was around INR4,000 crores. And the company had taken turnaround during this quarter for almost 40 days.

Moderator: The next question comes from the line of Meet Parikh with Mihir Shah and Co.

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Meet Parikh: My question was I wanted to reconfirm the HMEL number that you said was INR4,000 crores for the quarter?

Rajneesh Narang: For the 9 months, 9 months.

Meet Parikh: Right. And sir, what kind of ROCE -- like HMEL is a very mature asset now. So what kind of ROCE are we seeing on that asset now? If you could give a sense?

Rajneesh Narang: I don't have the number readily available, but we'll let you know.

Meet Parikh: And sir, another thing as a lot of participants have said about the valuation and everything, so with the LPG subsidiary that we are -- what the government is paying us, the INR7,500 crores approx. And the margins staying so stable now, with the refining margin staying so strong. So is the company -- is there a buyback in the plan? Like is that something that can be on the table?

Vikas Kaushal: So we'll -- if and when there is anything like that, we will let you know. Right now, as I said, we were more focused on our projects and our performance there. As and when these plans -- if there is any plan at the right time, we'll let you know.

Moderator: The next question comes from the line of Achal Shah with AMBIT Capital.

Achal Shah: Sir, am I audible?

Vikas Kaushal: Yes.

Achal Shah: Sir, just wanted to know, have you done any study with respect to how many outlets can India reach, let's say, next 10 years or 20 years down the line? I am understanding that around 1 lakh outlet are there. So what can be the broad number 10, 15 years down the line?

Vikas Kaushal: So as a company, we have not done that study. As a company, we are more focused on where can we put in our retail outlets and be more profitable around it. As a nation, I think your question merits a discussion at a level where somebody thinks around this. But again, the question is not only in terms of number of retail outlets. There are different models on retail outlets. There are countries where there are huge retail outlets, a throughput of 2,000 KL per month. But if you look at countries like Japan, et cetera, they run a huge number of small outlets.

So different models exist. For each one of us who's putting retail outlets, the question is not the

number of outlets, but the question is how am I getting those outlets to be viable for me and for the partners who are putting up that thing. So that's -- a lot of our focus is on those aspects right now. But to be frank, we have not done a nationwide study on this.

Achal Shah: And sir, my second question is on the Rajasthan Refinery resource, has there been any cost overrun from the last updated numbers? And currently, what is the total outlay, is it near to around INR80,000 crores?

Vikas Kaushal: Yes, roughly in that direction. We will not be able to give you an exact number right now because there's some government approvals, which have been in the final stages. Once that comes out,

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we'll look at it, but there is no further increases from what has been discussed earlier. And give and take a few hundred crores here and they don't matter in that number. But broadly, it will be in that kind of a range.

Moderator: The next question comes from the line of Maulik Patel with Equirus.

Maulik Patel: Just 2 questions. One on that, you have so far done around 1 million ton of LNG sourcing from the ADNOC, right? One was in HH and the latest one is on a Brent -link, are these cargoes going to come only at Chhara terminal or you have another provision to take it to the terminals, let's say, the Da

hej or Dabhol?

Vikas Kaushal: Yes. We have flexibility to do that. We have different parties, with some of the parties we have interoperability, things we can take and land cargoes at our place and vice versa. But primarily, our gas we are planning to bring at Chhara. But there would be situations there, like, for example, Chhara is not available due to anything, storage capacity is not there or weather is bad, we can take cargoes to different terminals also. Those flexibilities...

Maulik Patel: Sure. And the primary consumption will be your refinery and the CGD business, right?

Vikas Kaushal: No, we are also selling in the market. And we will ramp up that business increasingly.

Maulik Patel: Got it. And second question is that on the sourcing side, I mean earlier you mentioned that as a part of another project Samriddhi, you have a couple of line items and one of that was sourcing.

Can you just highlight that how you have improved sourcing in terms of various mix. And second is on the hedging part. And so that, I think, really helpful.

Vikas Kaushal: You're talking of crude sourcing?

Maulik Patel: Yes, crude sourcing.

Vikas Kaushal: I think on crude sourcing, there are 3 or 4 things we have done. As you are all aware, any company like ours does term cargoes and spot cargoes. So based on our views on the future, we've been looking at how much to do on term and spot. On the spot, when you go to the market, what do you do, what do you buy is a very big question. And in every purchase, you can -- by getting it right, you can get \$1 lower, \$0.5 lower, \$2 lower, depending on what you buy.

So we have done a lot of work on optimizing our models, etcetera, where the way we go to the market earlier, we will go on set pattern, buy 1 cargo. We have experimented with things on trying 4 cargoes at 1 point of time, looking at opportunity crudes. So we have brought in agility into our sourcing, we have brought in science into our sourcing increasing.

We updated our models. We've got in the latest versions of the models, including using some AI tools, etcetera, which we are still in the progress of augmenting. So there is a lot of effort which has been done there. But the -- can you guys hear me?

Maulik Patel: Yes, yes. I can hear you.

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Vikas Kaushal: I thought the line has got cut. The other -- most important thing which we have done on the sourcing is actually getting the Visakh project up and running because it allows us to buy very different kind of crudes and as a result, take up the -- capture more value. I said earlier in the call, if we just do the math between what crudes we are buying.

And what we would have bought in the last month, if we had not had rough with us, there is a difference in what -- every single parcel, we would have bought a more expensive crude, so those are the things which we have done, there is more value to be captured out here by being smart or agile. And now in terms of sourcing, that's not the only thing we are sourcing because we also source LPG. A lot of LPG, we import 6 million, 7 million tons of LPG, if I remember correctly. And we also -- because HPCL ...

Maulik Patel: You are discussing about this LPG sourcing.

Vikas Kaushal: Yes. So we've -- you would have read about the deal, which has been done for sourcing from U.S. by all the 3 OMCs, we've together gone and done that. We have looked at propane butane

mixes on sourcing. So there is a lot of effort which has been done on each of these areas. And that's what is starting to show in our results in some ways. Having said that, there is a lot more which needs to be done and can be done going forward.

Moderator: The next question comes from the line of Amit Murarka with Axis Capital.

Amit Murarka: So my first question was on opex . So in this quarter, it seems to have gone up almost

like even

if you adjust for FX, it's gone by about 10% Q -o-Q. I wanted to understand the reasons for that increase.

K Vinod: Did you mention opex going up?

Amit Murarka: Other expenses, I mean, in the P&L?

K Vinod: In fact, in terms of expenses, there has been a net reduction. If you recall the opening remarks of our Chairman, the opex per ton for the quarter 3 has come down by about 13%. And on a 9 - month basis, it has come down by about 9%. This is on a per metric Ton basis.

And as a percentage of turnover, in Q3 of the last year, it was 1.6%, and that's come down to 1.37% in FY '26. If there are some specific numbers that you're looking at, that we can as on those numbers separately.

Vikas Kaushal: Yes. Maybe there are some specific heads you're looking at. You can just drop us a note on it and we'll clarify it.

Amit Murarka: I'll do that. And also, I read somewhere in your notes to accounts or presentation that you mentioned that the Mumbai refinery incident has been fully accounted for in the quarter. So while I understand that there's an impact on GRM, was there any impact on other items also, let's say, in other expenses or anything like that?

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Vikas Kaushal: There will be an impact in terms of there's a unit down . So there is a cost to -- on R&M, there are costs. There are also impacts which when the unit goes down suddenly, and remember, this happened around the Diwali period, so there is a cost which happens in extra transportation, etcetera. So there are a lot allied cost on it.

As a management team, whatever we know best we have captured it into the entire thing. But having said that, because this is a matter, now there are some disputes obviously, you can imagine in these things.

So it is hard to say, oh, this is the exact number. But whatever best we know has been factored in into the entire thing. Having said that, I would not say that's the end of it. There might be some elements which come here and there. But by and large, I would say the quarter factors in our best estimate of the overall impact, not only crude, etcetera, etcetera, it factors in our best estimate.

Amit Murarka: Got it. And just a last question on deleveraging that seems to have been a key focus area for you, and it seems to be going well. So next year, like what kind of additional debt reduction can you target? And by when you think you will start thinking about your next leg of capex beyond the Rajasthan refinery?

Vikas Kaushal: Yes. I think on the numbers for next year, we will come back in the analyst call in the first quarter. Yes. So that's something which we'll kind of come back to you. In terms of when would we look at the next wave of capital, I think we are already starting to develop what are the projects which we want to take in the near future.

They will not be large -- and these are all -- of course, we have projects on green side. We have CBG plants, etcetera, etcetera, we will take those. But on the refinery side, there will be more of debottlenecking, some small value addition projects, etcetera, we are not envisaging a large capex .

So somewhere during the course of the next financial year, we will develop our next year -- next 5-year road map on capex , etcetera. By that time, we would expect Visakh to be fully stable. We would also expect Barmer to be on the path of stability that gives us a greater muscle to do that.

We do not want to get to a complete under-leverage situation because as a management team, we believe certain leverage is very good in the business, and that's all -- that's what many of us have learned in our schools and colleges, that debt is good, some amount of debt is good.

But we definitely want to come down on the overall leverage, including -- we don't not only look at HPCL leverage alone. We also look at the consol lev

erage and get it. Once that gets more

comfortable, we will take the next wave of capex . We still are doing a reasonable amount of capex , but a lot of it is focused on marketing and some of the other areas right now.

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Amit Murarka: Understood. And just a last question on lubes. In the last call, I think you explained that you're looking to build a bigger consumer facing business for that. Are you doing any specific steps to do that? Or what are the plans on that front?

Vikas Kaushal: So yes, there is a -- we have a multiyear plan. It's been done by one of the leading consultants and we are executing on that. On ground, you will see, if you are noticing some of the recent cricket, you would see HPCL lubes just advertisement but that's a small part of it, that was more to just create a brand awareness, but we are also doing things like racer station, new car stations. These are places where we are starting to provide more services than just selling a bottle of lubes. We are introducing more of high -grade lubes, the synthetic lubes, we have sourced -- we've done some agreements with a couple of international players on those. We're also looking at expanding our portfolio into allied products like greases, etcetera. We have doubled down on our R&D around lubes so that we can tailor -make lubricants for specific, like mining equipment require specific grades of lubes.

So we are testing them in our labs and taking them to mining clients. So a lot of groundwork effort happening on those. And it's starting to bear result, in the next couple of years, we will see a much more stronger customer -facing FMCG brands in lubes from H PCL.

Moderator: The next question comes from the line of Sabri Hazarika with Emkay Global.

Sabri Hazarika: So I have a few small questions. Firstly, on the marketing front, I think -- I mean there isn't some decline in margins for diesel Q -o-Q, but there has been growth in the volumes because of the seasonality. LPG also improved quarter -on-quarter in terms of reduced losses. So still, I think if we do a back calculation, the total marketing earnings seems to have fallen Q -o-Q. So I don't know if it's like right way to ask it or not, but was there anything exceptional on the marketing side or that contamination affecting marketing, anything of that sort?

Vikas Kaushal: Sabri, 2 parts to that question. One, I think we did have -- when Mumbai incident happened suddenly, this was also a peak marketing season. So we did have a market -related impact on that. We were able to manage it, but -- and prevent any dry outs, etcetera. But obviously, you have to do extra movement and the product we should have gotten from Mumbai, we had to get -- do coastal movements. So there's a small effect of that, clearly.

Second, even right now if you see our portfolio, we sell more than we refine and those of you who track cracks would know that cracks were late 20s, early 30s or touch diesel cracks 30s also. So for a company which is more skewed on marketing, there would be a dampening effect of that definitely.

But then cracks have come back to normal levels right now. I would call them, Sabri, both has - - these are like more as business as usual, these things will keep happening up and down. So nothing majorly of diesel cracks went to 30, on that fortnight when we sourced the remaining product from others. Obviously, we paid more for that. So dampened slightly the marketing margins.

Sabri Hazarika: Got it. And secondly, on Barmer you mentioned that -- I mean, in your presentation, I think you've given INR79,000 crores of revised project cost. So is there anything further being like discussed with the government? Or this is the end of it?

Vikas Kaushal: I said that the only reason

I didn't give a specific number is because that's under an approval process right now. But I also said, when somebody said INR80,000 crores, I said broadly, it is in that range. Just the final...

Sabri Hazarika: Should not escalate anything from here?

Vikas Kaushal: No, that's not our anticipation.

Sabri Hazarika: Right. And last one small question. So Venezuelan crude dynamics, I think with Visakh bottoms upgrade project, do you see it to be an additional opportunity beyond the \$2.5 per barrel GRM increase?

S. Bharathan: Venezuelan group, apart from the bottom heavy are also having high viscosity and high acid number. So we will have some opportunities. We will evaluate as and when we can get offers, and we will take it accordingly.

Vikas Kaushal: Yes. So I think the good part is if Venezuelan crude is coming out right now, then having a RUF and also having Barmer, which has delayed coker and all, at least gives us an opportunity to evaluate and see. And as Director Refineries said, that's also not an easy crude to handle. It's a tough one. But the fact that we have that asset gives us that opportunity.

Moderator: The next question comes from the line of Saurabh Jain with HSBC. Please go ahead.

Saurabh Jain: Just speaking a couple of clarifications over here. When you talked about the LPG losses per

cylinder as on now, you gave us 2 numbers, that is INR35 per cylinder and then you expect it to go up to INR100 to INR120. So what is the broad expectations in January, do you think it's going to be INR35 and this increased price would be applicable from February? That's my first question.

K Vinod: Around INR130 is what is expected in January, because the Saudi CP has since gone up.

Saurabh Jain: Okay. Understood. So running rate is about INR130?

K Vinod: Okay. I'm sorry, I just stand corrected. INR95 in January and then INR120 thereafter.

Saurabh Jain: INR95 in January and INR120 thereafter, based on the current Saudi pricing. And on the inventory losses, you mentioned marketing gains of INR14 crores and refining INR540 crores was loss or gain?

K Vinod: Loss. Yes.

Saurabh Jain: That was a loss, right?

K Vinod: Yes.

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Saurabh Jain: The other question I had in mind, we appreciate that you're looking to kind of focus more on the customer end of things and renovating all of these retained outlets. What is the end goal? What is the desired benefits that you specifically see?

Because we are not in a business unlike the other B2C businesses where companies have a right to even charge higher prices from the customers for the experience they are providing. So that remains to be a limitation from HPCL point of view in my understanding. So I would want to be knowing more insight on that side. What are the specific targets when you renovate or invest more on the retail outlets?

Vikas Kaushal: So you go to a retail outlet, yourself and you drive your car. If every retail outlet on the street is of the same caliber then you have a choice and you might go on there. But if there are some which are better than others in terms of looks, etcetera, you will go there. So there is a big impact. Doing the renovation and modernization on the right retail outlets has an immediate impact on the volumes. That's point number one.

Second, we are looking at the business as it was done in the past where okay, people will come and only sell -- fill gas tanks and go away. This business is also changing. There are places where we are starting to put in chargers. There are places where we are starting to put in nonfuel retail. There are places where we are starting to do different things.

So a lot has to be fought on the forecourt in this business in the next 5 years. Just keeping the pumps, the companies which don't innovate -- first, you'll have to even keep pace, you'll have to do that

But whenever you do innovation, how smooth is your process when you come to my retail outlet and if you can pay through HP Pay, it gives you flexibility. Now I'll use a bit of time for -- airtime for marketing.

If you -- those of you who send your drivers to fill, sometimes you worry whether the driver is doing the right fill or not. If you're using HP Pay, you can actually directly keep the payment in your control and the bill comes directly to you from the machine. So those are kind of services that we provide. Obviously, we become a stronger consumer brand. So there is a -- I think there is a lot to be fought out there.

Saurabh Jain: Understood. But do you have a clear road map as on how many retail outlets would be renovating every year, how this percentage is going to grow? And any targeted market shares that you have in mind? And this is also be useful to kind of have things like loyalty discount and stuff, which can kind of help you retain your customers, make them more loyal to you.

Vikas Kaushal: Sure. We do have loyalty schemes. We are also working further. We do have a very fantastic app. HP Pay, those of you who have not used it, should use it and see the benefit it gives. You can trust us that we have a road map on the entire thing. And the only thing I would say is the road map and connecting it to market share, et cetera, I don't want to get into those Excel sheet calculations.

But wherever we do renovate, every single retail outlet, which is renovated, specific IRR is calculated for that. And post-renovation, we look whether that IRR is met or not. So there is

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obviously a lot of homework, which is done. It's not like a random exercise on it. There is an absolute road map on how many -- and we are not going to do renovations for all 24,000 because -- 25,000, because that's a huge number. But we pick and choose where we want to do.

Moderator: The next question comes from the line of Mayank Maheshwari with Morgan Stanley.

Mayank Maheshwari: Thank you for the great introduction. Just 2 questions. First, on Visakh in terms of the scale -up of the RUF unit. When do you think you can run to full utilization? And can you just give us an idea of what percentage of the HPCL group will basically be sourcing diesel after the RUF coming through and after the Rajasthan coming through in terms of -- coming from outside your ecosystem?

Vikas Kaushal: Mayank, thank you. Thanks for the question. As I said in the introduction, we are targeting a performance guarantee test by the licensor in March. Performance guarantee just means that they have to show the unit running to us at -- all systems at 100% utilization for a period of 3 days.

So basically, we are targeting March, where we will be able to run the asset fully on a continuous basis. That's the performance guarantee test. So that's the best outlook I can give at this point of time. We would get there. I think we are -- give or take a few days.

It's a complex asset, but I think we are in that direction because we are monitoring it on a daily basis what is happening out there. In terms of crude sourcing, yes, we would have a lot of -- sorry, diesel sourcing, we would have a lot of diesel. I think if I'm not mistaken, we'll be able to meet that 100% of...

Rajneesh Narang: With rough almost only leaving 14%, rest would be either HPCL or HPCL Group. And after HRRL comes in, entire HSD would be of HPCL Group only, except for MS, around 11% will be sourced outside.

Mayank Maheshwari: Got it. So one, Rajasthan plus MRPL, your stake plus HMEL plus HP all put together, you'll be pretty much completely neutral on diesel in terms of refining plus -- how much you are refining as marketing, correct? Is that right thinking?

Rajneesh Narang: Yes, with absolutely product security, yes.

Vikas Kaushal: Yes. except in our

case, because some sits in joint ventures or some of the margins will be captured there. But yes, from a product side, we'll be completely -- diesel, we won't need anybody's.

Mayank Maheshwari: So is it fair to say that from a market share perspective, obviously, you have lost a few basis points on market share on diesel this quarter and last quarter as well. When do you think that you can recover that fully back?

Vikas Kaushal: Yes. So Mayank, if you distill that market share loss, you would find because you look at diesel, but diesel is bulk diesel and retail diesel. So we actually have not lost share in the retail side.

And bulk early if you were close to the market in the last quarter, you will realize that bulk diesel in India has been going at a discount.

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So actually, shareholders or potential shareholders, you should be happy that we did not chase the volumes because we did not lose the value. It wouldn't have made sense to buy products from somewhere else and sell it at a discount. So our retail market share on diesel has also not -- it's literally if I'm not mistaken, it is higher than it is other 2 state-owned companies.

All the state-owned companies lost to Reliance -- the Jio-bp in this period, market share that is on the -- even on the retail side because they did some very aggressive pricing on the retail side. But we did not run the bulk diesel race in the last quarter because of the discounts.

Now if and when we have surplus diesel with us after commissioning and running of all these products, at that stage, we will have to take a choice of whether I sell it in the domestic market at the best price I can pitch, which is potentially discount to the retail prices or should I export that product. So I will have to do that optimization on a regular basis. But we did not lose market share on the retail side in the last quarter, at least amongst the OMCs.

Mayank Maheshwari: No, that's very clear. And sir, the second question was more in terms of LNG sourcing. I think the 2 deals that you have signed, how comfortable are you in terms of competitiveness of your LNG portfolio now versus what others are kind of signing in India because you are going to sell in external market as well. So where do you stack up your portfolio versus the rest?

Vikas Kaushal: So I think we have signed 2 deals right now. I would say we are in the infancy stage on that portfolio. Right now, I'm kind of fully covered with those deals because I can use that literally in my own refineries, but that's not what we are doing. In fact, for one of our references, we're currently buying from outside and selling LNG because we get more money on that.

The latest deal which we have signed, I'm not going to go into the numbers, but I have reasonable assurance that is one of the most competitive deals which have been signed in India. The Brent-linked deal, the slope is one of the most competitive in India. And we've been very aggressive in getting the right deal.

We will learn and we'll obviously sharpen it further, but very, very comfortable with the -- the first one is the Henry Hub deal, which is difficult to compare with the Brent because in some quarters you do better, some quarters you don't do better. There, we manage were trying to hedge at different quarters. But the second deal is one of the most competitive deals in India.

Mayank Maheshwari: Got it. And it is -- normally, it's going to be wet gas or it will be dry gas that's coming in? Can you share that?

Vikas Kaushal: Mostly, it is dry gas. I think -- I don't know the exact answer, but...

K Vinod: It's from the -- directly NOCs from their fields.

Vikas Kaushal: Yes. No, it's a dry gas only because if I'm not mistaken, it's only Qatar -- the RasGas, which is the wet gas. But I would say this is a guess. Next time onwards I speak to you, I'll give you an answer on this part.

Moderator: The next question comes from the line of Ramesh Sankaranarayanan, an Individual investor.

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Ramesh S.: Congratulations on your results. So can you give us the profit after tax in HMEL, just to get a sense in terms of how the petrochemical business has fared? And secondly, if you were to look at your depreciation run rate, has it stabilized based on the capitalization? Or is there some more assets to be capitalized for the full year FY '26 and FY '27?

K Vinod: HMEL, as our Chairman mentioned also in the core, they had a turnaround in this quarter. And for the 3 months of '25-'26, that is Q3, the PAT was -- it was a loss of INR94 crores. And for 9 months, it is a loss of INR18 crores.

Ramesh S.: Okay. And on the depreciation?

Vikas Kaushal: HPCL depreciation. What is your question, Ramesh, on the...

Ramesh S.: Yes. So based on the 9 months -- yes, sorry, yes.

Rajneesh Narang: Yes. Significantly, most of the assets have got capitalized, including the RUF units. So more or less, except for the fact that in case of this quarter's Q3 quarter, only 1 month depreciation would have come for RUF. Rest all is more or less stabilized.

Ramesh S.: Okay. So basically, the rough depreciation will be probably annualized from next quarter onwards, got it. So in terms of your CNG business on a stand-alone basis, when do you see that making a meaningful impact on your top line and bottom line?

Rajneesh Narang: See, we are gradually making the portfolio. And in fact, we are already making -- we are EBITDA positive as regard to all the CGDs are concerned. So the portfolio is increasing and maybe in a year or so, you will start seeing the significant impact of the contribution from this segment also.

Ramesh S.: Okay. So one last one, on HPCL LNG, when do you think it will become EBITDA and PAT positive based on the current utilization and future ramp-up?

Rajneesh Narang: You're talking about the terminal side or the gas side?

Ramesh S.: I'm talking about the overall HPCL LNG business.

Rajneesh Narang: See, HPCL LNG business, if you look at currently, our utilization levels are lower. Maybe in a year or so, the utilization level will increase and will become positive as regard. We have already EBITDA positive as regard the terminal is concerned. But to be cash positive, it may be a year or so.

Vikas Kaushal: And Ramesh, the way we look at it is for Chhara terminal is housed in a separate entity. The gas business is obviously on the parent entity. Our first endeavor is to get -- can we leverage Chhara to make more money on the gas side. So on the combined sourcing of gas plus Chhara, can we get EBITDA and cash positive very quickly?

Our endeavor is to get there very, very quickly. Maybe once there's a breakwater to be completed there, which is going to be completed hopefully in the next couple of months. Once

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it becomes an all-weather port, the utilization as Rajneesh ji mentioned, will go up. And hopefully, we'll get to breakeven on the terminal itself and the cash positive on combined business.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Vikas Kaushal: Thank you, Siva, and thank you all. If there are any residual questions, please send it to us. Our corporate finance team would be very happy to answer those questions. Thank you for your continued interest and continued probing because that keeps us honest. And every time we take away one or two new questions from the call, which we think about.

Look forward to connecting with you again in 3 months from now. Me

anwhile, if anybody has

individual questions, wants to have an individual chat with the management team, we'll be more than happy to have a discussion.

Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Vikas Kaushal: Thank you.

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Q4 FY '26 Earning Conference Call"
May 13, 2026

MANAGEMENT : MR. VIKAS KAUSHAL – CHAIRMAN AND MANAGING
DIRECTOR – HINDUSTAN PETROLEUM CORPORATION
LIMITED
M R. RAJNEESH NARANG – DIRECTOR, FINANCE –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. S. BHARATHAN – DIRECTOR, REFINERIES –
HINDUSTAN PETROLEUM CORPORATION LIMITED
MR. K. VINOD – EXECUTIVE DIRECTOR, CORPORATE
FINANCE – HINDUSTAN PETROLEUM CORPORATION
LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE
STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Hindustan Petroleum Corporation Limited Q4 FY '26 Earnings Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and zero on your touchstone phone. Please note this conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking Limited. Thank you, and over to you, sir.

Varatharajan S.: Thank you, Swapnali. A very good afternoon, everyone. It's my pleasure to welcome all the participants on this call and the top management of HPCL this afternoon for the discussion on the fourth quarter results. From HPCL, we have Mr. Vikas Kaushal, Chairman and Managing Director; Mr. Rajneesh Narang, Director, Finance; Mr. S. Bharathan, Director Refineries; and Mr. K. Vinod, Executive Director, Corporate Finance.

I'll hand over the floor to Mr. Vikas Kaushal for his comments.

Vikas Kaushal: Thank you, Varatharajan. Good afternoon, everyone. Pleasure speaking to you on this call. As you all know, we declared our Q4 and the annual results just a short while ago, and we thought this would be a right time to do a call early today itself. We wanted to beat you before your writing the first reports and asking questions.

We wanted to give you data so that you can write the informed reports. I -- before we start the conversation, I would say, like in the past, all the detailed results, investor presentations are both reported to the Stock Exchanges and also on our website. So we are not going to make a formal presentation like in the past, but I'll start off by talking for a few minutes about how we see the situation about our numbers, highlighting a few points and then remaining time, we will use for an open question-and-answer session.

So just to get started, we all know the turbulent times we live in. The geopolitical uncertainty is all around us going on for a fairly long time. The crude prices have gone high. And more importantly, they are very volatile, sometimes shifting \$8 to \$10 in a day. Product availability or crude raw material, LPG availability has been challenging with the supply chain disruptions. And forex, we all know has had challenges in terms of rupee depreciation. On top of it, being in a business which supplies energy to the millions of homes and millions of vehicles, we get very impacted by fears and perception.

So, in some geographies, someday, people think there is going to be shortage of fuel and then so many people turn up at the pumps, etcetera. So that's been the life we have been living in the

last 70-odd days.

Our focus as a management team has been in terms of a few things. First, really ensuring that the supplies are met. Our teams have worked incredibly hard to make sure whether it's LPG supplies, liquid fuels, all kind of supplies are met. The retail stations are working. The LPG is Hindustan Petroleum Corporation Limited

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getting home, etcetera. That has taken a lot of effort, but we are very happy that we, along with other companies in the sector, have maintained the supplies.

Second question which keeps on coming and perceptions which keep on getting, crude is going to run out. I can assure you that we, as a company and other OMCs also have fully secured the crude for a long period of time. And we are -- we don't see availability of a crude as an issue. Of course, pricing, we all know has been a challenge there.

LPG, there has been a very nice pivot in the country on LPG from a situation where we were very dependent on Persian Gulf on imports and those import sources dried out rather qu

ickly.

We've been able to increase domestic production. We have been able to increase alternate sourcing, etcetera.

And as we speak, we have a very good forward coverage on the supply availabilities. I can assure you, those of you who are connected with LPG cylinders, your kitchens are not going to go dry. You will get your cylinders in time. Of course, you'll have to wait for the 21-day cycle, which is the rule now. This has all required a lot of hard work.

And before I proceed further, it would be remiss on my part to not thank my teams in HPCL who have done incredible work over the last 70 days of this crisis. It takes a lot of toll to supply those cylinders and keep those pumps working in this situation. Also, I would call out a very good coordination between all the oil companies. We have not let each other down and anybody needs product, we have been helping each other. And also, there is a very active guidance and interactions with the Ministry of Petroleum and Natural Gas and other government stakeholders to ensure that there is continuous supplies of the product in the country.

All people have worked very hard to solve this. Of course, we hope normalcy comes back very quickly and some of us get some well-deserved rest and some chance to sleep. With that prelude, let me come to what you are waited or waiting for in terms of our views on the results. I'm excited to present the results. After every quarter, we have come and talked on this forum, talk to all of you.

And many of you have otherwise reached out and we have been very open in giving time and also very open in sharing our views and also listening into your feedback and suggestions. You'll recall by quarter 3, we had clocked INR12,274 crores as stand-alone profit. This was up 206% from last year. So, you knew we were on a good trajectory for the year. We carried that strong momentum into January and February also and locked in good numbers in both those months. In March, the crisis hit. Obviously, all kind of volatility happened. But -- and we had to take a lot of mitigation measures, both in terms of the physical aspects of the business, but also the financial aspect of the business. All I can say is team HPCL was very swift to react balancing actions with financial prudence. Now not all of those we will discuss on the call, but I would say every inch of effort was done and every ounce of energy was extracted to make sure we are balancing the supplies with also managing financial prudence.

It's not just for supplies, we are not letting go of all financial prudence there. You all know that our business has a lag effect. In March, we pretty much consumed the Feb price crude. So, this Hindustan Petroleum Corporation Limited

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mitigated the impact for March. And this, coupled with many other factors, have helped us in salvaging a strong performance and decent performance in March.

That, coupled with the January, February momentum, resulted in strong quarter 4 numbers. Our revenue for quarter 4 is INR123,000 crores, if I remember it correctly, up 4.5%. That was marginally because of the price increase in the -- some of the segments, the industrial consumers and also some volume increases. The PAT for the quarter is INR4,901 crores. It's up, if I remember correctly, 46% or something of that number.

I don't remember it offhand, but it's a reasonably large number. So, part which is exciting is when we look at the year as a whole. Our PAT for the year stand-alone is INR17,175 crores. This is 233% of the PAT of last year, so up 133%. And the previous best ever HPCL has recorded was INR14,654 crores or something. So, this is 17% higher than the previous best HPCL has ever recorded.

The consolidated PAT was INR18,047 crores. Two of our refinery investments, HMEL and MRPL contributing strongly, especially in the fourth quarter. We are excited about this performance. All through the year

, we have been talking to you very transparently about what we are doing and many things we are trying to do into our business.

I'll talk on that in a minute, but let me give what these numbers lead to. I think you would recall and many of you had questioned us on our debt equity for a period of time. We have been carrying high debt equity for a period of time. At the end of H1 of FY '25, our debt equity was as high as 1.63. At the end of the financial year, it had dropped to about 1.38.

But with this strong performance this year, it has dropped to 0.8. This is well below the guidance we had given to you at 1.1. And then towards the middle of the year, we have revised the guidance to close to one. So, we have managed to successfully deleverage for the last year, and I'll give you the breakups on how we think about it. What has driven this performance?

I once again say it is team HPCL, which has delivered this performance. And as a management team, we are very proud of our team, which has delivered this incredible performance. Going into some of the factors and of course, market momentum contribute to it, and there were -- the pricing regimes helped in the last quarter. Many of you were part of that : meet we have done, including the one where Honorable Minister spoke about it. So that has contributed, but there are 6 key factors in which the management drove, which have also contributed to the strong results.

First, our cost takeout program, Samriddhi. We all know that -- we've been talking about that in every call. We had given a guidance of INR1,000 crore, which we later revised to INR1,500 crores. The actual achievement for the year was INR1,691 crores, of which INR947 crores was onetime and INR744 crores, if I get the math correctly, are recurring. The recurring one have been baked in into our budgets for this year.

And onetime ones are interesting because it shows a sign of hunger that we are spotting those opportunities and grabbing those opportunities to improve the financial performance. The second key aspect was actually translating those savings into P&L. Sometimes we do these large

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programs show savings, but it does not show in the numbers. In our case, you can very well see in the numbers, and I'll just give you two data points. First, if you look at opex as turnover, in FY '25, we were at 1.54%.

In FY '26, we have come down to 1.45%. It's 0.09%, which on the base on which we operate is a phenomenal number to get in a year. We might have got even better, except for that March, a lot of extra costs had to be incurred for last-minute movements, etcetera. If I just talk in terms of opex per MT, in FY '25, the number was 1,438 per metric ton, and this has dropped to 1,344. That's the hard cash, which has been conserved in the business.

You can multiply it with a huge volume, and that's where the savings and the uptick on the numbers had come in. Third, we had a very tight control on the capex. Three, four aspects. First, we obviously had RUF and HRRL in full swing. So that capex, we were funneling all the capex, which was required there.

But we had curtailed and phased out a lot of other capex. And on the curtailment also, we went very slow on the capex in the first 2 to 3 quarters of the year. It's only towards the end of the year, we allowed some of the, what I would call as discretionary or less important capex. This allowed us to carry or lower our debt throughout the year and also be very prudent in where we spend the capex. Fourth, very tight management of borrowings.

March 31, 2025, we were INR63,323 crores on total debt. This was on stand-alone, not consolidated. March 31, 2026, we have dropped it down to INR47,599 crores. That's an incredible drop. And there are 2, 3 reasons behind that entire thing.

Later on, we can talk about the short-term borrowings, long-term borrowings, w

hich is there.

But from my vantage point, very astute working capital management is one of the reasons behind it. If I remember my numbers correctly, we probably shaved off around INR8,500 crores from our working capital between the last year-end to this year-end. That obviously lowers the borrowings. And then as the crisis went out, our teams were very sharp in managing the situation, including things like how much credit we have in the market, managing to get hold of that and significantly reducing the outstanding credit, et cetera.

All the steps which are in management's control were exercised. The fifth element was lower interest. Last year, we carried an interest of INR3,914 crores into our P&L. That dropped to INR3,337 crores during the year, literally around INR600 crores less. This is lower due to two counts: one, lower debt burden as we started performing better, we started lowering the debt;

and second, we took actions in specific refinancing of debt, lowering some of our -- we managed to lower our forex exposure by maybe \$250 million, \$300 million during that period. All of that helped in tightening the numbers towards the end. Last but not the least, very strong operational performance, refining best ever. Both our refineries put together produced more than 26 million tons, highest ever, 3% growth over last year. And on marketing, it was 51-point-something of sales. You can see it in the investor presentation, again, a 3.3% growth. All I would say is during the year, we focused on growth on profitable segments. We did not chase growth at all costs. So, our growth numbers might be tad lower than what you would see

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for others, but that was a very conscious call of not chasing volumes, but chasing valuable growth. These steps are a culmination of a lot of hard work by the entire team. And over the year, I've seen the team push the boundaries on multiple dimensions. Once again, I'll thank the team for all the effort there. I'm sure there are some updates you would want to know before we throw it open for the progress. Let me preempt some of the questions. You would surely have a question around RUF. We had commissioned RUF on 3rd of Jan. It is progressing in stabilization, but at a slower rate than what we would have anticipated. We did have, I would say, a situation where there was a clogging of catalysts in the vessel, so we had to take a shutdown, restart it, etcetera. We are learning how to handle that big piece. The unit is now, as I speak, back on stream and now it is ramping up fully. We are expecting full ramp-up in the next month or 2. And it's already giving smaller benefits to us, but I would expect more incremental benefits to start coming in towards end of this quarter or early part of next quarter. So from a financial perspective, it is not accretive in the numbers. Those of you run Excel sheets very passionately, you can take that block and say that is going to come over and above the numbers which we have delivered there. I would expect the numbers to kick in, in quarter 2. On HRRL, you were aware that we were very close to commissioning or getting the project started with an event scheduled for dedication to the nation on 21st April. Unfortunately, there was a fire on 20th, happens in these businesses. As we reported to the Stock Exchanges, there was a vacuum residue leak in the CDU unit, which caused the localized fire. Thankfully, it was brought under control very quickly, and it was very localized. Just for context, it impacts 6 heat exchanger bays in the refinery. And last time I was asking, the refinery -- was telling me that there are at least 600 to 800 such heat exchangers in the refinery itself. So it's a very small portion when you see on the map, but obviously, it delayed the kickstart of the thing. The good thing is that it is getting back on feet. Other units a

re in the commissioning cycle. We actually have produced and sold LPG. In the trial runs of CDU, we have run at least 1 VLCC of crude already and produced intermediates. And hopefully, in this month, we would start producing diesel and MS and CDU will also be back on stream. So, we are hoping towards that and aiming towards achieving a COD on the project shortly. Initially, the refinery would operate at around 60% capacity. We are expecting that run in June itself. We have ordered crude, etcetera, accordingly. And from quarter 2, we are expecting the refinery section to ramp up fully. And then slowly, we will add petchem. Anyway, petchem right now under control order, we have to produce LPG rather than propylene downstream. On Chhara, which was our third project, we were able to complete -- or the port was able to complete 90%, 95% of the breakwater. I think around 1,800 or 1,850 meters of breakwater has been completed. About 100 is left. With this, we expect the permission to run the asset at full capacity for 10.5 to 11 months of the year, barring the peak monsoon season. For running a peak monsoon season, we need to do the remaining 100 meters, which now can only happen early part of next year or

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early part of the post monsoon cycle. But we are starting to bring in more cargoes. Of course, right now, everything is disrupted with the supply chain. Last update on the project side, 2G ethanol, which has been going for some time. We have achieved mechanical completion by 31st March, and we are hoping to start that project in the next 2 to 3 months. It will be a big -- it's technologically a big challenging project. So we don't expect massive value accretive from a financial perspective. But nevertheless, it will be an important project to start. Just closing out on the forward-looking views. Quarter 1, we expect it to be very tough. You all

are aware of the situation. The crudes are very expensive. Product prices are low and everything is quite volatile.

As of where we stand, there would be losses in the first quarter. Enough of that has been said in the public domain. I think just yesterday at a seminar, Honorable Minister of Petroleum and Natural Gas also talked about it. And earlier in the week, Honorable Prime Minister also talked about the fact that oil companies have been under stress given the current numbers. The numbers would depend on multiple factors, and we are not going to give any guidance on this because it's just too volatile to give a guidance.

As a management team, we are very focused on the controllable aspects, mitigating the impact where we can maintain the supplies and also getting ourselves ready so that we bounce back very quickly when the business environment turns around. What gives us confidence is our balance sheet strength.

We are -- a strong financial year improvement in the balance sheet gives us the headroom to fight the current situation. Even as we manage that, we are steadfast on our agenda for the next financial year. We have been talking to you on these things, but I'll very quickly in a minute or 2, just talk about it and then open it up for questions.

Samriddhi 2.0, we had said that we will give guidance in the first call. We have withheld that guidance because in this volatile environment, we find very uncomfortable to pin down the number there. However, we are focused on this. The first wave of Samriddhi, we had done in-house. For this wave, we have selected a consultant because we are now getting on to hard to achieve a section.

But hopefully, in the second call, we'll be giving you a guidance on what we are looking at. But I want to leave everybody with a message that we are going to continue on the cost journey. And once the whole turmoil settles down, we'll get back on to the cost reduction curves again. Second, on digital front, we are making considera

ble progress, driving towards efficiencies, capturing in the efficiencies and ease of work. A lot of parallel initiatives are going on, and you would see leapfrogging of HPCL on this front.

I would encourage you to start visiting some of our refurbished retail outlets, and you'll see that slowly we are starting to make a difference. On the refinery side, HRRL on getting on board, getting it stabilized is one of our topmost priority and then getting petchem rolled on. And RUF, we need to start getting in the benefits, and we are confident that having gone through the Hindustan Petroleum Corporation Limited

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learning curve, we will get to the benefit soon. The next area we want to talk about is trading or buying of products and selling of products. That has been an increased focus for us over the last few quarters.

We have diversified our crude buying. We have brought in flexibility. We have brought in a lot of agility. Many of that INR900 crores savings actually came in from some of these smart moves on trading. So, we are gearing up and also gearing up a bit towards product trading because there will be times when we will have surplus products.

Retail, we are already on the path of strengthening our brand. We had launched Abhyuday last year. It did not give us as much of Thru'put increase, but it gave us a lot of learning. Having learned from that, we have launched an Abhyuday 2.0, where we are now learning from what we could not achieve last year, we are aiming to achieve that this year.

And in line with our capital cycle coming to an end, we are increasing our focus on renewables and gas and making sure both the investments we have made are paying for themselves and also thinking of the next wave of investments.

Also last point, coming to close on this capital cycle, we are starting to think of our next 5-year agenda. Just to conclude, over the last year, we have started aggressively on our transformation journey. We have taken many initiatives. Some have succeeded, some have failed, but we have learned in this. We have demonstrated our capabilities to all hard-nosed critics like you and the external world, but more importantly, to ourselves because the moment we know of our capabilities, we can win further.

The team HPCL has an hunger and desire to win, and we will hope to continue this strong performance. We are on a strong trajectory and confident on delivering to our shareholders even despite all the crisis with us. Thank you for your interest in us. Before I open it to questions, I also want to take this opportunity to thank my fellow Director, Rajneesh-Ji. Many of you have heard his voice.

As some of you might know, he's superannuating after a long tenure in HPCL, including many years at the helm of Board of HPCL. Many of you who have followed HPCL for a long time, remember his INR40,000 crore EBITDA slide. Well, I was joking with him earlier in the day that we have reached INR34,381 crores as consolidated EBITDA, which is a fitting tribute to

his contribution to HPCL.

With that, let me thank everybody for their participation, and we will throw it open for questions.

Moderator: We have the first question from the line of Probal Sen from ICICI Securities.

Probal Sen: Congratulations for a very strong set of numbers. I hope I'm audible.

Vikas Kaushal: Yes, Probal.

Probal Sen: Sir, just a couple of questions. Firstly, on the supply situation, you did mention that there's no need to sort of -- you are fully secured for a comfortable period of time as of now. Just wanted, Hindustan Petroleum Corporation Limited

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if possible, can any granularity be shed in terms of which are the sources that we are sort of tapping at this point of time? And from HPCL's perspective, any time period you want to attach to for how long we are secured? I'm assuming, of course, that the conflict continues to drag on throu

gh the first quarter as well, then how are we placed and what are the geographies we are targeting for alternative supply?

Vikas Kaushal: Okay. Probal, any other question or...

Probal Sen: I have a couple more, sir. Yes, yes. So the other question was, did inventory gains actually help the numbers this quarter? And if so, if it is possible to quantify? And the third question was what was the LPG loss? You've given the net negative buffer. Just wanted to understand the LPG loss that was there in this quarter. Those were my 3 questions.

Vikas Kaushal: Sure. Thanks, Probal. As always, given the early bird price, this time, we have to send you a nice hamper for that. But on the supplier situation, see, dial back to February of 2026 when there was no crisis, what would be the crude I would have secured? I would have secured crude for 2 months of running.

That's all I would have secured. Of course, we would have had term agreements and we would buy spots there. So at no point of time -- let me say, barring a few days here and there when markets were there, but for most period of the time, we have been having 2 months outlook for crude all the time. So the normal situation, which I have had on crude prevails. The challenge has been that in the past, we were relying, say, half on term -- I'm just saying half as a figurative number not to be quoted exactly an Excel sheet.

But we were relying on half to term contracts and half on spot. Of late, given the challenge that a lot of term contracts were from Persian Gulf, we had to rely a lot more on spot cargo. So we have to do our spot purchases a lot more frequently.

But at no point of time, except for the first 3, 4 days of the crisis in the first week of March when there was the shock and of what was happening where we not covered with roughly 2 months of inventory, which is normally what we carry, 2 months of secured supply. And right now, we are already in the market starting to lap up cargoes for July, and we are getting enough cargoes. So the cost is more expensive. In terms of geographies, well, this was not a time to be either optimizing the crude which you could run in your refinery, and that probably also impacted our GRMs to some extent because in neither situation, we would have run a particular mix of crude. But right now, we were running crudes which were available rather than which were the most optimized for. So we have not bothered a lot on geographies which we are looking at. But if I just give you broad trends, pre-crisis -- give me one second, I have that number written somewhere.

Pre-crisis, we were buying obviously a lot from Persian Gulf and of course, from many other places also. But post the crisis situation, a significant amount of Russian crude also came into the picture. And in fact, very early in the cycle, we picked up a large chunk of -- all OMCs together picked up a large chunk of Russian crude. So things like Iraq has gone down very considerably. Jan, Feb, we ran a lot of -- on those months, 20%, 25% of my purchase was Iraq.

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It has gone down considerably because nothing is coming out of Persian Gulf. On the contrary, Russian crude was available in the market on seas that was procured. And there was a lot of other crude, even African crudes went up during this period. Some of -- we also got crude from U.S. Some of you would know that we even picked up a cargo or 2 from places like Venezuela. So that's the broad shift in the numbers which we have had. I hope that answers your question. On LPG, to be fair, it shifted from a lot of term contracts in Middle East to actually a lot of spot cargoes where at the times, you were even buying spot cargoes on the sea in the market where you're less worried about whether it was coming from geography or geography, but more on when it can reach my shores.

But that shift has definitely moved a

way from Persian Gulf to other locations. Now parts of that world is also registered and some of the gas from Persian Gulf is also coming out in different forms. On your second question on inventory gains, maybe I'll ask Director of Finance to give his opinion.

Rajneesh Narang: Yes. Yes, it's true that there were elements of inventory gain, which are sitting in our books of accounts. But to be realistic, considering the fact that there have been so much of volatility plus the accounting adjustments because of the NRV reductions and all. We would not like to share the numbers once the stability is there as regards the pricing and it returns back to normal. I think that would be the right time for us to share the numbers so that you can accordingly put it in your model.

Whatever numbers I would give otherwise would lead to some incorrect adjustments in your model. So I'll refrain from giving the inventory gains or losses numbers there. But coming to your LPG under recoveries, the full year under recovery was around INR5,200 crores. And for the quarter, it was around INR1,350 crores. But against this -- not against this, but we have also got around five installments of the LPG compensation totaling to around INR3,300 crores during this period -- in this current financial year.

Moderator: We will take the next question from the line of Nitin Tiwari from PhillipCapital India.

Nitin Tiwari: So, sir, there have been a number of figures which are there in the market in terms of the kind of combined losses that all marketing companies are currently incurring, a broad ballpark is around INR1,000 crores. I just wanted to understand what's that number for us in terms of a daily run rate of a loss. That would be my first one.

Vikas Kaushal: Yes. Thanks. I think that's the question on mind of everyone. But as I said in my opening remarks, we are not going to give a forward-looking guidance on this. I'm also fully aware on what kind of numbers, we read the press every day.

I think Honorable Minister from the podium at a CIO conference yesterday talked about a directional number for all the OMCs there. Obviously, he does not know the exact numbers which we have because being listed companies, the numbers are with us only. But all I would say we are incurring losses right now, and we are doing our best to manage the losses there. And what could be the order of magnitude is known. And I'm sure at the right time, right decisions would be taken.

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But we will not be giving a forward-looking guidance because being a listed company, being financially responsible, it becomes very risky to give a guidance in a volatile environment right now, like we have right now.

Nitin Tiwari: Fair enough, sir. I'll take that. Secondly, sir, my query was with regards to procurement and days of inventory. So you said that like you mentioned about crude that we have covered for coming 2 months. So what's the situation with respect to key products?

How much of product inventory are we holding as of now in terms of days of holding for petrol and diesel and also for LPG, if you can help us understand that? And secondly, on procurement front, when we are reaching out in the spot market, so is that through traders? I mean, how does that procurement work? I mean, do we have basically a say in terms of which geography we are going to procure from or it's just a tender floated out for a trader to fulfill irrespective of where it is getting fulfilled from?

Vikas Kaushal: Yes. I think on first point on days of inventory, let me keep it very simple for all of you. At a macro level, the supply chain on liquid fuels is roughly moving similar to what it was pre-crisis. What do I mean with that? Pre-crisis, I always book -- if I was sitting in middle of May, I would be booking July cargoes.

That is what I'm doing right now. I have my June fully covered

. That is -- for Vizag, we always

had 45 to 50 days fully covered. And for Mumbai, we would have 30 to 35 days covered because that was a typical cycle. All through this period, barring a day or 2 here and there, we've had this fully covered, and we are very comfortable on the crude supplies.

We don't see an issue on the crude supply at all. LPG, there were challenges there, but with the passage of time, doing multiple things and also best management at the country level on LPG by increasing production, managing or directing the supplies and also some amount of demand dampening, that situation has been managed. And there is -- on a daily basis across all OMCs, across the ministry, we look at coverage. Are we comfortable? We are very comfortable on the coverage we have for LPG available with us.

There is going to be no shortage in May. There is going to be no shortage in June. And as July comes in, there is going to be no shortage in July also. We are -- that's -- anyway, we always

looked at 45 to 50 days there. On the product availability in my supply chain, that's roughly similar to what it was.

I would carry sometimes -- if I remember correctly, 30 days roughly, I would carry. And depending on where I'm on pipeline or off pipeline, that not vary. But if I look at the quantum of inventory we are carrying, barring the operational variations, which would happen some days, it could be a few higher or lower, we roughly have been carrying the same inventory from the product perspective. So, nothing much has changed on that, except prices.

Nitin Tiwari: Understood, sir. And on the crude procurement front, so why I asked that question is that because there are a number of reports which have indicated that there's almost 11 million barrel per day shortfall of crude oil production globally. And I mean, the procurement actually is a function of both time and the shortfall.

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So while like a deeper shortfall in a short period of time is manageable, but as time progresses and if the shortfall continues, incremental procurement can get difficult. So I just wanted to understand that when you're procuring crude from the spot market, how is it like -- how the value chain works? I mean you reach out to a trader or you reach out to the market directly, how does it work? If you can explain that, that would be helpful.

Vikas Kaushal: I think I'll again repeat what I've said twice in the call that we are fully covered for crude as a company. And as much as I know about the sector also, we are covered on it. In our earlier calls, we have been saying that we buy crude from 41 different countries. And that count might even -- this is only HPCL. Other companies might be buying from another market or as a nation, we buy that.

Any year, we run multiple -- in our refineries, we can run anywhere close to 180 to 190 type of crudes. And it's not that crude has disappeared from the market. Enough of that is available. So there are multiple processes for buying crude. There are term agreements which we have. We've been doing as a firm also. Even in this current situation, there are some term agreements on which crudes are coming. If I had a term agreement with any African country, that is not impacted by this thing. If I had a term agreement with a South American company, that is not impacted in the current crisis. That crude is coming.

Then there are spot cargoes, all kinds of spot cargoes, which come in. Some as you said, we buy through a tender. There are some -- when you go to market, there are different ways of inviting things. So as and when we have a need and roughly once a week, we go into the market, those of you who are close to the trade can look at Kpler data and all those kind of things, and told we have every transaction. Sometimes you do a transaction and next day it is reported in the press what price we bought it.

A lot of people, generalists have nice ways of getting it. But if you track Kpler and all, you can figure out when do we go to buy, vendors IOCL go, vendors BPCL, vendors Reliance go to buy. All of us have been going very regularly. All I would say is the instances on spot has increased right now because like we had some term contracts in Persian Gulf, which are not able to supply consistently right now. Hence, we have to buy a lot more from spot.

But that's not a part of my business I get really worried about. Of course, we are very -- we keep an eagle's eye vigil on it because any movement up and down, we even try to time out, should I go today, if something going to happen tomorrow. All those things we try to do to mitigate the impact. But I don't worry on the supply side of it. As I said, twice I said, 3 times I now said on the call, we are fully secured on the crude supply. We are very comfortable on the LPG supply.

Moderator: We will take the next question from the line of Sarthak Tita from DSP AM.

Sarthak Tita: Yes. Congratulations to the team for the good set of numbers. I just had a couple of questions, both revolving around capex. So, sir, you highlighted on the opening remarks that capex you have curtailed a bit in this year. And if I see the presentation, we have maintained the number of around INR77,000 crores for the 5-year period from FY '24 to FY '28.

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So -- and in FY '26, I believe we have disclosed that we have spent INR15,700 crores. So all these numbers also set aside and the current volatile market in Q1, also you mentioned the weakness, how do we see the capex going forward? Is -- will there be a significant downward revision because I think that will be warranted. So how should we think about that?

Vikas Kaushal: Yes. I think all good managements will respond to the stimuli, which come from an external environment. When I said we had curtailed capex last year, maybe it did not show much in the

numbers, but you won't know what our internal plans were. Maybe they were higher, they were brought it down to a level. And overall numbers also do not show at what point of the time in the year I spent because that also has an impact.

And third, we should not forget that we were already committed to a large capex stream, which is going. Now forward-looking, if I look at where I'm today, obviously, I'm spending on HRRL, whatever needs to be spent to finish that because I have to commission that project. So whatever capex has to go in there is going there irrespective of what else is happening there. But wherever I have discretion on starting a new project, I'm taking a pause and saying, okay, let's come back to this decision after 8 weeks or 12 weeks. A lot of our capex, as you can know from a breakup is things like modernization of our retail outlets.

Sometimes we have a pipeline to lay, sometimes we have a depot to renovate. Sometimes we have to do a renovation in an emergency because there's a safety thing. So if there is a safety emergency, we are going ahead with that capex. But if there is a discretionary thing that, okay, we have a choice to start that renovation 3 months later, we will postpone that decision. So those are judicious calls the management team is taking.

As of now, I think I don't remember the number offhand, but our projected capex for this year is slightly lower than last year, but that does not mean that we are wedded to that number. If war ends tomorrow and we get into a boom cycle, we might do more than that. But if the war continues for 3 more quarters, we obviously will do less than that. That's the response strategy I would have on this. Having said that, every committed capex and anything which is run towards completing our past capex is being incurred as we speak.

Sarthak Tita: Understood. Sir, fair enough. This was a very elaborate answer. Sir, secondly, o

ne small

question. You mentioned about the incident at Barmer and a very few number of units that were impacted.

Any extra capex that we had to incur due to this or that will be very small figure?

Vikas Kaushal: I just said 6 heat exchangers in a refinery, which has 600 to 800 heat exchangers and thousands of other things was impacted. There was a small amount for refurbishment and there will be some amount of, I think, insurance claims and all those kind of things around it. So it's -- even if there's a minor thing extra, it will be a rounding of error in that entire thing.

So, it's not -- it's a very localized thing. It's just that when the physicality of that happens, you have to take some -- there is some time of downtime, which should be there. And unfortunately, for us, it happened on a day when -- 1 day prior to the inauguration of the plant, which was unfortunate, but we have to live with that. We will be bouncing back very soon on that.

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I said earlier, and we have given it in guidance to stock markets and the stock exchanges that we hold the guidance which we have given to stock exchanges. And if there is any further update on this, we will duly inform the stock exchanges. As of now, I would say we have visibility of coming out with -- if I remember the exact words, we have said in the second fortnight of May, we will start producing some products from the refinery.

Sarthak Tita: Okay, got it. This was helpful, sir. That's it from my side, yes.

Moderator: We will take the next question from the line of Mayank Maheshwari from Morgan Stanley.

Mayank Maheshwari: Can you just talk a bit about in terms of crude sourcing, what you are seeing in the market, you can be generalist. You don't have to be very specific to HPCL. But can you just give us an idea around when you're going in the market today to source crude, what kind of premiums, insurance, freight costs, how they have moved over the last few months? And how are you kind of thinking about that now managing it as you're sourcing for July?

Vikas Kaushal: Yes. Mayank, I think that's a good question. At the highest level, I would say, in every element, there is a volatility in it, whether it is price, whether it is even insurance premium. Just to give you an example of insurance. Obviously, insurance premiums have gone up.

That's a known fact. Earlier, we would have taken a long insurance policy. Now sometimes you have to go cargo by cargo on some specific insurance policies. So that obviously increases the times involved. Then there is some movement related aspect, especially anything coming close from Middle East, you have to be doubly sure on movement.

You have to keep track of movements. Of course, things coming from other sites are actually moving quite normally. When we go to spot, are we seeing lesser number of cargoes? I don't think we are seeing lesser number of cargoes.

Obviously, there are certain grades which are not available because they are curtailed or they are very little available. But in a particular inquiry, 40 people would have participated earlier, actually, roughly around same number of people are participating. In terms of quotes from the people, we definitely see a lot more variation. In the past, the quotes would have been, say, if the delta was x earlier between the highest and the lowest. Sometimes -- these times, there are

3x deltas.

What also happens, Mayank, in this is there are times when you can actually be very opportune on this. It happened with us last 2, 3 weeks ago, we were -- we sourced a particular cargo. Just as we finished the internal approval on that cargo, an event happened outside where we immediately thought prices will fall down. Our team reacted immediately. This was after we had given the formal approval and approved.

And with the same parties, they could negotiate a discount, a signif

icant discount, a good single-

digit dollars in terms of discount. And that's obviously need savings. So the need for agility in cargo buying has definitely gone up. So even as a state-owned enterprise, I can't always say that, oh, I will set back into my process, I will give you a tender, you give me a response after 24

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hours. We've had to change processes where our decision-making body is sitting right while our trading team, just behind the trading team and giving them a decision on the spot.

So that's the kind of reaction and agility, which is needed. I think in moments like this, agility also gives you opportunities. And wherever possible, we have tried seizing those opportunities.

I don't know whether I answered your question, but that's how I see the market. If there are more specific details, we'll be happy to put you in touch with our trading desk for further questions.

Mayank Maheshwari: Sure, sir. Sir, the second question was more related to, and this is what you talked about, I think

Parikalp, which is the Digital Ascent thing that you put it on your slide pack. I think you have been -- I think 1.5 years, 2 years back, you guys talked about on AI and now you're talking about generative AI in your processes. Can you talk us through how you're kind of getting it through?

What is the story that you're kind of pushing?

And what has been the impact in terms of cost savings, if at all, you are even thinking about these things in terms of the cost saving focus that you guys have?

Vikas Kaushal: So thanks. Let me just -- I'm trying to figure out which specific slide my team has sent.

Mayank Maheshwari: It was 41, Slide #41.

Vikas Kaushal: Okay. Parikalp. Okay, Parikalp has been...

Mayank Maheshwari: On the right-hand side...

Vikas Kaushal: Next time, we will give you an updated version of this. My apologies, we should have had the latest version on this. In some ways, Parikalp was the program which HPCL ran for a long period of time. And obviously, we did some amount of movement on digital front. In the last 6 to 9 months, while we have not changed the name of the program, actually, we have not even given it a new name.

We have reenergized our digital effort. So, what did we do? There were a lot of different initiatives which have been done, some good, some not so good. We have done a big SAP change rollover from legacy system into SAP. So, a lot of things have been done, but we got one of the best consultants to work on a North Star for us and give a very deep assessment on where we are.

This happened in the last, I think, third quarter of the year or fourth quarter, somewhere around November, December. They have looked at all our business and given us a frank as an assessment and a road map ahead.

Parallely, we have formed a large digital transformation team, which reports to Director Finance and me, basically sits centrally. It has now been augmented to 35 people. We have handpicked people from across the place who are now tasked in a 3-year time frame to move forward on the digital initiatives so that there is a central coordination of all the digital initiatives. What are the themes we are doing? 3 or 4 themes we are doing.

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One, bringing in digitization, automation in many parts of our business. Like I'll just give you an example. Many of you would know that about 85% of our retail outlets are connected real time with our central service. We have a system where we can actually see how much petrol or diesel is in filled from which nozzle and which of my retail outlets. I can see that sitting in my office actually, if I want -- if I have that much of time. However, there were two things we are doing. We are not leveraging that data enough.

And second, we have got stuck at 85. Now just to give you a theme, one th

ing we have said in 2

months, let's get it down to all the legally operating -- by legally, I mean to say there are some

places where you have disputes with the pumps. But anything which is kosher in our system, we are connecting it immediately. Second, we have formed in a team which is looking at data there. Now you can imagine in this current pricing regime, there is proliferation of diesel from retail outlets to industrial customers.

We are catching those guys using data. Every evening, the reports are published, mails go out. Sometimes dealers are asked for show causes, sometimes they are suspended. If we find they are doing transaction which is larger than what a retail outlet -- my system can configure, oh, if it is greater and so much liters is filled in, there is a challenge in that.

That's an example which we are doing. So saturation, completing the setup is one thing. Second, there are parts of our system which are not connected by IT. Like our supply chains are not fully connected by IT, some terminals, et cetera. I can't read what is the capacity on all my tanks directly.

I can read it at the terminal, but there are -- so those kind of interconnectivities we are doing.

Third, we are using technology to drive in efficiencies. And I'll give you an example from our refining setup where in many of the units in the last 12 months, we have done the RTOs and APCs as they are called, real-time optimizers, those kind of stuff. And in some cases, we're getting 0.5% yield extra.

Till last year, we had done pilots in both Mumbai and Vizag refinery. This year, we have decided that every single unit where we want to put RTO, we will put it in this financial year. We will saturate it this year. And HRRL, once it gets steamed, we will also get on to that. That's the third theme which we are bringing in.

Fourth, obviously, in line with the world where do we use AI, generative AI. Again, a real example I will give you. We have a vehicle tracking system where 30,000 of our trucks, which go on the road are tracked every day. Now it is not -- they give us -- if it stops at any place, if it goes off route, it should give an alarm. We were getting 80,000 alarms a day. Obviously, nobody is doing anything with the alarms.

But using AI systems, now we have managed to get it down to a few hundred real alarms a day. That's an AI tool, which we have put in. So that's just as an example, we are doing procurement, we are trying to use AI. So you can say agentic AI use cases, et cetera. And we are also leveraging the power of our people.

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We are running, as we speak, organization-wide hackathon where our youngsters are participating in some of these things and creating those. So it's a holistic program. So next call, we'll give you an update on the Parikalp. We might even give you a new name for that. But it's a lot of effort. Part of it is catching up. Part of it is leapfrogging.

Mayank Maheshwari: That's very clear.

Moderator: We will take the next question from the line of Sumeet Rohra from Smartsun Capital Private Limited.

Sumeet Rohra: Sir, firstly, I would like to congratulate you and your entire team for an absolutely stunning performance in an extremely tough environment. So great show, sir. And I would also like to talk a few good words about our Director Finance, Mr. Narang.

I mean it's been a real honor and a pleasure interacting with him over a decade. So sir, thank you very much. It has been a real honor for all our investors and analysts, talk to always speak to you at conferences and on analyst calls. So, sir, thank you and wish you all the very best and for a great future, sir, after you are superannuating. Now sir, coming to just a few questions which I have from my side.

So, sir, firstly, this government has known to be a very proactive government, as you know for the conference we had in last S

eptember as well, where our Honorable Oil Minister spoke very clearly talking about bold initiatives.

So, sir, do you think that probably the time has come wherein there could be a possibility that we could go back to something like what we were in the past, like a daily kind of a pricing mechanism or something of that sort? Sir, secondly, there has absolutely been so much of noise in the media about this INR1,000 crores figure.

But sir, is my understanding correct that a substantial part of this INR1,000 crores would be the LPG part, which is actually the running account of the government and not necessarily borne by the OMCs. So is my understanding correct on that as well that the LPG losses are the ones which are contributing substantially towards the INR1,000 crores figure, if at all, so it is, which is quoted in the media.

Sir, my third question, sir, is on the Barmer refinery. Now the fact -- a matter of fact is that we are ramping it up. So our dependence to buy product from third party would start coming off very sharply. So can you just throw some bit of highlight on that. And sir, just one last point as

our Honorable Oil Minister even yesterday spoke about that he interacts 1.5 hour daily with all the CMDs of all the oil companies.

So sir, what is the general thought process? Because even today, the RBI governor has spoken about fuel price hikes happening. So what is it that the government is actually contemplating in terms of pricing? Because they are a very reformal government. So I'm fairly confident that they will take the correct measures.

But if you can just share some thought on that, it will be very good, sir.

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Vikas Kaushal: Thanks, Sumeet. That's a lot of questions. I'll have to take my memory to remember all, but if I forget, you can remind me. I think let me start with the last point, which is there. See, obviously, as Honorable Minister said on the stage yesterday, there has been a very active coordination across OMCs across all the sector companies with the government, and this does include a daily meeting at least 6 days a week, if not 7 days, to look at things.

We obviously discuss all the situations, what problems we are having, what issues all there. Now what the discussion forward-looking is, I'm not going to discuss in this forum, not fair for me to do that. But all I would say is, again, I'll draw from what is in the public domain. The Honorable Prime Minister said that the companies are facing the challenge of it. I think RBI Governor also, he was speaking at a conference today, he was on television about a couple of hours ago, spoke about it.

Honorable Minister spoke about it. I think there is a recognition. And to be fair, the OMCs have withstood the shock to the economy at this point of time. Now whether the shock is -- yes, there is some on account of LPG losses also because LPG was very scarce commodity and prices were very high. To be fair, there are losses on liquid products also because crude, which we were buying at \$60 in terms of dollars, \$60, \$65 3 months ago or 4 months ago, is easily touching \$100 at times \$110, \$120.

So crude has gone up by 70%, 75% on what we were buying earlier or \$30, \$40 in absolute term. So it has obviously impacted the product prices, the realization product prices also, which at times depending on source, refinery efficiency and other things can be significantly in negative itself. I think everybody understands the issues, and I'm sure right decisions at the right time would be taken, balancing all those factors. What those decisions are, not fair for me to comment on this.

The only thing I would say is I think you were part of that group when we had that meet in Mumbai a few months ago. And both the then Secretary, Mr. Jain and the Honorable Minister, actually both from the stage had talked about the fact that they understand

the dynamics, and

they had encouraged everybody to look at the sector as a long-term sector, not as a short-term spike. So just in the last 3 quarters, there were enough people who were saying, oil companies are earning more than what they should be earning. This quarter, they are earning less than what they should be earning.

But hopefully, life -- from a longer-term perspective, life would balance out on those. On the more operational question on Barmer product and all, yes, once all those things stabilize, depending on how fast diesel grows, we do expect HPCL's dependence on outside products to reduce.

It won't come to zero because there are obviously exchanges we do with other oil companies, and there are some packets where because of the configuration we will need. But there will be times when at least for the next few years, we'll be potentially surplus with diesel, and we are working on plans on how to utilize that.

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Of course, if the economy grows faster and diesel grows faster, we'll be able to absorb it in India. If not, we will have some amount of product which we can export outside the country, and we are trying to figure out what's the best way of it. Some studies have been done, some outreaches have been done.

But that -- we had moved further down on that. But after the crisis, we have paused that because right now, every country is looking at securing the product for itself. Once the situation eases and the world is back to the normal, we will again think of what's the best way of utilizing our surplus product.

But we are fully conscious of the fact that we would literally become -- I would say we will still take product from two of our joint ventures or three of our joint ventures. But as an ecosystem,

HPCL would be reasonably self-sufficient on most products.

Sumeet Rohra: Okay, sir. Wish you all the best, sir.

Vikas Kaushal: Thank you.

Moderator: We will take the next question from the line of Vidyadhar Ginde from Sohum Asset Managers Private Limited.

Vidyadhar Ginde: So, my first question is the big losses on diesel and some on petrol have started, have the private players sort of tried to increase prices and price themselves out or their market share roughly remains what it was before this event happened?

Vikas Kaushal: Sorry, the line got distorted in between. Could you repeat the question, please?

Vidyadhar Ginde: Yes, yes. So my question was that has the market share of private players gone down in petrol diesel? Have they priced themselves out of the market? Or they continue to sell at these higher losses and their market share is roughly what it was in Jan-Feb?

Vikas Kaushal: I think you all are very smart s. You can just take a drive down the highways and figure out and you get the answer to your question. All I would say in this is in this moment of crisis, there were 3 oil companies who were standing with the Indian consumers. They were the 3 OMCs.

They stood by the Indian consumers.

They faced the brunt. We got a lot of negative press for queues in front of our retail outlets. Well, the queues are only happening at the retail outlets, which are supplying. No queue was going to be ever reported at the retail outlet, which was not supplying, no?

So if I have a wish right now, if I had more money, I would have done a tagline, which says that we stood by the customers. That's all I would say on this. You guys are your own judges. You take a drive around and you can figure out where the market shares have gone.

Vidyadhar Ginde: And my second question is that you probably are having big losses on diesel and also significant losses on petrol marketing, but you are at the same time making higher cracks on -- especially on diesel. And to the extent what you outsource, you probably are making much smaller losses.

So, the number which the minister has quoted, is it -- if y

ou could give us some color, is it closer

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to the net number of the extent to which the losses on marketing exceed the losses which you make on refining? Or is it the gross marketing loss number?

Vikas Kaushal: Yes, I've said in the call, we will not be giving any forward-looking guidances. I think there is a number which was put in public domain. It's fair. That was maybe a directional number given by the Honorable Minister. I lead a listed company.

Moment I give a guidance on a call, which is recorded doing that, I have to be sure of the numbers. But given the volatile situation, in 2 or 3 instances, we have said that we are uncomfortable giving a number, and we will not give that number because it's unfair at this point of what if prices change tomorrow, the things will go all over the place. I know you guys are anxious on that number. But as a responsible listed company, I will not give that number.

Vidyadhar Ginde: And lastly, just I hope that in the current year, if unfortunately, the war drags on for a longer time, we won't have a repeat of FY '23 when you were allowed to lose money and be in the red.

So I hope that it is ensured that to the authorities that matter, it is conveyed that it is not fair to allow a company which is doing its national duty to go into the red.

Vikas Kaushal: I think there are enough instances of the government thinking on this in public domain. As far as -- I'll recall just in -- at the time Honorable Prime Minister was addressing the parliament in response to the President's speech at the inception of every year, which is given in parliament. He actually mentioned the fact that with a lot of pride that many of the state-owned companies, which used to languish earlier are performing very well and doing their duties.

Similarly, for those who are at the meet, both the then Secretary, Mr. Pankaj Jain and the Honorable Minister from the dais last year, at Taj Land when we met, had clarified this point very clearly and encouraged all of us to look at the long term when you are dealing with these companies rather than looking at the short term.

So this is something which -- I think that should be enough for us to give the queue that nobody is going to be left hanging high and dry. All what we can say is from our side, we are definitely doing what is required to manage the situation, and we are doing it with a lot of guts so right now, a lot of feel.

Moderator: We will take the next question from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: From numbers side again, but I hope you will be able to share it, not on the pricing side. What is the proportion of petrol, diesel and the ATF HPCL purchased from the other refiners to market at the HPCL pump? If you could share these numbers in the million metric tons, that would be helpful.

Vikas Kaushal: I think what I would suggest is on this one, you can reach out to our corporate finance team. They can share the detailed numbers. You can drop them a query, they will give you the share

numbers. I'm conscious of everybody's time on this. We do take product from others, and I think that's a fairly declared number.

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Some of -- and what we have taken in the last quarter or we are taking right now is roughly in the same ratios which we are doing earlier. We can give you the exact numbers. Please take it off-line with our corporate finance team.

Yogesh Patil: Okay. Second question, again, the pre-war level, we used to take the Saudi benchmark for the LPG prices. Now in this current scenario, a quite fluid scenario, what would be the ideal benchmark for the calculations for the LPG prices? And also wanted to understand the key challenges in sourcing LPG from United States. If you could a little bit throw some light on this.

Vikas Kaushal: The benc

hmark, obviously, Saudi CP is used as the benchmark that itself has gone very high, but not only benchmark, the premium on the benchmarks have also gone very haywire in the recent past. I think there is one benchmark, which is used in the government. I'm sure the government takes care of its benchmark.

For what you guys do, I think you will have to fend for yourself in terms of what benchmarks do you want to use. Only thing I would say is from the benchmarks, it is a very volatile situation as compared to what it was earlier, both in terms of benchmarks being high and the premiums on top of the benchmark. That was the first thing. What was the second question?

Rajneesh Narang: What elements go into SAED?

Vikas Kaushal: No, no, that was the U.S. part.

Yogesh Patil: Should I repeat that?

Vikas Kaushal: No, no, I got it. I remembered it. So U.S. sourcing, I think oil marketing companies had actually taken an initiative to source LPG from U.S. We had already done a contract for multiple cargoes which actually incidentally started from January.

So every year, every month, all the 3 OMCs are getting 4 cargoes between them and there are some optional cargoes. So that is flowing all this while. To source short term, I think the biggest challenge is 2 challenges exist. One, there isn't too much of surplus LPG capacity anywhere in the world. That is one.

Second, practically for U.S., the distances are too long. It takes about 80 days for a ship to turn around from here to there. The same thing for Middle East was 14 days. So if I need 10 ships for Middle East, I would need 40 ships for there. So all those things are practical difficulties on it.

Having said that, our sourcing from U.S. and LPG in this period has also gone up. A lot more has started coming in May and now will come in June than in March itself because immediately, obviously, even if you had actioned it wouldn't have come immediately.

Yogesh Patil: And the last one, if you could just give us a perspective, compare it to Arab Gulf or Middle East, the actual landed cost of LPG from Middle East to India and U.S. to India, which one be better just for our understanding?

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Vikas Kaushal: It is absolutely impossible to calculate this at this point of time because you get situations, all kinds of situation in the market from premiums to super premiums, to okay, somebody absorbing cargoes, freight prices, somebody not absorbing. So right now, if I have to do a comparison, I do -- I live on the comparison, not on a systemic basis, I live on the comparison on what's happening on the time of the day and the daily basis comparison because it's -- in a normal situation, I would have given you those numbers.

And typically, in the long run, U.S. LPG was marginally higher than what long run -- landed into was marginally higher than what long-term average on CPP into India would have been. But right now, it is impossible to do. There are cargoes which we suddenly find, oh, this is way cheaper than CPP coming in here. See, remember, the last 70 days has been one where the availability of the product has been very scarce.

So a lot of effort has been to just secure the pipelines, from where its coming, what to do, secure the ships, etcetera. Pricing is a later factor right now. So it's a very abnormal price to even do an abnormal time to do the pricing comparisons.

Yogesh Patil: Thanks a lot, sir. And wish you all the best.

Vikas Kaushal: Thank you.

Moderator: We will take the next question from the line of Amit Murarka from Axis Capital.

Amit Murarka: On the refining side, I just wanted to understand like given that there is too much volatility

around the spreads, which we see on the screen, but also on the crude sourcing, as you said, like a lot more spot cargoes being taken plus change in the slate itself. So just wanted to get a sense of like how shoul

d we look at refining margins?

Like is it still fair to say that the margins that you're earning like with all these constraints around more LPG production and all that is much better than the pre-war situation. If you could just help us understand that part.

Vikas Kaushal: Yes. I think -- see, for an integrated company, I've always held a view, though as analysts, you always ask for GRMs that refinery margins, frankly, don't matter for me as an integrated company. For what matters for me is the crude and the selling price. But having said that, since the question is specifically on refining margin, I would say at the broadest level, you can assume that if it was the perfect environment in the same situation, refineries could have produced better. They would have been optimized better because none of the refineries we know had the perfect slates for the products which they wanted to generate, not only our refineries, we know for everybody else also because in the end, people were running what they had available rather than what is most perfect for the slate which you're looking.

So when you are running the less optimized one, you're obviously leaving some margins on the table. So from that perspective, you can expect refineries to perform strongly on that. On LPG conversion into this, actually, very few refineries have been affected from a value perspective as much. So only if you are integrated, then you are more affected. If you are -- otherwise, the Hindustan Petroleum Corporation Limited

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maximum you could anyway do is there is a limit to how much you can swing towards LPG, and that is well within the operational parameters.

So I think it will be too complex to just -- because that depends refinery to refinery. But broadly, I would say refineries could have done better in the same environment with all the pricing, et cetera, if they had operationally the best crudes available. So to that extent, from my vantage point, there is a bit of understatement in refinery performance in the recent numbers.

Amit Murarka: Sure. Understood. But like when you -- if you could just add a bit more on that, like when you, let's say, buy your products from a refinery, any other refinery in the country, there is also that export rebate, which is in place. So is it getting adjusted in the procurement or that's out of time a bit?

Rajneesh Narang: Yes. To a certain extent, it is getting adjusted in the procurement price.

Amit Murarka: Sure. Sure, got it. Best wishes.

Moderator: We will take the next question from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: A couple of questions from my side. One on the supply of crude. So, for the -- you mentioned that we have started sort of procuring crude for July. And for July, with the return of European refinery from maintenance and globally market short of the crude, which has been lost, do you see more challenges for procurement of crude during July as compared to May or June? That was the first question.

And second question was, are we also sort of seeing a lower diesel yield than which would have been otherwise because of the unavailability of the medium heavy grade crude, which have a higher diesel yield. So is that also sort of making us impact our crude slate at this point of time?

And would that delay basically the benefit that we see out of the RUF unit?

Vikas Kaushal: So I think good question. On the availability from Europe, I don't see any challenge on that because we are in the market. And if I'm not mistaken, we have secured half of July already. As I said earlier, we typically buy on a 60-day cycle. So, I think till about 15th July, we have covered ourselves the normal procedure.

And we have not had any difficulty in getting the crudes which we want. Of course, I would wish they were coming to me \$30 cheaper than what they are coming. That's a different aspect. On yo

ur question on RUF, et cetera, definitely, if I don't get the right crude, which goes in for that, I cannot run that complex unit on the most optimum thing. So, it impacts. I will not shy away from saying those. It definitely impacts you when you don't get it.

And as I said earlier in the response to previous question, it impacts everyone in the cycle. I can bet no refinery in India was running on the optimum slate because they did not have the optimum crude, they did not have the optimum mixes given the challenges which we had. I'll be very honest, a lot of our RUF, if I the best crude to run is some of the Persian Gulf crudes. But if they Hindustan Petroleum Corporation Limited

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are not available, I have to run on the second best where some parameters definitely go down. So it impacts.

And in an ideal situation, the same assets, as I said in response to previous question, would give us more returns. That's why I said broadly, the refinery performance is understated in this quarter.

Kirtan Mehta: Sure, sir. Can I also squeeze in one more follow-up on the previous participant question?

Vikas Kaushal: Okay.

Kirtan Mehta: In terms of the -- what we mentioned earlier is that we have been incorporating some amount of discounts while we purchase crude from the other refiners on the line of export duty. This round, the revisions on the export duty has not been very frequent and periodic. So are our adjustments run in line with the export duty? Or are we sort of adjusting more frequently keeping in view the volatility? And is the target crack around \$20, \$22 on diesel and ATF at this point of time?

Rajneesh Narang: The procurement price of the RTPs are adjusted...

Vikas Kaushal: Fortnightly.

Rajneesh Narang: In line with the declared SAED, which is done.

Vikas Kaushal: And that can be a fortnight exercise.

Rajneesh Narang: Yes.

Vikas Kaushal: Yes.

Kirtan Mehta: It has not been announced at least to the media in fortnightly basis. So is it happening on a fortnightly basis?

Rajneesh Narang: It is happening as and when the government declares the SAED.

Kirtan Mehta: Okay. And is the underlying target crack around \$20 for diesel and ATF at this point of time?

Rajneesh Narang: That government would be able to clarify.

Kirtan Mehta: Sure, sir.

Moderator: We will take the next question from the line of Vikash Jain from CLSA.

Vikash Jain: But before I ask my questions, firstly, I want to thank Rajneesh-jr for all the help over the last few years. And of course, congratulations on a great stint and all the best for your future endeavors. And with that, I will, of course, start with an accounting question, given that it's Rajneesh-jr's superannuating. Depreciation that I see has gone up. Can you confirm when -- is a large part of the stand-alone linked capitalization already done? Or -- and when was it done? I mean, what would the number look like, say, in FY '27 when -- for the full year?

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Rajneesh Narang: See, part of the depreciation has gone up because during this year, we have capitalized the RUF unit. That has happened in the last quarter, primarily the full last year quarter. Plus there is an impairment testing, which has been done for some of our assets. So there is an element of impairment also included in the depreciation.

Vikash Jain: How much would that amount be the impairment part, sir?

Rajneesh Narang: That is around INR400 crores, INR450 crores.

Vikash Jain: Okay. And so would -- is there any other pending capitalization left or almost all of the RUF has been capitalized now?

Rajneesh Narang: No, it has been capitalized.

Vikash Jain: Okay. So can I say that, that INR2,400 crores minus INR400 crores, about INR2,000 crores would be the going run rate? Or was it capitalized during the quarter and not the full quarter?

Rajneesh Narang: No, no, it all

most took the full quarter, yes. Depreciation was for the full year.

Vikas Kaushal: 3rd January it got capitalized?

Rajneesh Narang: 31st week.

Vikash Jain: Okay. Okay. Sure, sir. And just on the LPG part, roughly, what is the kind of LPG loss that we saw for the month of April, I mean, per cylinder loss that we were running for the month of April, like?

K Vinod: 170 per cylinder in April

Vikas Kaushal: In April.

K Vinod: May is around INR670-700.

Vikas Kaushal: INR170 in April and INR670 in May.

Vikas Kaushal: You got the numbers, Vikash?

Vikash Jain: Sorry, INR170, Vikas, you said INR170 in April, INR170 per cylinder.

Rajneesh Narang: INR170 per cylinder in April and INR670 in May.

Vikash Jain: INR670 in May you said.

Rajneesh Narang: Per cylinder. Yes.

Vikash Jain: Okay. And this number compares to roughly about INR84 in 4Q. Is that right?

Vikas Kaushal: Yes. Yes. Maybe approximately. Yes.
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Vikash Jain: Otherwise, I think, Vikas, your opening remark was good enough to answer most of the preemptive questions.

Vikas Kaushal: Thank you.

Moderator: We will take the next question from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: Yes. Just two questions. Firstly, this what already has been asked. So, with the SAED, our integrated margins could be similar to the other OMCs also who has a higher refining to marketing mix. Is that right?

Rajneesh Narang: Can you repeat your question, please?

Sabri Hazarika: I mean our refining to marketing ratio was lower than other oil marketing companies. But the SAED now takes care of it, right, that the integrated margin of all the three companies would be similar right now?

Rajneesh Narang: No, no, see, it would depend on the individual refineries as to what slate they are and what rate they have bought the crude, fuel and loss. And they are host of other activities apart from the SAED also.

Sabri Hazarika: Right. But the disadvantage which HPCL had in procuring products from other refiners on a very high crack environment that gets sorted, right?

Rajneesh Narang: Not fully, but partially to an extent, what you are saying is right.

Vikas Kaushal: I still don't get the margin on that refining margin on that.

Rajneesh Narang: And plus, we don't know at what level the SAED has been fixed up.

Sabri Hazarika: Right. And second is a bookkeeping question. So what was the GRM, EBITDA and PAT for HMEL in Q4 and FY '26 as a whole?

Rajneesh Narang: See, the GRM for Q4 was around \$17 per barrel.

Sabri Hazarika: Okay. And EBITDA and PAT?

Rajneesh Narang: EBITDA for full year was around INR6,800 Crores and for the Q4 was INR3,300 crores.

Sabri Hazarika: Excuse me?

Rajneesh Narang: INR3,300 crores.

Sabri Hazarika: INR3,300 crores positive PAT for the full year?

Rajneesh Narang: EBITDA.

Sabri Hazarika: Sorry, positive EBITDA for full year, right. Okay, fine. I'd like to wish Narang-ji all the best for his future endeavors, all the best.

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Rajneesh Narang: Thank you.

Moderator: Ladies and gentlemen, we will take that as the last question. And with that concludes the question-and-answer session. I now hand the conference to Mr. Varatharajan for the closing comments. Thank you, and over to you, sir.

Varatharajan S.: Thanks, Swapnali. I again would like to take this opportunity to express my sincere thanks to Mr. Rajneesh Narang for his extended outreach to the investor community as well as all the support he has been giving to all the analysts and the investors all through the year. It was a great effort, and it is a heartfelt thanks from our side and also congratulate him for his future endeavors. I would like to hand over the floor to the CMD for his closing remarks.

Vikas Kaushal: Thank you. It's been almost 1.5 hours we've been on this call, so I won't

keep people back further.

All I want to say is the team HPCL is very committed, very excited with the momentum we have built. Of course, fighting hard to meet the current challenges, but also equally very hungry to create further things. So, we have sat as a leadership group immediately after the results and we're starting to do the projection, which is the next time when -- how soon can we beat these numbers.

So hopefully, you will see great momentum ahead. And hopefully, these times would pass. Till that time, I would say, stay happy and healthy and keep focusing us. Those of you write reports on us, please share them. We'd love to hear your views and also learn from what we think -- what you think we are not doing well.

And again, we'll connect in 3 months from now. Thank you. And those of you who wish to meet us, we are more than happy to have separate dialogues in smaller groups or individually. Thank you and all the best.

Moderator: Thank you, members of the management. On behalf of Antique Stock Broking Limited, we conclude this conference. Thank you all for joining with us today, and you may now disconnect

your lines. Thank you.
Vikas Kaushal: Thank you.